Rail Vikas (RVNL)

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Sub: Transcript of Conference Call with Investors
Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015
Dear Sir/ Madam,
This is in continuation to our letter of even no. dated 30.05.2023 regarding intimation of the Audio Recording of Conference Call with Investor on the website of the company. Transcript of the said Concall is enclosed herewith. The same is also available on website as follows:
www.rvnl.org – Investor -Board Meetings, Board Committees & General Disclosure-General Disclosures
You are requested to take the same on your records.
Thanking you,
Yours faithfully,
For Rail Vikas Nigam Limited
(Kalpana Dubey)
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Scrip Code : RVNL

"Rail Vikas Nigam Limited
Q4 FY '23 Earnings Conference Call"
May 30, 2023

MANAGEMENT : MR. PRADEEP GAUR – CHAIRMAN AND MANAGING DIRECTOR – RAIL VIKAS NIGAM LIMITED
MR. RAJESH PRASAD – DIRECTOR , OPERATIONS – RAIL VIKAS NIGAM LIMITED
MR. SANJEEB KUMAR – DIRECTOR OF FINANCE – RAIL VIKAS NIGAM LIMITED

MODERATOR : MR. VISHAL PERIWAL – IDBI CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Rail Vikas Nigam Limited Earnings Conference Call for Q4 FY '23. This call may contain forward -looking statement about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. The statements are not the guar antees of future performance and involve risk and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vishal Periwal from IDBI Capital. Thank you and over to you, Mr. Periwal.
Vishal Periwal: Yes, thanks Seema. Good afternoon everyone. I welcome you all for the post result interaction with the management of Rail Vikas Nigam Limited. From the management side, we have with us today Mr. Pradeep Gaur ji, CMD, RVNL; Mr. Rajesh Prasad ji, Director, Operations, RVNL;

Mr. Sanjeeb Kumar ji, Director of Finance, Rail Vikas Nigam Limited.
Now, as usual, we'll have a brief overview from the management on the business and then we'll open the line f or Q&A. Yes, sir, over to you.
Rajesh Prasad: Okay. So, very good evening. See, this Rail Vikas Nigam Limited was basically the vision of the then Honorable Prime Minister Bharat Ratna Shri. Atal Bihari Vajpayee and this particular company was incorporated on 24th January 2003, meaning thereby we have spent around 20 years plus. We started operations in 2005. We got Mini -Ratna in 2013 and we have now graduated to Navratna on 1st May, 2023.
We have commissioned more than 15,500 route kilometers of railway in frastructures. We contribute more than 30% of the total Indian railway infrastructures. The MOU rating for the last 12 years has been excellent by Department of Public Enterprises. In the financial year 2022 -2023, we had got our CARE Rating done, which was AAA with Outlook Stable.
We have got Pan -India presence. We have started executing overseas projects. So we have become from local rail infra to global all -infra and we have had more than INR1 trillion of project expenditure and the revenue from operation s, the turnover in FY '22 -'23 was INR20,282 crores, standalone I am talking about the top line. The bottom line was INR1267.97 crores and the gross margin upon turnover of 5.77% and these are the financial numbers.
Now if you see the physical numbers, we h ad commissioned 1,044 kilometers. So in FY '22 -'23, the top line of INR20,282 crores, bottom line of INR1,268 crores, physical commissioning INR1,044 crores, all these three parameters are all time high for RVNL. So the revenue, the turnover growth was 4.6 5%, whereas, the profit after tax had a growth of 16.61% and for the last two consecutive years, we crossed the commissioning mark of 1,000 kilometers.
So if you see the year -on-year basis performance, there is a growth but with respect to the Q4 of the pr evious financial year that is FY '22, it is less but in terms of the -- with respect to the

performance of Q3 of FY '23, it is again high. So what I wanted to convey is that the performance in FY '22 -'23 was all time high as far as the top line was concern ed, as far as bottom line was concerned, as far as the physical delivery was concerned.
The highlights of the FY '22 -'23 was as I said, the Care Rating of AAA, then graduation to Navratna status, then local rail infrastructure to global all -infra that we s tarted executing overseas projects other than railways. For the last 12 years, we have been rated excellent, 10 times out of the last 12 years, nu

mber one under Ministry of Railways. Then the various magazines, like, Fortune 500, ET Top 500 , all rated us l ess than 100.
We completed and commissioned more than 140 projects out of 182 projects assigned by Ministry of Railways, and if you see the performance with respect to SENSEX, BSE 500, BSE Infra, NIFTY, all went down in FY '22 -'23, whereas, RVNL's growth w as more than 105%, and in fact it was Top 10 stocks of the country, and for the first time the market capitalization was more than INR25,000 crores and t he market has also appreciated.
We have got a CAGR of around more than 20%, 25% whereas the appreciatio n, market appreciation is more than 50% if you see the cumulative part, and if you see the last one year, it is more than 100%, and the SPV, the Special Purpose Vehicle, Angul -Sukinda rail line, we have got it commissioned and there is a turnaround in the performance of the Special Purpose Vehicle, and what I want to tell you is that in Kutch Rail Company, the loading, the traffic went up by 27%, in Krishnapatnam it was around 79%, BDRCL it was 140%; and in terms of rates also it has gone up and the fact fr om the Kutch Rail, KRCL, BDRCL, and even HPRCL, they have shown growth varying from 22% to 124%.
So what I wanted to tell you is that there is a turnaround in the existing SPVs, we have started getting earnings and with the internal resources, the Kutch Ra il Company Limited could commission the entire doubling and the electrification, and for the first time in the Indian Railway System, in that particular SPV line, the double container movement had started and as I said, Angul -Sukinda, we have commissioned and the project was dedicated to the nation by Honorable Prime Minister on 18th of May, the operation started in the month of March, and it will be the game changer for the transportation of the basically various kinds of traffic like iron ore, coal, steel in that particular region connecting from Banspani to Meramandali or Talcher -Haldia to Dhamra port, to Jajpur area, Kalinga Nagar to various destinations.
So this is going to be a game changer. In 2020, we had commissioned HPRCL, so these two SPVs will co mpletely change the dynamics of the transportation system in that particular region.
So with this I will just close the opening remarks and now we are ready for the question -and-answer.
Moderator: Thank you very much sir. We take the first question from th e line of Mr. Dixit Doshi from Whitestone Financial Advisors. Please go ahead sir.
Dixit Doshi: Yes, thanks for the opportunity. Sir, my first question is regarding the order book. So what is

our current outstanding order book and how much order we receive d during the current financial
year?

Rajesh Prasad: Okay, give me one minute. So regarding the order book, yes, presently we have got an order
book of INR56,000 crores plus, out of which railway share is INR36,977 crores, which includes
the double line of INR6,400 crores, new line of INR18,000 crores, metro and others it is around
INR11,000 crores and from bidding we have got the order of INR20,000 crores. So out of
INR56,000 crores, we have got order of INR20,000 crores through the bidding and around
INR36 ,900 crores from the Ministry of Railways, which were given on the nomination basis
earlier.
Dixit Doshi: Okay. And how much was the order win for the current financial year?
Rajesh Prasad: I don't have the break up right now, but I will just come back to you.
Dixit Doshi: And this INR20,000 crores when you mentioned, we won through the bid, I assume that this is
only our share, because many of the projects we have bid in SPVs or a joint venture with some
other partners?
Rajesh Prasad: Yes.
Dixit Doshi: So this is our share of order?
Rajesh Prasad: Yes.
Dixit Doshi: Okay. Now my second question is regarding the execution. So historically our execution has
be

en very good and now we have order book of INR56,000 crores and many of these orders are
actually rece ived recently in last one year. So how do you see execution over next couple of
years and particularly in FY '24 given many of these contracts must be having a long cycle also.
So this INR20,000 crores revenue this year, where do you see it next year?
Raje sh Prasad: See, you will have to appreciate one thing that we started bidding in the market only one year
and nine months back, and the first project, which we got through the bidding is Indore Metro
where we got the two packages through the bidding, appro ximately INR1,500 crores and that
project turnover in the last financial year was around INR500 crores, slightly less than INR500
crores, and this year we are planning to have more than INR600 crores.
So what I wanted to tell you is that the focus of the c ompany is not only to get the project from
the market, but also to execute timely with best quality possible following the highest safety
standard.
So and every project has different kind of challenges. They are having the different requirements.
They have got the different kinds of the basically period of completion, time of completion, and
normally on an average I can tell you that the project completion time varies from 2.5 years, two
years to around 3.5 years, and we expect that the order book, which we are having and the kind
of turnover, which we are having, we are going to have more and more orders from the market
in time to come, and we would like to maintain the same kind of turnover in coming years.
Dixit Doshi: Okay. Yes, so I completely agree tha t we have started the bidding just one year back and actually
we have done exceedingly well.

Rajesh Prasad: One year and nine months, I said one year and nine months.
Dixit Doshi: Yes, and we have actually done exceedingly well in grabbing the orders. So as you mentioned
that it’s 2.5 to 3.5 years, so maybe FY '24 would be a consolidation year where revenue may not
grow significantly but as more orders built up one can expect a good growth from FY '25
onwards?
Rajesh Prasad: See, what I said in the opening remarks is that we had achieved the top line, we have achieved
the bottom line, the growth of the top line was around 5%, but at the same time the bottom line
growth was more than 16%. So the bottom line is more important from the investor point of
view, from the public point of view, and we are also concerned that our profits should remain
intact, and we should be able to give good return to the investors.
So what we see is that the bottom line will grow with the same kind of growth and in time to
come, y ou can see that once we get more and more orders, we will concentrate on the margins.
We have already started working on increasing the margin. I will cite a few examples that we
have opened the procurement cell, we are working for a legal cell, then we ha ve already extended
our design cell. So we are working in that particular direction and the idea behind this is that the
bottom line should remain intact with the same kind of growth, and yes there will be some kind
of consolidation in FY '24.
Dixit Doshi: Okay. So my next question was relating to the margin only. So what we heard from the many of
the competitors and the private players that the intensity in the bidding, competitive intensity is

quite high. So we have been doing 5.786% margin. So do you see any pressure on this margin going forward once the execution from the bided projects?
Rajesh Prasad: We have got few models. One model is the project, which we have been assigned so that margin will remain the same. The second model is that whatever money we have got, we put in the bank and we get the interest that is also more or less fixed. Then we execute some of the SPV projects, which are more or less over. Some leftover item

s are there, so that has also got a similar kind of model, which Ministry of Railways assigned. And the fourth model is the business development model or through, which we get from the bidding.
So what I want to tell you is that we are working and see whenever we are participating in a bid, we are doing a lot of value engineering a t this stage of even the tendering. We work out and say see it has got some kind of risk and we allocate some of the risk factor also. So all together we can see that since we are in the market, the margins are likely to improve upon by doing the value eng ineering and we are quite capable of doing that.
So we have got the complete team. We have been working on that and in time to come you can see the result that the margin is improving in the order, which we have faced from the market.
Dixit Doshi: Okay. One last question and then I join back in the queue. We were expecting some large order from Kyrgyzstan. Any update on that?
Rajesh Prasad: See we have signed MoU and we have already formed a joint stock committee, the DPR company, and we have already prepar ed the DPR, etc. So things are moving in the right

direction. See in any project a lot of steps are involved in this like from the concept and then DPR, then signing of MoU, opening of a company, formation of an SPV. So it is on the right path and it is on ly a matter of time then we will get some good information about this company, and see we are governed by LODR. So whatever information's are there, we always disclose in the public domain. So you will also come to know through our website in time to come.
Dixit Doshi: Yes and what was the size of that order approx. ?
Rajesh Prasad: It was approximately INR18,000 crores.
Pradeep Gaur: It was INR18,000 crores. Basically what is happening is now the Government of K yrgyztan is tying up with a European fund comp any, which is also almost in the final stage. So I think we will get things moving on this sooner than later.
Dixit Doshi: Okay. Thank you. That's it from my side.
Moderator: Thank you sir. We take the next question from the line of Mr. Sandeep Satodia, Shivam Gilmark. Please go ahead sir.
Sandeep Satodia: Good evening to everyone here. First, sir, let me congratulate Mr. Pradeep Gaur on his extension, and we do hope sir that with your extension the company will continue on the same trajectory growth that we have seen in the last few years.
Pradeep Gaur: Thank you so much. Thank you so much for your kind wishes. Thank you.
Sandeep Satodia: It came as a big relief sir as an investor to know that you are going to be there for another two years and take the c ompany possibly at much greater heights.
Now sir, for my first question in continuation to the previous one, sir the INR56,000 crores order book position as of now, how does this compare with the same period of last year?
Rajesh Prasad: See, if you see the turnover of the company, we had around INR20,282 crores. So last year was also it was approximately like this only INR55,000, NR54,000 crores. So you can imagine that the inflow and the outflow was equal. So and it is necessary that suppose we are doing a turnover of INR20,000 crores, ideally it should be three times, minimum three times.
So considering that now this chunk is coming from the market, we have been able to maintain the INR56,000 crores as on 31st March 2023. So it is a big achievement for the company that we have not only survived, we have done exceedingly well in doing the all -time high turnover and at the same time getting the orders from the market just to sustain the order book of the required value.
Sandeep Satodia: Sir, there has been mu ltiple commentaries from the side of the company to say that the bottom line will be maintained and we have seen that the top line has gone through a bit of stress in Q4.
So do you see any

further stress in the coming quarters as far as the top line is con cerned, or do you think the same growth momentum that we saw in 2022 -2023 will be maintained in 2023 - 2024?

Rajesh Prasad: I can tell you one more thing that since we have become from local -to-global, we are eyeing for

so many infra projects, not limited to railways, in other overseas, in other countries. And whenever we get some orders, these will be intimated through the website, through the stock exchanges, and in time to come you can find many such orders.
We have already started executing the overseas p roject and regarding this financial year FY '22 -'23, see you said that the top line has growth, less growth. If you see the performance of SENSEX, it was 59,000, it went down by 0.5%, BSE 500, 24,000, it went down by 3.5%, BSE Infra, 288, it went down by 1 .8%, NIFTY, 17,670, it went down by 1.8%, whereas, RVNL share went up from INR33.40 to INR68.40, and it has further grown to INR115 or INR120, it is moving in that particular range.
So what I wanted to tell you is that FY '22 -'23 was not that good from all perspective, but RVNL has performed exceedingly well and in time to come the top line growth of 4.64% is going to increase.
Pradeep Gaur: I'll just add to what Mr. Rajesh Prasad men tioned. Yes, it's a bit of a transition now, because this was an organization, which was completely doing the projects assigned by Ministry of Railways, and now we have expanded our footprint beyond railways. So I can share with you with some sort of convi ction that the adaptability and the flexibility this organization has shown to transition to the new this, you can appreciate it from this thing that the non -railway orders also we have been able to get, and definitely there is a slight consolidation, but things will start moving upwards very, very soon because our focus is now on getting more and more orders competitively, and then this organization has got huge technical and managerial capability with that, we will be able to maintain even the bottom line .
So our focus is not only on bottom line, after all bottom line will come from the top line only. So the focus is in both the directions, and I am very confident the kind of talent, the kind of -- what I should say, the versatility of this organization we 'll be able to give you excellent results in time to come. Thank you.
Sandeep Satodia: That's reassuring sir. My second question is with respect to some recent news in the media regarding some sort of not really a dispute maybe, but a thing with your Russi an counterpart regarding the Vande Bharat orders that you have secured from the government. I think there is some sort of a tussle as far as the holding is concerned, or the shareholding is concerned, and due to which that particular order has not been abl e to go forward. Can you update us sir on what is the present position and how likely is it for the matter to get sorted out?
Pradeep Gaur : Yes, yes. You have rightly mentioned that it came in newspaper. See, I'll tell you there is absolutely no problem on that. It is a question of confidence of everybody including ministry, because please don't quote me, because I'll be very frank here.
Sandeep Satodia: Yes sir.
Pradeep Gaur : Because I should be very frank with my investor. So basically because of some sit uation what is happening all around, I mean, many of the suppliers and because not everything can be manufactured by us, many of the suppliers and the bankers they were more confident to deal

with this one, if RVNL is having slightly majority, I mean major share. If not majority share, a substantial share, because they felt if an Indian PSU is there, they'll be more confident because many of these companies, I mean they may be guided by some sanctions or this thing beca

use
of the Ukrainian situation. So tha t was the issue.
So some sort of -- and I mean expectedly Russians were not very comfortable with this, but now there is a lot of intervention is there, and I am sure this matter will be get sorted out within a matter of two, three days. So and things will be back on, I mean, what I should say back on a fast forward movement.
So this I have explained to you in absolute frankness. Otherwise there is absolutely no problem. There is no dispute or anything between Russians and us. This was only in the interest of a smoother movement, because of confidence of suppliers, because many of the suppliers are from European, Western European countries and even some parts may come from American firms. So that was the only situation we were trying to figure out, so that o nce we get into this things move very smoothly. That is the whole thing and this is a very frank sharing of information with my investors.
Sandeep Satodia: Appreciate that sir. Once this is sorted out, do you have a timeline on when you would probably be able to rollout the first set of trains?
Pradeep Gaur : Yes, yes. The timeline is absolutely fixed. There will be no compromise on the timeline. The time given in the contract is two years from, say, today is around May '23. So it will be somewhere around Ma y, June '25 when the first two prototype trains have to be ready for testing and then the trials will be there. Everything is as per the contract. Time is available and I can also share we are going to follow the ICF design. Of course, we will be doing lot of innovations. We'll make this touch and feel items. We'll be improving a lot that will have lot of passenger

comfort and all those things.
So that timeline will be absolutely followed and even see this is a minor issue and because the whole technology i s available and Russians are also highly technically capable. So we respect that, and we have got excellent license with Russians.
So it was only a question of comfort this thing. So timeline will be met, and there is a timeline given each year starting wi th 12 trains, 18 trains, 25 trains and something 15 trains to match 120, and that we will stick to it including when there is a maintenance period of 35 years beyond. So there is absolutely no problem. It's a very long -term contract. This is a minor issue, which I expect to get solved within next two weeks.
Sandeep Satodia: Thank you sir. Sir, my next question is with respect to the Q4 top line. We have normally seen that the Q4 top line is always much higher than the previous three quarters. I think it's probably the last four years, four financial years that we have seen a drop in the Q4 top line for 2022 - 2023. Any specific reason over there sir, because normally a lot of government orders mature in Q4 and they reflect in the books. So can you just…?
Raje sh Prasad: Yes, I will explain it to you. There are two basically parameters, one is the physical and the other is the financial. So what you are talking about is the financial, but if you see the physical

performance in the last quarter, the physical perf ormance was much more with respect to the FY '22, Q4 and regarding this the financial, the top line you were mentioning about Q4, normally we compare on year -on-year basis and in the beginning I explained the various reasons, and I also said that Q4 of FY '23 was much better than Q3 of FY '23. Yes, it is less than Q4 of FY '22, but in totality if you see the performance year -on-year basis, the performance in FY '22 -'23 for the top line, bottom line and the physical commissioning, it is all time high for RVN L in this current financial year that is FY '22 -'23.
Sandeep Satodia: So, sir, in that case, in case the physical performance of Q4 is much better than the corresponding period of last year, can we hope to see an effect of that in the Q1 of

FY '23 -'24 wher e the physical
achievement of …
Rajesh Prasad: Yes, yes. It may get reflected in the financials, may be in Q1 of FY '23 -'24.
Sandeep Satodia: That is very reassuring sir. Sir, my last question is with respect to our SPV, we've seen a continuously improved p erformance as per management commentary in most of the SPVs with new ones getting, going online, being commissioned but the profit share from the SPVs, if you actually see year -on-year is really not showing the same kind of growth that RVNL parent company is showing, or it is sort of stagnating with a 10% plus minus contribution to our profits to RVNL. And with more spread, with more emphasis on coal, iron ore, bulk commodities getting transported by rail, how come it's not reflecting in the contribution of our SPVs to our company?
Rajesh Prasad: Okay. So I will cite examples. Let us first take the example of BDRCL. Two years back, it was totally red. The company was in a stage to basically get closed also, getting declared as NPA. It started giving the prof it in the previous financial year, and if you see the PAT of this particular company, it increased from INR29 crores to INR46.89 crores in FY '22 -'23. So the PAT has increased to 61% by 61.3%, and if you see the loan position, the debt part, the BDRCL is h aving a debt of only INR8.77 crores, and on it, on any day it can become debt free company.
So it is getting reflected. So the money which it used to earn, which was going to the bank, now it will come to the various shareholders and in this particular cas e, the shareholder, the shareholding of RVNL was 35.46%.
Now take the example of Kutch Rail Company. The PAT has increased from INR137 crores to INR232 crores. The increase is around 70% and with its internal resources and with a subsequent debt of around INR1,000 crores, the company could complete and commission the entire section of doubling and the railway electrification. So in time to come, we are going to have more and more traffic over here but if, since some assets have been created, some liabilitie s are there.
Now take the example of Krishnapatnam. In FY '21 -'22, the PAT was minus INR115 crores and this financial year, the PAT has gone up to INR28.5 crores. What I want to say is that this company is again showing a lot of profit, and the traffic has gone up in Krishnapatnam by almost 80%. In FY '21 -'22, it transported 3,093 rakes, whereas, in FY '22 -'23, it transported more than 5,400 rakes.

So what I wanted to tell you is that the efficiency of the SPVs, the PAT of the SPVs, the output of the SPVs a ll are going up and in time to come and for the first time this BDRCL and HPRCL have paid dividends. So you will have to appreciate that there is a turnaround in all these SPVs and we have already commissioned this ASRL. So they have already started moving traffic. In the month of March, it transported around 177 rakes, in the month of April 200 rakes. So in time to come these SPVs are going to play a major role, and I am very happy to inform that they have generated revenue . If you combine all these SPVs, they have crossed the mark of INR1 lakh crores.

So INR1 lakh crores of revenue without the investment of Ministry of Railways and we have been able to execute project worth INR11,800 crores with our equity infusion of INR1,144 crores. So these SPV models h ave been working well and in time to come you will see more and more, better and better results in terms of the PAT, in terms of the loading, in terms of the transportation of number of rakes. So it is only a matter of time and the trend will continue.

Sandeep Satodia: These are very encouraging figures, sir, and we do hope that they will contribute substantially to our company and us as shareholders. Sir, my last question is with respect to the non -core orders that we are taking in the infrastructure se c

tor, more like ports, canals, roads, what is the expertise that the company has, or are we totally relying on our joint venture partners to deliver?

Rajesh Prasad: See, if you see the strength of this particular company, this has been only the project del ivery, the focused approach and we have been able to deliver under the worst conditions in the past, and it is only because of the focused approach we have got the efficiency of a private sector, authority of public sector, and the technical issues, we sol ve it technically and this is the expertise of this particular company, we are very vibrant, young and we are aware about the project requirements, all projects are different, and we are involved in the complete project life cycle, starting from the concep t, design, DPR, execution, then completion, the defect liability.

So what I wanted to tell you is that we have got the sufficient expertise, we have got the manpower who have got the exposure of execution of all kinds of projects under very adverse conditi ons and we would be able to deliver, see all the projects are very complicated and require different kind of approaches, and we have got the experience, we are having the exposure of execution of the project under different conditions, and we will be able to deliver whether it is an irrigation project, whether it is a metro project and today we are executing so many projects in different metro cities .

We are executing tunnel works, we have got tunnel works in three, four project sites and in Karnaprayag -Rishikesh, in the last one and a half years, we have executed 100 kilometers of tunneling, so -- and this irrigation project is also having a canal and four, five kilometers of tunnel. So these are simple with respect to the projects, which we have executed, or which we are executing.

Sandeep Satodia: So, sir, when you say this tunnel works and the canal works then I assume that the same would go for the various road projects also that the company has taken that you have managed to gain, or get sufficient expertise even for the road projects?

Rajesh Prasad: Yes, yes, road project is simpler than the railway infrastructure projects. In fact, if you see the railway infrastructure, typical railway infrastructure, the day, the formation is over then the railway infrastructure, real railway infrastructure starts, wherein, the road sector immediately you just do the black topping and the road is open, whereas, the railways are much more complicated, and if you are able to commission more than 15,000 rou te kilometers of railway infrastructure, the road sector is very, very less challenging with respect to the railway infrastructure.

Sandeep Satodia: Thank you sir. That is all from my side.

Moderator: Thank you. We take the next question from the line of M s. Smita Mohta from Kredent InfoEdge. Please go ahead ma'am. Ms. Smita, your line is unmuted, please go ahead with your question.

Looks like the line for Ms. Smita has got disconnected.

We take the next question from the line of Mr. Vishal Periwal from IDB I Capital. Please go ahead sir.

Vishal Periwal: Yes sir, thanks a lot for the opportunity. Sir, can you guide us how -- I think we are doing, I mean like as we are trying to become a full -fledged company and going for bidding and then having a procurement, legal tender, other cells are also there. So what exactly are we planning to do at capex for FY '24, if you can just give some guidance?

Rajesh Prasad: So your question is that what is going to be the capex in time to come. You are talking about the turno ver, the future turnover of FY '23 -'24?

Vishal Periwal: No sir, I think any equipment that we plan to procure.

Rajesh Prasad: Yes, we are also working in that particular direction. I will cite one example, we have been declared lowest bidder for three unde rground packages of Chennai Metro,

and there we are going to procure the equipment, the special kind of equipment, for example, trench cutters. We would be purchasing those machines, we will be operating it and we want to maximize the margin. The idea behi nd of this is that we want to diversify ourselves, we want to test ourselves and since this particular company is very vibrant, young and we have got the expertise, we want to utilize this in this particular field and the idea behind this is also to increa se the margin from these projects, these kind of projects.

Vishal Periwal: Okay sir. And sir, there is, I mean, the cash in the books, that is own cash excluding the advances, will it be handy with you right now, if you can provide?

Sanjeeb Kumar : We have our own cash as well as most of these tenders, the contracts we get have a provision for mobilization advances also, but we bid on our own credentials and we have bank guarantees fully backed up through fixed deposits and our own credentials.

Vishal Periwa l: Okay sir. Sir, next and maybe last thing from my side, and then I'll come in the question queue. I think you mentioned order book of around INR56,000 -odd crores, railway is INR36,700 crores something you mentioned, remaining is what sir sector -wise?

Rajesh Prasad: I said INR36,977 crores. Now if you want to have the breakup of this INR36,977 crores, this is as on 31st March 2023, the double line is around INR6,358 crores, new line is INR18,826 crores, the metro and other is INR11,285 crores, and maybe a very small amount of GC. So we have got the complete basket of INR36,900 crores around INR20,000 crores.

Vishal Periwal: Sorry sir, I think I just missed on the last line, railway is INR36,900 crores, remaining is, which sector sir?

Rajesh Prasad: I said b idding, bidding means business development.

Vishal Periwal: Sure sir. And then will that sector be handy with you in terms of which sector they are in the bidding pie that you think sir?

Rajesh Prasad: See we have identified the sectors where we should par ticipate in the bids and the metro segment is one, the road segment is another. We are also thinking to participate in all kinds of infrastructures like the municipality and the irrigation, but the requirement is that the volume and the size of the project should be big. It should have some kind of technical challenges and where we can really contribute for this Atmanirbhar Bharat, and execution of the projects, which is timely following quality and the safety norms.

Vishal Periwal: Sure sir, got it sir. Th ank you very much sir, I'll come back in the queue. Thank you.

Moderator: Thank you. We take the next question from the line of Ms. Ankita Shah from Elara Capital, please go ahead.

Ankita Shah: Yes, thank you for the opportunity and congratulations sir on very good performance in FY '22. Sir, wanted to understand the margin a little better. So you mentioned that we are doing a lot of value -added activities, which is leading to better margins. So we already know that for the nominated projects from railways, we have 8.5% gross margins. So for the bided projects what would be the average margins blended for those kind of projects, or do we have break up within segments, which kind…

Rajesh Prasad: Ankita ji, it's a very nice question, but I'll tell you one thing that the first we are very new in this particular bidding process, and we started bidding only around one year and nine months back, and the first two projects were from Indore Metro and they have started fetching the basically results, and I can tel l you that the margins, which we are getting from the Indore Metro, the first two projects, which we got from the bidding is more than the projects, which we got on nomination basis from Ministry of Railways.

So things will differ, there will be a project where the margins will be less, but we want to opti

mize, we want to make sure that there is a value addition and we want to make sure that the gross margin upon turnover remains in that particular range, which we have been achieving in the past.

Ankita Sha h: Got it. Also sir any range in terms of margin, how well -- see, currently we are at around 6%, 6.2% for the full year?

Rajesh Prasad: It is not that simple calculation, see no two projects are identical, the projects have got a full life cycle and it pa sses through the different kind of challenges, and some of the challenges we also do not anticipate and we do not understand in the beginning. So it will depend once the project is over, completed, commissioned, then only we can work out.

So in the beginni ng we are not in a position to say that what exactly will be the margin, but we will be doing a lot of value addition. We are trying to procure the machineries, the construction material and in time to come you can see so many changes in our company's exec ution plan. We have already started bidding in the market for the last one year and nine months. We have already

become from local rail infra to global all -infra. We are executing all kinds of projects.
So the diversification is one of the strengths of thi s particular company. We were having the focused approach, we were basically very much flexible, and now we are diversifying. So these are the strengths of the company and in time to come, you will see these things affecting the project delivery and also t he margins in time to come.

Pradeep Gaur : Just I'll add to what is mentioned. See basically we are going in a two pronged approach. The first one we have to be competitive to get the work, and second in order to have the good margins, we have to be innovat ive. So it's a double pronged strategy and we are moving on that, so that we are able to not only have the margins what we had from the railway project and even go beyond that and still having a good order book, so that our top line continues to show a goo d CAGR.
So that is the ambition, on which we are all of us are working very hard and in a very focused way and as my colleague mentioned, you can kindly appreciate the way this organization has been able to get orders of almost INR20,000 crores in last one , one and a half year when we started bidding. I am sure you will see a very good and an exciting period from RNVL. I am very confident of that.

Ankita Shah: Yes sir, much appreciate the smooth transition and the strong influence that the company has recei ved. Sir, also I wanted to understand on these new projects, do we have escalation clause for material price increase variations?

Rajesh Prasad: See all projects are different and the clients are also different and the contractual requirements are differen t. The documents, the provisions made in the various documents are different. So all are having the price variations, but the calculation formula differ from project to project, and yes price variations are there. Sometimes it may not escalate to the level of escalation in the market, but we are working at the stage of pre -bid, the pre -tender stage, and we are basically calculating all kinds of risk of the price escalation and accordingly we are participating in the bids.

Ankita Shah: Got it, got it, sir. S ir, last one, what should be the share of international orders in the current order book?

Rajesh Prasad: See the order book, the Maldives project was around INR1,500 crores, which we are executing. We have already started execution and we have already got some advance around INR250 crores from the authority who has assigned this particular project from whom we have gone, which is

an interest free advance, and at present this is the only project where we are executing, but there are so many things and so man y proj

ects, which are there in the pipeline.

Ankita Shah: Okay. Got it sir. Thank you and wish you all the very best.

Pradeep Gaur : Thank you so much.

Moderator: Thank you. We take the next question from the line of Maitri Korecha, Individual Investor. Please go ahead.

Maitri Korecha: Sir, I am asking this question off record. Good evening sir. Sir, this is just an extension to what the earlier question was about the TMH and RVNL for Vande Bharat. So sir, there are 200 trains sets, right? So this will be li ke 16 coach or eight coach moving forward and on the timeline, sir, this is two to five years is being kind of estimated, but if you are saying that the 12 trains or 18 trains will get released every year then will the timeline get stretched, and what is t he size of the contract approximately? How does the disbursement of payment happen, sir?

Pradeep Gaur : Yes, as far as, see that original tenure was for 200 trains and the condition was this order will be distributed between L1 and L2 offer -- offerors . So we were the L1 offeror , we were L1 and we were given the order for 120 trains and the 80 trains order was given to the L2 at the price of L1. See we had quoted INR120 crores per train set. So we were given order of 120 trains at INR120 crores. The L2 had q uoted INR139 crores, but they have been given order of 80 trains at INR120 crores per train. So as far as…

Maitri Korecha: Titagarh…?

Pradeep Gaur : Titagarh and BHEL, joint venture.

Maitri Korecha: Okay. Understood, sir. The size of the contract for this will be 200, INR120 crores into 120, right?

Pradeep Gaur : That is our order. And there is an order of 35 years maintenance, which is also, that will come to around INR130 crores per train set for 35 years. So the total order will come to around INR30,000 crores, INR32,000 crores. Secondly -- sorry?

Maitri Korecha: Please, please go ahead.

Pradeep Gaur : So this contract is not only for manufacturing, this contract also includes maintenance over a period of 35 years for each of these train sets, and that cost will be more than INR120 crores per train set. There is a price given around, it comes to 3% every year approximately, averaging. So it will come to 35 into three, approximately 105% of INR120 crores. So that is also part of the order.

Now coming to the timeline, the timeline is very clear. Within two years we have to make two train sets prototypes, which will go undergo trial. The trial period is normally five to six months, and once the trial is over, then and the trial is approved, the prototype is approved, then we go for manufacturing.

So we will be manufacturing 120 train sets over a period of five years after the prototype is approved. So it will be effectively two years plus five years. S o the…
Maitri Korecha: Two years plus five years. Yes, I understood. And sir so basically in the next two years you will be releasing two train sets, that's what you're saying?
Pradeep Gaur : Yes, those will be prototypes, which will undergo trials. And onc e those prototypes are approved, those also will become part of the 120 trains.
Maitri Korecha: So the disbursement of the payment will happen when you -- if you bring out two train sets, then the disbursement for two train sets will happen in terms of pay ment?
Pradeep Gaur : Yes, what will happen, once the prototype is approved, then 90% of the payment will be released, 90% of INR120 crores, once the trials are over and prototype is approved.
Moderator: Thank you, sir. We take the next question from the lin e of Ms. Smita Mohta from Kredent InfoEdge. Please go ahead, ma'am.
Smita Mohta: Okay, okay. So my question is, sir, in the last phone call, you had said that for '23 -'24, you expect top line to be INR20,000 crores plus and bottom line to be between INR1,3 00 crores and above, okay?
Second of all, last phone call, you

had a bidding revenue of INR70,000 crores, which is this year INR56,000 crores, this quarter is INR56,000 crores?
And my third question is, so why is this revenue so less and what can we expect moving forward?
And the last question is that this train revenue, that is 150 trains ordered that you have got, so how much margin are you expected to make in that? Because in the last phone call, you had said that your gross margins is 6% to 7% and your net margins would be 5.6% to 5.8%. So just few in that, and why are your trade payable so high? That's it from my side.
Rajesh Prasad: Okay, madam, I have understood your question. So you were making the reference of the last con call. So what we have said is that in FY '23 -'24, the top line will be more than INR20,000 crores, INR21,000 crores plus and the bottom line will be more than INR1,200 crores.
So in FY '22 -'23, we have already crossed the mark of INR20,000 crores and in FY '23 -'24, we are likely to exceed this INR20,282 crores, maybe around INR22,000 crores, INR23,000 crores. The fact, the bottom line this year was INR1,268 crores and we are 100% sure that in next financial year, that is FY '23 -'24, it will be better than this.
Now coming back to th e margin, now you see the, I had said in the beginning that we have got three, four models, and the model which is variable is now the projects, which we are getting from the market. We have been working on that. We are trying to maximize the profit and wh at are the steps which we have taken, we have already deliberated upon, we have already told you. So in time to come, you will see that the gross margin, which is 5.77% in FY '22 -'23, will definitely be maintained and maybe we will have some better margin in some of the projects. So

since these projects are in the beginning, in the initial stage of the project life cycle, so at this stage, it is difficult to comment upon that what exactly will be the margin because every project passes through the different project life cycles, different kind of spaces, different kind of challenges, and only at the end of the project, we can say that this was the margin, which we could achieve.
But the focus is very much clear and the idea behind our approach has been that we should maximize the margin and we can assure you that in time to come, we are going to have the same kind of margins, at least the margins which we have achieved. And I have cited one example also, the projects, which we have taken from the market, which have started resulting, basically giving the dividends like Indore project, there the margin is b etter than the margin, which we have been -- for the projects, which we have been getting from the nomination basis.
Smita Mohta: Okay. One more question sir. Currently your nomination and your bidding ratio is 80/20, so your nomination is 80 and your bidd ing is 20, and you said in last con call that it is going to change. So over how many years are you expecting and what kind of ratio change are you expecting in this?
And second of all, in your results, you mentioned one expense amount, which you have not received from KRCL. So what is the timeline to receive that?
Rajesh Prasad: Okay. So let me answer one -by-one. So you are asking about the ratio. So you see, one and half

year back, the 100% project was on nomination basis. Now we are having INR36,900 cror es in nomination, INR20,000 crores through the bidding. So you can appreciate that one year and nine months, the ratio is changing very fast.
And in time to come, the nomination work is getting reduced, the Government of India's nomination project and mayb e through the business development and bidding, that particular ratio will go up and we have been working in that particular line.
Now regarding the KRCL, you are right, there is a trade receivable, but I have said during this meeting, th

is investors' meet , that there is a total turnaround in the KRCL performance from minus INR115 crores if the PAT was more than INR28.5 crores. And there were two stations, which we have got it commissioned. The traffic efficiency movement has gone up. The number of racks tr ansported has gone up.
And see, these trade receivables are basically depending upon the outcome of the arbitration. A tribunal has already been formed. It is in almost completion stage. The last set of hearings are likely to take place in the third week o f June 2023. And we are likely to get a positive result because the issues, the disputes are only two number of major disputes, that is the terminal cost and the freight apportionment for the siding.
See, the commissioning took place starting from October 2008 to June 2019 in different phases. And the Government of India, Ministry of Railways had decided to give these from 2017 onwards, whereas, the KRCL wanted to have from the date of commencement of the train operations. So, this is very logical and if Go vernment of India and Ministry of Railways has agreed from 2017, they should agree from the 2009.

So the thing is that the system is very clear and the case is very strong. The tribunal is likely to publish the award and the moment these awards are publish ed, everything will set right. And we are very hopeful about the claims and the dispute is very simple, which I have narrated, which I have tried to explain.
Moderator: Thank you, sir. We take the next question from the line of Mr. Ram Chakarborthy, Indivi dual Investor. Please go ahead, sir.
Ram Chakarborthy: Good evening, sir. Heartiest congratulations for the very good set of numbers and for the positivity.

Ram Chakarborthy: Okay. Thank you, sir. Now my question, I have just a small -- three, four small questions. The thing is, of the current year's revenue, what is the percentage, which is attributable to the nomination basis orders? And in your order pipeline, which you have right now, what is the bidding pipeline, which is there? Can you please tell t hat to me?
Rajesh Prasad: I said that the present order book as on 31st March 2023 is INR56,000 crores plus out of which around INR36,977 crores is the nomination and rest is bidding. And in time to come, we are going to have only from the business develop ment bidding and no nomination from the Government of India. So the ratio is going to change in time to come. So this was your first question. And what was your second question?
Ram Chakarborthy: And my second question is that one more question, which I ha ve, which is that regarding this Kazakh order, in how many years would that be executable?
Management: How we are going to execute…
Ram Chakarborthy: Three, four years?
Pradeep Gaur : Yes, yes, sorry. K yrgyz tan, the execution will be same, exactly in the sa me way, the way we do assigned projects of Indian Railways, because that project also will be on assignment basis to RVNL.
Ram Chakarborthy: Okay, sir. And my final request to you, sir, is if you can please supply a comprehensive investor presentation, s o that we can track the order inflows and execution better and all the financials with the ratios, free cash flows and everything. If you can present this investor presentation like other companies do, that will be very helpful for us sir.
Pradeep Gaur : Yes, yes, we will do it. We will do it. Absolutely, I think we want to give as much information to our esteemed investors, so definitely we will do it.
Ram Chakarborthy: Thanks a lot. Thanks a lot, sir. Okay, and best of luck, sir.
Moderator: Thank you, sir. L adies and gentlemen, due to paucity of time, that was the last question for the day. We will now conclude the earnings conference call. On behalf of Rail Vikas Nigam Limited, thank you for joining us and you may now disconnect your lines.

Pradeep Gaur : Thank you so much. Thank you so much.
Management: Thank you very much.

Call: Aug 2023

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CIN: L74999DL2003GOl118633

RVNL/SECY/STEX /2023 23.08.2023

Sub: Transcript of Conference Call with Investors
Ref: Regulation 30 of the SEBI (LODR)Regulations, 2015
Dear Sir/Madam,
This is in continuation to our letter of even no. dated 17.08.2023 regarding intimation of the Audio Recording of Conference Call with Investor on the website of the company. Transcript of the said Concall is enclosed herewith. The same is also available on website as follows:

www .rvnl .org – Investor - Compliances - Disclosure.

You are requested to take the same on your records.

Thanking you,

Yours faithfully,
For Rail Vikas Nigam Limited

(Kalpana Dubey)
Company Secretary & Compliance Officer

National Stock Exchange of India Ltd .
Exchange Plaza,
Plot no. C-1, G Block,
Bandra-Kurla Complex,
Bandra (E), Mumbai - 400 051
Scrip : RVNL BSE Limited
Department of Corporate Service,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001
Scrip: 542649

“ Rail Vikas Nigam Limited
Q1 FY202 4 Earnings Conference Call”

August 17, 202 3

ANALYST : MR. VISHAL PERIWAL - IDBI CAPITAL

MANAGEMENT : MR. PRADEEP GAUR - CHAIRMAN & MANAGING DIRECTOR - RAIL VIKAS NIGAM LIMITED
MR. RAJESH PRASAD - DIRECTOR OPERATIONS - RAIL VIKAS NIGAM LIMITED
MR. SANJEEB KUMAR - DIRECTOR FINANCE & CHIEF FINANCIAL

OFFICER - RAIL VIKAS NIGAM LIMITED

 Moderator : Ladies and gentlemen, good day and welcome to Rail Vikas Nigam Limited Earnings Conference Call for Q1 FY2024. This c onference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on th e date of this call. These statements are not guarantees of future performance and involve risks and u ncertainties that are difficult to predict . As a reminder , all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to M r. Vishal Periwal from IDBI Capital. Thank you and over to Mr . Periwal .

Vishal Periwal : Thanks Yusuf and good afternoon everyone. Thanks for joining in for the Q1 post result earning call of Rail Vikas Nigam Limited . From the RVNL management side today we have with us Mr. Pradeep Gaur, Chairman & Managing Director, Mr. Rajesh Prasad , Director Operations and Mr. Sanjeeb Kumar , Director Finance & CFO . As usual we will have a brief overview from the management on the g one by quarter and the n we will have line s open for Q&A. Thank you sir and over to you.

Rajesh Prasad : I will take two minutes, jus t an introduction about the company. As you are aware this is a company which is around 20 years old . It is a Navratna Company , it is a listed company with CAGR has been more than 20% . We commenced our operation s in 2005 and got the Navratna status on May 1st, 2003. We are involved in the full project

 lifecycle that is from concept to commissioning. We have got a proven track record and we have commissioned and hand ed over 143 odd project s for Ministry of Railways. In last year 12 years we have been excelle nt and it is also trained in the Special Purpose vehicle model . The Q1 performance and OFS if you w ish I can speak just now or otherwise I will take the question . Vishal ji, if you are comfortable I ca

n briefly explain about the OFS, the quarter number or we can take the question.

Vishal Periwal : I think we can briefly may be few lines on the quarterly results and OFS and then we can have lines open for Q&A sir.

Rajesh Prasad : Okay. First, let us talk about the OFS. As you are aware that this company was l isted in April 2019, with 12 .16% of the divestment in April 2019 . It was followed by OFS -1 with 9.64%, but during that time the approval was taken for 15% , so the 5.36% which was remaining this time the OFS was called and it went very successfully. As on d ate, the government is holding at 72.84% and OFS-1 total realization of the revenue of the order of Rs.475 Crores , OFS-1 was Rs.550 Crores and this time it was around Rs.1365 Crores. The institutional purchase was 2.73x and it was successful OFS. So as on date, the government is holding a t 72.84% and the requirement was the minimum public shareholder requirement. It has to be more than 25%, but it has crossed that limit and now the public is having a holding of 27.16% . So this is all about the OFS -2. Rega rding this Q1 number, so as you recall the last time, we had crossed the all time high numbers of the turnover that was around Rs.20282 Crores, the profit after tax, the bottomline was Rs.158 Crores and performance, the commissioning was more than 1044

 kilometer that was also all time high. Now, you can see the numbers of Q1 and if you compare this Q1 numbers with respect to the Q1 in the history of RVNL again the topline and the bottomline was all time high . So this time, the turnover increased by 17% to be precise enough it was Rs.5446 Crores and the bottomline, the PAT was Rs.334 Crores and there was an increase of 17.8%. So, what I wanted to project is that the company has been growing and the numbers are also basically it is sounding good . Director fina nce will supplement on these number.

Sanjeeb Kumar : This year, we have had revenue from operation of Rs. 5446.25 Crores and other income was Rs.280. 36 Crores , we had total income of Rs.5726.61 Crores and this is 17.36% higher than last time , the expenses ar e Rs.5250 Crores and total profit after tax Rs.333.57 Crores which again was 17.83% higher than last year.

Pradeep Gaur : Now, we can take the question.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.

Dixit Doshi : Thanks for the opportunity. Sir my first question is , what is the current order book and the order book excluding the Vande Bharat order s?

Rajes h Prasad: The order book is Rs.65000 Crores plus and out of that , Rs.35000 Crores is the nomination basis, Rs.30000 Crores to the b idding , it includes Rs.8700 Crores for Vande Bharat , so total Rs.65000 Crores plus. Now, if you recall we had started bidding we had the first order

 for Indor e metro in October and November 2021 and it is less than two years we have got order about Rs.30000 Crores from the market.

Dixit Doshi : Okay. Just one clarification , so this Vande Bharat order of Rs.8700 Crores the revenue booking will happen at the JV level and the JV will come into our book as a share of profit from JV, is that understanding correct?

Rajesh Prasad: I will briefly explain what exactly is the model ? The total number of trains which are going to be manufact ured is 150 train sets at a size of Rs.150 Crores . The se trainsets w ill be manufactured at La tur and then the train sets are required to be maintained in Jodhpur, Delhi and Bangalore and the average maintenance cost will be 4% , so now if you multiply 120x120 it is approximately Rs.15000 Crores is the cost of the production and the maintenance cost

120x120x35 years at the rate of 4% it will be around Rs.20000 Crores, so the total order will be Rs.36000 Crores, Rs.37 000 Crores out of which RVNL has got a share of 25%. As per the MoU and the shareholder agreement, RVNL has got a share of 25% and if you multiple this 36000x125 so our share will be Rs.8700 Crores to Rs.9000 Crores . This is the rough figure and the timeline is that the first prototype is required to be manufactured within two years and the second prototype within two months after that and subsequently 12 in first year, 18 in next year and 25 in subsequent years and these Vande Bharat trains will be manufactured at Latur and Latur was a factory which was basically maintained by RVNL only and it was inaugurated two years back during December 2 5, 2021. So with the history of the Latur work shop and the order breakup of this Vande Bharat trainsets and all the realization of revenue will take place, we abov e guidance is the roadmap.

 Dixit Doshi : Okay, so now obviously as you mentioned that Rs.30000 Crores of order we have went through the bidding process, so all the orders which we must have received in last six to eight months, those will be at the planning stage or a designing stage, so considering all that what kind of execution we expect in FY2024 and 2025?

Rajesh Prasad : Let us go to the first project which we have taken . The Indore metro which we got the two packages in the month of October and

November , so last year we had a turnover of Rs.500 Crores in FY2022 -2023 and during this FY2023 -2024 again Rs.500 plus Crores we are going to have the turnover and the project is as per the time to do so we are getting the revenue out of this project and the proje ct is likely to be completed by June 2024 and we are also happy to inform that six kilometers of the stations are getting basically we are going to have the trial in the month of October , the civil engineering construction has been handed over for the syst em and track work and if it happens then it will become the fastest metro in the country , so what I wanted to tell you is that the project should be brought in the beginning , they have already started giving the results and the outcome , so this is about th e first Indian project and the first overseas project was Maldives and again during this financial year we are going to have more than Rs.500 Crores of turnover and in fact I am happy to say that we have already done inclination of more than Rs.5 lakhs in last two and half month, it is an extraordinary performance. So coming back to your question about whether we are getting the revenue order of this project or not , so the projects which we have got earlier , they have already started giving the results and it is getting reflected in our revenue.

 Pradeep Gaur: I will add further to what Mr. Rajesh Prasad mentioned, so basically I think your main point was what will be our topline in 2024 -2025, so the present order s as Mr. Rajesh Prasad mentioned is around Rs.65000 Crores and definitely we have got another one-and-a-half years before we further add the orders and to execute also . The way we are going , we are targeting that at least we should have at any point of time order book of Rs.75000 Crores to one lakh Cr ore. So I am sure the topline definitely Rs.20000 Crores like last year Rs.20 200 Crores and this year also definitely will exceed it. So, I think best part is even after railways orders getting slightly dried up we will continue with the positive growth may not be with the CAGR of 27 % and all what we had to think that may take one or two years to reach even that , so I am sure the way we are getting the order s, the way we are performing as Mr . Rajesh Prasad mentioned about Indore Metro , now Chennai Metro anothe

r Rs.5000 Crores, Rs.6000 Crores work which we have already started and other places different metros even in highways plus Vande Bharat is also now on a very smooth pa th because after share purchase agreement, shareholders and everything is settled now , because initially there were few bumps , so we have got over it. So I am sure topline will be maintained in a very positive manner .

Dixit Doshi : Okay and one last question on the other income , so last year on a console level our other income was almost Rs.1000 Crores and even this quarter it is almost Rs.280 Crores, so what are the major contribution of this other income ? How much would be the interest income on the cash , we must be holding and any other part of other income and also is there any interest income we are recording from KRCL?

 Sanjeeb Kumar: Yes, other income is largely interest and some dividend from our subsidiary and we are having interest income from KRCL.

Dixit Doshi : How much would be the interest income?

Sanjeeb Kumar: From KRCL , the tot al interest income would be around Rs.255 Crores or so in this quarter.

Dixit Doshi : No, I am asking only from KRCL.

Sanjeeb Kumar: KRCL interest for the quarter is still being computed, because they have not finalized the results , but it should be in the region of Rs.35 Crores to Rs.40 Crores for this quarter or little less.

Dixit Doshi : Sir, just one last point, I think we are recording this as an income , but we are not receiving the payment, is that the correct

understanding?
Sanjeeb Kumar: We are receiv ing the payment, but not in full m easure in a very small measure , yes, so far they are not receiving, but then we are in a situation in which will be receiving a large part.
Dixit Doshi : Do you see any risk of this money not coming that is why I am asking , because we are recording it as a n income.
Rajesh Prasad : If you see the performance of the Krishnapatnam Rail Company Limited , the performance of the traffic has been extraordinary , in fact in FY2021 , they transported in the whole financial year 2565 rakes which got increased to 3093 rakes in 2021-2022 and in 2022-2023 it became 5422 ra kes, there was a jump of 75.30 % and in Q1 also, the performance of this particular company , the traffic has gone up by 31 %. So, one thing is there that the traffic has incre ased in this
 particular system . We have commissioned t wo number of crossing stations . We are going to commission one by pass line in next two months ' time that will further add the traffic and the efficiency of this S PV line, so what I wanted to tell you is that the traffic has suddenly gone up in KRCL , number one . Number two, there was arbitration which was going on the arguments have been over , the verbal arguments have been over by the arbitration , the honorable tribunal and the written argument is the la st date of submission of the final written argument is August 28 and after that the tribunal will basically reserve the final judgement and award and we are very hopeful to get the award in positive manner , because in previous investor speech we had told a bout the dispute and the dispute was very simple that the terminal cost and then the portion and earning for a period they are agreeing and for some period they are not agreeing whereas it is a commercial agreement either they should agree full or they sho uld not agree at all . So, the disputes are very clear cut and we are very confident that we will get positive rewards from the arbitration . So as far as the KRCL is concerned that in time to come , we are going to have good traffic , because the traffic position whatever we are having , it is very sound and it has already shown a lot of improvements in the past and the arbitration is also likely to

be concluded and we are very confident because the dispute is a very simple and anybody can understand that what exactly are they disputes and whether it is stable or not stable .
Pradeep Gaur : Mr. Joshi , I will like to add few points as what Mr. Rajesh Prasad mentioned while completely agreeing to what he have told. So kindly appreciate one thing there was a change o f ownership of the Krishnapatnam port between the original developers and Adani. So, in between we had some sort of normality time for this port, because
 of the changeover , so neither the original developers nor the new one were in the think of the things in a proper manner , so that led to some downtrend and but now things are picked up and Mr . Rajesh Prasad mentioned about arbitration yes , logically it should be simple , but I can tell you notwithstanding even that we are today much more confident of gettin g this amount and the positive financial health of KRCL, because of the new owners firmly in pedal and doing a great job.
Dixit Doshi : Okay. That is it from my side. Thank you.
Moderator : Thank you. Next question is from the line of Nikhil Abhyankar from ICICI Securities . Please go ahead .
Nikhil Abhyankar : Thank you sir . Thanks for the opportunity . So my first question is regarding railway tendering opportunity , so how has it been in Q1 and where do you think it will go as we go along in this year ?
Rajesh P rasad : Can you repeat the question again?
Nikhil Abhyankar : Railway tendering activity, how has it been in Q1 and what is the opportunity size in FY2024 ?

Pradeep Gaur : May I request you to slightly be louder because voice was not very clear , but once you repeated we have understood it.
Rajesh Prasad : As I said in the beginning that we started b idding less than two years back and it is totally a new field and just for the sake of numbers we have participated in the bids to the extent of 175 , 173 to be precis e and the total amount of bid was around Rs.96000 Crores and we have been awarded or we have become L1 to the extent of more than Rs.30000 Crores, so this is the quite substantial and really

 remarkable that government PSU molded itself and then went into the market and from the market Rs.30000 Crores of order s we have taken . Now coming back to your question that in FY 2023-2024, how many bids we have participated , so the exact number was 44 and the total quantum was Rs.19000 Crores plus.
Nikhil Abhyankar : Understood and what is the pipeline in the next nine months ?
Rajesh Prasad : What our CMD sir has just now said that one of the mission area of RVNL is that we should have an order book of Rs.75000 Crores to Rs.1 lakhs Crores, so we are doing the expenditure every month and at the same time we are getting new work . So, the idea is that at any point of time , we should have the order book of Rs.75000 Crores to Rs.1 Lak h Crores, today it is Rs.65000 Crores and accordingly we can work out what kind of orders we are going to have . We are eyeing a lot of projects in the metro segments , overseas projects and of course the railway projects are the preferred projects and we are participating depending upon the kind of p rojects and the complexity and the various factors and for the overseas projects , we are also looking basically the reference of the funding arrangement.
Nikhil Abhyankar : Okay, specifically regarding the electronic interlocking and covers opportunity , so do you see any orders in this year from the se two segment s?
Rajesh Prasad : We are participating in the tenders which are basically related to the civil engineering , electrical , SMP, mechanical , mechanical means Vande Bharat . In the SMP segments , we have specifically participated in 34 number of tenders and we have ba gged Rs.3373 Cro

res of projects . Regarding the covers part, yes we have not

 participated in it, but we are eyeing a lot of projects which are related to the safety and covers etc., in time to come.
Nikhil Abhyankar : Okay, sure sir. I guess Adani ports is quadrupling the railway l ine from Mundra till Gandhi Nagar and they are building from Sawantwadi to Pandharpur , so will we also take up such project of quadrupling the railway line in coming years ?
Rajesh Prasad : Presently we are not doing it , but since the nomination is stopped so whatever project which we are getting from the railways , we will have to participate through the b idding and if such projects come to the tendering process from the Ministry of Railway we would be keen to participate in those tenders also.
Nikhil Abhyankar : Understood and just final question sir. We have achieved with Metrowagonmash , on major component of Vande Bharat orders will be some motors and all these things, but given the Russian origin of Metrowagonmash made wit h large pla yers like ABB Siemens would not be willing to provide all these raw materials to Metrowagonmash , so how are we placed in terms of raw material sourcing and vendor development ?
Pradeep Gaur : Okay . I have got this question. As far as this is conce rned, first and foremost I can tell you that nothing is going to come from Russia . Supply chain is available in India or in some one or two other places , but not from Russia , so TMH or Metrowagonmash , there will be no Russian component . It will be complete ly driven from the present supply chain whatever is already taking place for Vande Bharat being manufactured in ICF, so that is not an issue . If you can kindly

specify anything else you would like to know on this .

 Nikhil Abhyankar : Sir, major MNC like say ABB and Siemens you might have to source your raw materials from them for these orders , but there might be a chance that they might not supply to this JV , because of the Russian origin of Metro wagonmash .
Pradeep Gaur : Yes.
Nikhil Abhyankar : In that way, how are we placed in terms of developing local vendors or how are we trying to tackle this problem ?
Rajesh Prasad: You are right , so the main two components are there . There may depend on Alstom or any other agency . One is propulsion system, another is the b raking system which may have to get from Germany or U.S . These are the two main things , so in that case we are already in touch with Alstom, Siemens and everyone. There are very, very comfortable in dealing with RVNL. So what will happen that S PV will put this responsibility to RVNL and RVNL will tie up with them. So once th e purchase order has been made by RVNL , they have absolutely no problem in supplying to us.
Nikhil Abhyankar : Okay, so basically Rs.8000 Crores worth of order book that we have from this JV, is mainly regarding all these things is not it ?
Rajesh Prasad: Rs.8000 Crores is basically what has been divided is 25 % of the total order .
Nikhil Abhyankar : Okay.
Rajesh Prasad: Things are changing , slowly and slowly Russians are finding that if they can be more and more through RVNL, so it will be better for the project , so we may end up more than Rs.8000 Crores, Rs. 8000 Crores is a simple 25 % of the total order . But because of this

 situation as you rightfully mentioned , the scope of RVNL is bound to increase , because Russians are also feeling more and more comfortable dealing with various agencies through RVNL.
Nikhil Abhyankar : Okay, understood sir. Thank you and all the best.
Moderator : Thank you. Next question is from the line of Kaushal Kedia from Wallfort PMS . Please go ahead .
Kaushal Kedia : On the other income front, I just wanted to

ask you , the interest is on some advances received or is the cash balance bid by the company over the years ?
Sanjeeb Kumar : This is mainly on the cash balance bid by the company.
Kaushal Kedia : So how much would that be out of last year break of how much percent of that w ill it be on cash balance sir?
Sanjeeb Kumar : It would be around Rs.600 Crores to Rs.700 Crores for the last year , year ended March 31, so similarl y it will be around 60 % to 70 % will be cash balances and trade receivables .
Kaushal Kedia : On the operation front, between the margins are very thin ?
Sanjeeb Kumar : This question was not clear .
Kaushal Kedia : So, I think I was to remove the other income an d just look at the operational income that means we operate on very thin margins , is that correct ?
Sanjeeb Kumar : Comparatively yes.
Kaushal Kedia : Okay. Thank you.

 Sanjeeb Kumar : But just I would like to supplement that was because we were constrained on nomination works the keys are set . Here you plan for a higher income and order book is changing , so this will change in future.
Kaushal Kedia : Once we execute the orders margins will improve potential ly?
Sanjeeb Kumar : Potentially.
Kaushal Kedia : Thank you.
Moderator : Thank you. Next question is from the line of Smita Mohta from

Kredent InfoEdge. Please go ahead .
Smita Mohta : I have a few simple questions . Can you just divide your order between rail and non-rail?
Rajesh Prasad : I do not have the breakup of the rail and the non -rail, but what I can say is that Rs.35000 Crores which is on the nomination basis that is 100% rail and then this Rs.30000 Crores, we have got the breakup of the department wise, the civil engineering will be around …
Pradeep Gaur : The rail will be only SMP as of now.
Rajesh Prasad : SMP and Metro segments …
Pradeep Gaur : Metro segment, you would like us to add in rail or metro, do you feel it should be separate ?
Smita Mohta : Yes, it should be r ail only.
Rajesh Prasad : Okay, Rs. 30000 Crore s, the breakup will be , the Vande Bharat will be around Rs.8800 Crores then the signal ling in which is purely
 railway that is around Rs.3000 Crores and the railways segment would be remaining is around Rs.18000 so out of Rs. 18000 Crores Metro and Railway a ll together will be around Rs.8000 Crores, Rs.9000 Crores.
Smita Mohta : Got it sir . Second question sir, in your last concall you had mentioned that you would be getting a substantial order from the Kyrgyzstan Government, so have you received any update on the same ?
Rajesh Prasad : If you recall we had signed a MoU in 2022 on May 30 regarding four projects which involved around 1000 kilometers and accordingly in December 2022 basically a company RVNL was formed in December 2022 and we have got prepared the DPR for the kara line these are 225 kilometers and 180 kilometers . The Kurdistan Government is examining the DP R, the model is that the RVNL will get a 9% management fee and their government is also arranging funds from the EPS capital, so if you see the co mplete project lifestyle, DPR, design, financing and execution , so we have basically concluded the construct and the DPR and once the DPR is approved and financing model is concluded then the project will be executed, but we are very hopeful in time to com e. We have not got the letter for the execution , but the initial step like signing off MoU, forming of SPV then submission preparation of the DPR, submission of DPR and then the government is examining the DPR and the financing is also getting completed .
Smita Mohta : So how long do you think sir, can that take ?
Rajesh Prasad : As far as RVNL is concerned , the initial requirement was preparation of the DPR, for the two stretches we have submitted the
 DPR, those DPRs are getting examined by th e government and they are also arranging some funds from some financing institutions and once it is concluded then we will go to the exchange and we will intimate to all concerned . So, the present status is this and if any further development takes place we will inform the stock exchanges to all the investors .
Pradeep Gaur: I will just add to what Mr. Rajesh Prasad mentioned, yes, we were expecting that it should fructify by this time , but the Government of Kyrgyzstan is taking its time to approve the detail project report . The financing is already ti ed up, so we hope that it should happen very soon maybe month or so , but yes it has exceeded the timeline what we thought by March , April will be through with it , but as you know sometimes wheels of government does not move as f ast as we expect , but there is no obstacle to that except that normal time taking process of approving the details .
Smita Mohta : Understood. Sir, out the order s that you have received which you have mentioned in this quarter on bidding and nomination , can you divide it between domestic order s and international orders ?

Rajesh Prasad : So far , the international order is Rs.1500 Crores plus for the Maldive s and rest of the orders are the domestic orders, but a lot of foreign project are already there in the pip eline. We are focusing on the neighbouring countries like Bangladesh, Maldives, Sri Lanka, Mauritius , African continent , there is a assured funding like LOP, World Bank , ADB, AFTB and we are also thinking to participate in some of the projects in CPC model , so the overseas projects component is Rs.1500 Crores , but in time to come, we are trying to get more and more orders in that particular direction .
 Pradeep Gaur: Just to add to what Mr. Rajesh Prasad mentioned , we had a lot of offers and all that about so me foreign projects in Middle East and all that, but we are very circumspect about the funding part . We do not want to jump into something where there is even a risk of anything . First priority continuous to be lined up credit projects of the Government of India because that is the safest funding and equally safe funding is A DB funded projects , so that is why it is taking some time, but I can assure you that overseas project remains our focus , I mean pardon me for saying so but working conditions and margin s are quite on a higher side in over seas projects, so that is an area of focus , but we do not want to risk projects unless financing part is very, very safe.
Smita Mohta : Got it. Sir, my last question is that you must have heard about Rs.32500 Crores rail order that the government has recently launched in which they are targeting 2339 kilometers of track and 4500 Vande Bharat train which can span over 2047. So, my question was that in this order book what percentage do you think can you bid for under this r ail order of Rs.32500 Crores ?
Pradeep Gaur : Nothing stops us from bidding even 100 % because we will be qualified and everything , so there is no limit. We will deal with it as and when the tenders come , definitely , but there is no limit . We have capacity to execute whatever orders we receive and we will go for it , because that is our niche area that is our forte the railway project , so definitely it is an opportunity for us also to expand our order s.
Smita Mohta : Right and this money will be utilized for wha t purpose Sir?
Rajesh Prasad : That goes to the Ministry of Finance .
 Smita Mohta : Which money ?
Pradeep Gaur : You are talking of OFS money ?
Smita Mohta : Yes, for sale that you just raised , this will be utilized for what purpose sir?
Pradeep Gaur : So that tha t goes to the kitty of the

Government of India . It does not come to RVNL, because the ownership , this is the percentage ownership shared by government from this company .
Smita Mohta : Got it sir.
Pradeep Gaur : They will utilize it in the way they feel, but we have no role in it .
Smita Mohta : Got it sir. Do you plan to do any capex for any debt sir regarding the projects that are coming through as you said you feel the international as well as the domestic pipeline very strong?
Pradeep Gaur : Can you r epeat ag ain.
Smita Mohta : Do you think because of the domestic and international pipeline being strong as you mentioned will you be going in for any raising of any debt or capex ?
Pradeep Gaur : Our preference will be for LOP projects, finance projects , but we are looking towards one project which is a project transcending Botswana and South Africa , there model of financing by us so that is one project we are trying to see , but again it will depend on the kind of returns and any risk elements and all this , but this i s at expression of interest stage only, but otherwise our focus will be ADB funded or World Bank funded projects.

 Smita Mohta : Okay. Thank you sir. That is all from my side. All the best.
Moderator : Thank you. Next question is from the line of Ash Shah from Elara Capital. Please go ahead .
Ash Shah : Thank you for the opportunit y sir. So first question would be on the current order book of Rs.65000 Crores, how much portion of the order book is under execution right now ? Is it completely under execution or the re are certain projects where we are yet to start ?
Rajesh Prasad : Once we get the project, it immediately goes to the execution stage , so we can say that Rs.65000 Crores project except the project which we have got the LOA last one or two months, remaining projects are already in the execution mode .
Ash Shah : Could you quantify, how much LOA are we received in the last one or two months, the value of that ?
Rajesh Prasad : In FY2023 -2024, we have participated in total 44 number of bids approximate cost was a round Rs.19000 Crores and you wanted to know that how much we have won. That figure is not readily available , but yes we can tell you afterwards .
Ash Shah : Okay. Second question would be can you give us the sectoral breakup of revenue for Q1 FY2024 and FY2023, so how much did we book revenues from Railways ? How much did we do it from metros or how much do we do it from high ways something like that ?
Rajesh Prasad : So, you want to have the breakup of the Q1 performance ?
Ash Shah : Yes.

 Rajesh Prasad : So, we ha ve basically got the breakup in terms of the metro projects which we are executing on nomination basis and then the non -metro projects , so metro project is around is Rs.838 Crores, Rs.394 1 Crores of non -metro projects.
Ash Shah : Okay. One last question wou ld be how much is the outstanding from KRCL and how much have you received in FY2024?
Rajesh Prasad : Basically , it is a trade receivable . So you see one thing that the total cost of the project was around Rs. 2400 Crores out of this around Rs.1600 Crores plus we had earlier received . So as on date it is Rs.1450 Crores which has got interest component of around Rs.790 Crores and during FY20 23-2024 we have received around Rs.80 Crores.
Moderator : Thank you. Next question is from the line of Sandeep Sutodiya from Shivam Deal Mark Private Limited. Please go ahead .
Sandeep Sutodiya : Good evening everyone and congratulations on an excellent set of Q1 numbers . It is very h eartening to see Q1 performance at this level which is usually one of the lowe st of the four qu arters. Now sir, coming to my first question is that the profitability that we have seen from the S PV has been reported I guess Rs.7 Crores or Rs.8 Crores, th

is is against Rs.168 Crores for the financial year 2022 -2023. How do we see this going forward o r do we see a substantial reduction in RVNL profit share from SPV s in the current financial year ?
Rajesh Prasad : You please try to appreciate one thing that the Kutch Rail Company Limited . We have commissioned the entire section with the doubling with electr ification and that has been done with the internal resources out of which Rs.1000 Crores was taken through the bank

 loan and now with the electrification , the traction cost will become half. It is quite substantial this is number one and because of the doubling of the entire section , the number of the rakes with the double container will move more and more in time to come . It has provided connectivity to the DFC route so that will again basically it will augment the traffic , so basically the component from the S PV, the dividend path has gone down because in the Kutch Rail Company Limited , the money was utilized for the creation of the infrastructure which in long term will give the benefit , so the immediate benefit was not getting reflected in Q1 period , but we are 100% sure that in time to come , the traffic will further go up and the efficiency will go up , the operation and maintenance cost will go down , because the 100 % electrification one of the mission area o r the Ministry of Railway is that we should hav e 100 % railway electrification and the duty of the railway electrification in this particular Kutch Rail Company that the traction cost will become just half , so the indirect cost and the direct cost both are getting reduced in time to come . The traffic ba sically it will go up in time to come and in time to come we will get the benefits out of this S PV line and the reason for not getting the dividend from the Kutch Rail was that we were utilizing this money to paying back the loans to the bank .

Moderator : Thank you. Due to time constraint with the management this was the last question and we will conclude the call now . On behalf of Rail Vikas Nigam Limited , thank you for joining us and you may now disconnect your lines .

Call: Nov 2023

Regd. Office: 1st Floor, August Kranti Bhawan, Bhikaji Cama Place, R.K. Puram, New Delhi-110066
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CIN: L74999DL2003GOI118633

RVNL/SECY/STEX/2023 15.11.2023

Sub: Transcript of Conference Call with Investors
Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015
Dear Sir/Madam,
This is in continuation to our letter of even no . dated 10.11.2023 regarding intimation of the Audio Recording of Conference Call with Investor on the website of the company. Transcript of the said Concall is enclosed herewith. The same is also available on website as follows:

www.rvnl.org – Investor - Compliances - Disclosure .

Link:
https://rvnl.org/RVNL_cms/uploads/boardmeeting/Transcript_10_Nov_2023.pdf
You are requested to take the same on your records.

Thanking you,

Yours faithfully,
For Rail Vikas Nigam Limited

(Kalpana Dubey)
Company Secretary & Compliance Officer
National Stock Exchange of India Ltd .
Exchange Plaza,
Plot no. C -1, G Block,
Bandra-Kurla Complex,
Bandra (E), Mumbai - 400 051
Scrip: RVNL BSE Limited
Department of Corporate Service,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001
Scrip: 542649

"Rail Vikas Nigam Limited Q2 FY-24 Earnings Conference Call"

November 10, 2023

MANAGEMENT : MR. PRADEEP GAUR – CMD , RAIL VIKAS NIGAM LIMITED
MR. RAJESH PRASAD – DIRECTOR , OPERATIONS , RAIL VIKAS NIGAM LIMITED
MR. SANJEE B KUMAR – DIRECTOR , FINANCE , RAIL VIKAS NIGAM LIMITED
MODERATORS : MR. VISHAL PERIWAL – IDBI CAPITAL

Moderator : Ladies and gentlemen good day and welcome to the Rail Vikas Nigam Limited Q2 FY24 E arnings Conference Call hosted by IDBI Capital .
Please note that this call is of 45 minutes. Comments made during this call may include forward -looking statements that are subject to risk s and uncertainties and that actual results may differ easily from th ese forward -looking statements. As a reminder all participant lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Vishal Periwal from IDBI Capital . Thank you and over to you sir.
Vishal Periwal: Thanks Rico. Good afternoon , everyone. Apologies for the slight delay in the call. First of all , wish you all the investors , analysts and RVNL Management Team Happy Dhanteras , Happy Diwali and a prosperous New Year ahead.
I welcome you all for The Post Result Interaction with the Management of RVNL. From the management team we have with us , Mr. Pradeep Gaur Ji– CMD , Mr. Rajesh Prasad Ji – Director of Operations , Mr. Sanjee b Kumar Ji – Director of Finance.
As usual we'll have a small brief from the management on the business and then we'll have a line open for Q&A. Over to you.
Rajesh Prasad : So, basically , it is a PSU under Ministry of Railways and earlier it was mandated fo r implementation of the railway infrastructures. Now we are executing all kinds of infrastructures and not limited to India. So , in the past we were executing more than 30% of all the railway infrastructures. We got the Mini -Ratna status in 2013 and now we have become

Navratna. From 1st May 2023 . We have commissioned more than 15 ,500 km of the railway infrastructure s and there is a rating given by the Department of Public Enterprises every year and we have been given the rating of excellence for the last 12 years. The CARE rating has been given , we have received the CARE rating and it is AA A with outlook stable.
We are involved in the complete project lifecycle that is right from the concept to commissioning and we have completed and commissioned more than 140 projects on behalf of Ministry of Railways and handed over back to the Ministry of Railways for operations. We have also been mandated to constitute project specific SPVs and accordingly we have commissioned 5 number of special purpose vehicles and the y have already started paying the revenue s. As on date we have got the orders from the market which is to the extent of (+32,000) crores . The first 6 months the results have been that the turnover has gone up by (+8%), the profit after tax , the bottom line has gone up by 21%. For the first time in the history of R VNL that in first 6 months it has crossed the mark of 10 ,000 crores . Since we have started b idding in the project , the basket comprises of the different kinds of projects which includes even in the marine sector , the metro segments and then even the irrigation and the municipality section also .
This is the brief of RVNL and we have got few SPV s, special purpose

vehicles , Kutch Rail Company , Krishna patnam Rail Company , Baruch Dahe j, Haridaspur , Angul Sukinda and these all SPVs have been commissioned and they have generated revenue to the extent of 1,06,0 00 crores for the railways. In terms of the loading by these SPVs ever since they have been commissioned it is more than 840 million tons. We have been contributing a lot through this PPP model and we are the pioneer in constituting and making these special purpose vehicles . We have been also involved in executing

the turnkey projects and we have commissioned around 17 number of workshops where we purchase

wagons , will be manufactured , maintained and in time to come you can see that these are being utilized fulfilling the requirement of Atman irbhar Bharat. So , this is just a brief about RVNL and now we are ready for the question s.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Rohit from Antique.

Rohit: If you could touch upon the current order backlog because how far we are from the target of 75 to 1,00,000 crore as identi fied in the past , which are the big moving ticket items that you are looking for that will be really helpful ?

Rajesh Prasad: Basically , if you see the order book , earlier we started bidding in the year 2021 and the first bid which we got was in the month o f September and October . Today we are having the orders from the bidding which is approximately 32 ,350 crore s and Railways order book was around 35,000 crores . So, it is roughly 67 ,000 to 70 ,000 crore s. We do not escalate and update the order book every day or every month , but this is the approximate order book. We had an ambitious target to achieve the order book of 1,00,000 crores . We have been doing the turnover of around 20 ,000 crores . Last year it was 20 ,381 crores and in first 6 months this year it has just 10 ,000 crores for the first time. So , we anticipate that the top line will grow with some lesser rates. But the bottom line has grown by around 15% to 20%.

Regarding the question of the different kind of baskets , we have got the proven track reco rd of the railway projects and now the preferred segments have been the metro projects , the high-speed projects , the Janki projects and now we have entered into the manufacturing also. We are going to have all kinds of the infrastructure projects and it wi ll not remain limited to the India. Regarding the bigger projects , the biggest project which we are executing today is the Karna prayag -Rishikesh

project. There we are constructing the total length is around 125 km, out of which 84% is basically tunnels and in last 3 years 125 km tunnels including the escape and the other safety tunnels have been executed by RVNL. So , this is the landmark project which we are planning to commission by December , 2025. Then the metro projects , the first metro project which we took from the building from Indore, so 6.6 k m trials were conducted in September , 2023. So , within one year and few months 4-5 months , the trial was conducted successfully. This has become the fastest metro construction in the history of the country. So , it is a great landmark and margin wise , the profit wise we had reached almost to the same level slightly better than the margin which we used to get on the nomination basis. One of the bigger projects is Maldives projects where we had the order of around 1 ,600 crore s. In last 5 months we had done a reclamation of around 20 hectares, around 11 lakh MQ of dredging . So, these are some of the important projects and the projects of interest which I thought I should tel l you.

Rohit: I really appreciate those comments. My question is more to do with the revised railway policy. That is essentially we are doing away with the nomination clause and we are looking more for competitive bidding. In

that context how big is the r ailway opportunity we can foresee? Because
we don't see that number being talked about in a big way , especially the
big-ticket projects something like (+5000) crore s kind of railway
projects. Will it go into a conventional biding route or on a nomination
route? What is the outlook over there?
Rajesh Prasad : Yesterday only we ha d decided to participate in two number of bids

of
the eastern dedicated freight corridor which is now being executed by
the Zonal Railway s, Central Railway costing around 2 ,000 crores . The
opportunities are there. In the railway segment , we have got the proven
track record. But since we are in the competition mode , we will
participate in the different modes and we will try to capture the projects
from the railway sector as well as the other sectors.

Rohit: The identification of big-ticket projects that is from NRP perspective or
some other infrastructure pipeline perspective.
Pradeep Gaur: Mr. Rohit I will just add to what my colleague Mr. Rajesh Prasad has
mentioned. Sorry I have to interject in between. The basic issue is as you
said because of this railway policy , earlier also we used to get
comparatively a very less percentage of the overall projects of railways
on nomination basis and t hen 80% to 85% of the projects wer e being
executed by zonal Railways. So , our share in the overall project was
around 10% to 15% not more than that. So, as the investment in the
infrastructure railways grow , definitely that percentage even by bidding
will be able to maintain something like that. But the positive point is ,
now we are going beyond railways also. So , we are looking at a portfolio
where the share of railways will be maybe 30% to 35% and 65% will be
beyond railways because we are seeing even more opportunities outside
the railwa ys. And if I may say so , even after being in railway sector the
ease of execution is much better in various infrastructure as compared
to even railway s. So, with the kind of expertise and all that , we'll be able
to deliver not only railway projects but bey ond that as Mr. Rajesh Prasad
has already mentioned about the examples of Maldives and Indore
metro. So , we have proven our caliber there , what I want to say is the
opportunities for us definitely if railway infrastructure grows that also
will increase our pie in the whole thing.
Rohit: My second question was on on e of the big-ticket projects that we were
looking out for is the Kyrgyzstan project. I understand what the DPR
submission has done , the government is assessing it. Could you throw
more color on it ? Like what is the realistic timeline in which…
Pradeep Gaur: We continue to be extremely hopeful and there is some internal financial
closure and some issues are going on. It has nothing to do with RVNL .
RVNL has done its due diligence and already submitted to them. In fact ,
we are also equally concerned that why it is getting delayed. And we are

in continuous touch with the Government of Kyrgyzstan . So, I cannot
give you immediately a particular date but I ca n assure you that we are
pursuing it very vigorously and we hope to , even last week we had a
detailed VC on this with them and they have again assured us that this
is in final stage. Of course , what they are telling in final stage is going
on for last 2 to 3 months but sometimes the wheels in the government
don't move as we expect. So, we continue to be extremely hopeful and
hopefully sooner than later.
Moderator: Our next question is from the line of N ita Mo hta from Credint Info
Edge.
Nita Mohta: Basica lly, we were asking that you had hinted that the margins will
remain the same whereas for this quarter results , what we are seeing is
that it has gone down below even your EBITDA level. If we see it has
gone five quarters below that level. So , post getting so many orders
could you let us know that what has led to this kind of a performance in

this quarter itself or is it one of a kind?
Rajesh Prasad : This first 6 months the gross margin if you see , it has increased from 563 crores to 607 crores . I'm talking about the gross margin and the gross margin upon turnover , it has increased with resp

ect to the 5.77% of the whole financial year of FY22 -23. But it has gone down by 0.04%. The gross margin upon turnover has been 5.86%. What has happened is that there are various factors these margins. One is the margin which we get from the projects which we execute on behalf of Ministry of Railways , the margin which we get from the building projects , the interest which we get which we park ed in the banks and the other fi nancial institutions then we get the dividends. So, this year this first 6 months the dividend from the Kutch R ail Company has gone down , has not been there because of the fact that they had executed in doubling and the electrification project costing arou nd 3 ,700 crores with the internal resources which has done a lot of value addition and in longer term and

in time to come we can see that it will change the dynamics. We are going to have more traffic in that Kutch Rai l Company Limited , number one. Then th e O&M cost , the electrification cost vis-à-vis the diesel traction cost , it is almost half now. The entire section is the electrified. So, what I wanted to tell you is the very less margin which you are saying the very less number that is 5.9 % to 5.86%. Th e dividend is basically contributing , that contribution we do not get in the first 6 months from the Kutch Rail C ompany.
Nita Mohta: My bookkeeping question to you was that , in next 1 year do you see this margin as you were expecting it to go to a double digit sooner than later?
Rajesh Prasad : Earlier the projects were assigned on the nomination basis. Then the margins were fixed. But now the project s which we are taking from the marke t, while we are doing the bidding, we do the risk analysis and we allocate the risk factors also. The aim is also to get the order book and we are keeping sufficient margins available. I can tell you the first two projects of Indore Metro which we got in t he month of September - October , the margin is more than what we are getting from the nomination basis. Similarly , the first overseas projects which we are executing in Maldives , there the margin is also more than the projects which we used to get from the n omination basis. So, overall what I can say you is that there would be some projects where the margins would be less but there will definitely be some projects where the margin will be 10% which you are telling , it is only the time, and these projects are challenging. We'll have to execute in a challenging mode, and we will make sure that the margins are available at least whatever we are getting from the nomination basis.
Nita Mohta: In the last conclusion you had hinted at exports increasing as a percenta ge of your revenue. So, with this Maldives project and the others that you were hinting at, how can you rate the percentage of success on

the bidding and the getting of the orders? Can you just quantify that as a percentage term?
Rajesh Prasad : Can you ple ase tell again?
Nita Mohta: The biding and the getting of the orders between that , can you just quantify the percentage wise that how much have you bid and how much did you get out of it?
Pradeep Gaur : The strike rate is around 35% to 40% depending on this thing. So , like this year we have bid , exact figures I do not know but we had reviewed it just a few days back. So , it was around 40% is our strike rate. Suppose we quote for 100 , we got in this particular year around 40.
Nita Mohta: So, would it be comfortable to guess that you will be having a 35% to 40% market share on an overall blended basis?
Pradeep Gaur : Yes, you can say so but depends on how many projects we will bid

because we are not bidding for 100% whatever is coming. So , we are doing a due diligence on which are the projects to be bid and which are not to be

bid because we have our strengths in particular areas where we are very keen on bidding. There are some areas where we are not comfortable we are not bidding. But what I can say is I will not speak of market share but what I can say is whatever we'll be biding we will work to it that our strike rate remains around 35% to 40%.
Nita Mohta: And out of your 70 ,000 crore s order book that you said , so how much of it is from domestic and how much is from exports?
Pradeep Gaur: Actually , we do not do any exports per se. As of now we have only one project in exhibition stage beyond our country that is in Maldives , its value is around 1 ,600 crores. So , with the variation and all it may go even up to 2 ,000 crores. So, that is the project as of now which is this thing . But I take this opportunity to inform that we are trying to have our

footprint in Middle East and Africa, and we are going in a very strong way. There are a lot of very promising projects are coming up , particularly railway projects in Africa , in Botswana , South Africa and other countries. We have established our office there. Similarly , we have established our offices in Oman and UAE. So, in time to come , you can see lot of our fa ir share of the projects coming from these areas and parallel ly we are trying to look towards Vietnam because Vietnam is going for railway expansion in a big way. So, that will be one of our focus area s. But we are not averse to even participating in proje cts beyond railway , like Maldives is entirely a project which was nowhere even in the area of our expertise. But still we have gone there and performed there.
Moderator: Next question is from the line of K etan Jain from Spark Capital.
Ketan Jain: I would like to know what would be a bid pipeline like what are the projects we've bid for recently and what are the projects we're looking to bid for?
Rajesh Prasad : I had said in the beginning that the railway infrastructure structures where we have got the pro ven record that becomes our area where we would prefer to execute . Metro segments , this is a highly technical segment, and we are technically very competent to execute these kinds of projects and we have proved this for the Indore metro. So , the metro segment is another segment where we are very comfortable. We have entered into the electrical distribution and transmission systems , even the Municipality in Ahmedabad and in the metro segments the complete project lifecycle , project different k ind of like the systems , the track , the depot , the electrical system , then the complete civil engineering construction. So , the metro segments , the railway infrastructures , then all kinds of infrastructures.

Ketan Jain: I was asking is there anything spec ific projects which are you looking to bid for currently in the pipeline?
Rajesh Prasad : I said just now in the beginning that yesterday only we were thinking. We have already decided to participate in two tenders costing around 2,000 crores for the DF CC, Dedicated Freight Corridor of Eastern sector from the Gomu to Somnagar. We have been working , we are basically seeing all the kinds of the tenders which are coming up and then we conduct internal meetings. We have got a bidding cell , then we do the prebuil d engineering , sometimes internally , sometimes engaging some consultants and accordingly we work out the dynamics. Recently we have got three projects awarded in Western Railway and in Central Railway. We are bidding for railway projects as well as project s beyond that. I'm sure in time to come we'll have a reasonably big order book to execute projects, both railways and non -railways.
Ketan Jain: My last question is about roads segment. Are we looking to bid for roads

and what is your view on NHAI

awarding in the next two quarters?
Rajesh Prasad : The road segment is another preferred segment because up to the formation level , the railway embankments and the road embankment is same. In fact , the railway infrastructure projects are much more complicated. And the NH AI we have got two models ; one is the basically EPC model and the other is the HAM model. H AM model , we have participated in few tenders. We have also got the orders and for the EPC also we have got few orders. The projects are challenging because sometimes it is at very remote location. For example , the Vara nasi to Kolkata the 6 laning project, it is basically falling in the moist area. The land acquisition is an issue , the encroachm ents, the appointed dates . Sometimes yes the projects get delayed but we are executing. We have been getting orders from NH AI and this will again remain one of the preferred segments for R VNL in time to come.

Moderator: Next question is from the line of I ndrajit Chakravorty from Script Trad ing.
Indrajit Chakravorty : My question is that I read , that recently the railways is proposing to expand the current —not expand but wide n the current —freight corridor and they have earmarked something like 4,00,000 crores for this purpose. So , do you have any information regarding it and can you please update on that?
Rajesh Prasad : Yes, presently there are two corridors , Eastern and the Western which are in the implementation phase and which have almost been implem ented in next 6 months to 1 year entire project will be completed and commissioned. Now the next phase , they have already started planning and executing. Some DPRs have been prepared for the various corridors and they have handed over this for execution by the zonal railways. Accordingly , few tenders have come up and we are participating in those tenders of the DFCCIL. So, yes, in time to come you will see that large number of tenders coming up for the DFC corridors in the various parts of talking.
Rajesh Prasad: 4,00,000 crores to widen from Calcutta to Delhi and stuff. The certain corridors will be expanded like widened so that it becomes very easy. You are talking about the DF FC corridor ? I really don't know the technical term for that.
Rajesh Prasad : So, Ministry of Railway is having huge expansion program. They have made an NRP , National Rail Plan. In that particular National Rail plan whatever infrastructure is required by the year 2050 should be in place by 2030. So , in next 7 years you will be seeing large number of projects coming up. The idea behind this is that the present model share is approximately 26% which has to go up by 45% in the year 2015.
Indrajit Chakravorty : That means a huge opportunity for your company.

Rajesh Prasad : Yes. There is another concept of the logistic cost. The logistics market of the country is more than $250 million. I f you transport by road and if you transport by rail then the cost is almost half. The green transport system , basically railway is now 100% electrified. The model share is equally important. If you see the logistic cost in the country , it is 16% of the GDP and in order to compete worldwide it has to come down to 10%. So, the Government of India has come out with a logistic policy 2022 and the model share , the railway infrastructure that is why we are getting a lot of trust in implementation and commissioning of the railway infrastructure.
Moderator: Next question is from the line of Shivam Kumar Gupta , who is an investor.
Shivam Kumar Gupta: My question i s regarding India Middle East -Europe Corridor project which was announced in G20 summit. What role RVNL can play in developing that project? Shed some light on that.

Pradeep Gaur: Actually , RVNL as far as that Middle East Cor

ridor is concerned , so it
will be by financing by different countries including India. So, definitely
we are looking it as a huge opportunity for us because it is purely railway
sector and that is what is our niche area. So , we are very upbeat about it.
Moderator: Next question is fro m the line of Vishal Peri wal from ID BI Capital.
Vishal Periwal: I think in terms of our revenue target for this year , can you provide what
is the MoU target and what are we targeting in terms of growth rates in
FY24?
Rajesh Prasad: We had earlier said th at the top line would grow marginally. But the
bottom line I had said around 15%. So, last year we had a bottom line of
1,267 crore s, so we expect to be around 1 ,400 crore s. The top line we
expect , this first 6 months we have crossed the 10 ,000 mark for the first
time, so maybe (+21,000) crores .

Vishal Periwal: Will it be a vailable with us , the data of the revenue that we have done in
first half , what is the nomination and what is the bi dding project that we
have executed ?
Rajesh Prasad : The project s whic h we ha d taken from the market , it is a very recent
phenomenon . You'll have to appreciate that. So , the numbers which we
are getting is only from Indor e Metro , major portion is from Indo re
Metro , then the Maldives project and most of the projects are from the
nomination basis. But in time to come , you will see the reflection from
these projects which we have taken from the market and that will be
getting reflected. So , the first 6 months the majority is from the Indore
Metro and the Maldives project.
Vishal Periwal: In terms of balance sheet , we have done CAPEX in first half. And will
it be possible to provide some detail in terms of investments in JV that
we have done and plus at a standalone level there are CAPEX which we
have done , capital advances which is there in cash flow ? So, this is for
what and which side of JV we have made this investment ?
Pradeep Gaur: These JVs actually we have now different type of JVs. First is the JVs
which were purely for railway projects where we had invested around
1,100 crore s. Now we have lot of JVs which are for different purpose
like manufacture of Vande Bharat , then different HAM projects and 1
or 2 JVs for projects which are not HAM but similar pro jects. So, as of
now Mr. Rajesh Prasad my colleague will speak f urther on this.
Rajesh Prasad: As far as the typical railway infrastructure projects are concerned , we
had ASRL Angul -Sukinda , Bharuch-Dahej, Haridaspur -Parad eep, Kach
Rail and Krishna patnam. So , these were the 5 SPVs which have been
commissioned and they are in the operation stage. Then we have got the
MMLP s. The concept of MMLP is that we had signed an MoU around
2 years back for 35 locations and 3 such MLLPs like Indor e MMLP ,
Chennai and Bangalore. So , the SPVs have been the JV model. The JVs

have been c reated with the NHLML and the local state government
agency and t here the private participation is not there. Then we have
formed Kinet Railway Solutions. Basically , there we have got , initially
it was a subsidiary. Now we are holding 25% share in this and this
particular S PV will be executing the Vande Bharat train Express. Then
we have got the Shimla bypass , the JV. Then we have got the
Kyrgyzindustry, Kyrgyz Rail, RVNL close Joint Stock company. So , we
have got the large number of SP Vs and J Vs and the M MLPs are likely
to take up shortly. K inet Railway Solution has already taken up industry ,
the JV . CMD sir has just now said that we are in active discussion with
the government there for moving forward. We have already submitted
the DPR etc. So, these are some of the details of the SPVs and if you are
having any observation against for any particular SPV then you can ask.
V

ishal Periwal: No sir this is helpful , maybe one last question from my side on Vande Bharat. Two-part question , one is the order that w e have already received. Can you give some timeline in terms of when we are supposed to submit the prototype and when the actual , we can start manufacturing Vande Bharat train ? And second is in terms of opportunity size , how big you see and any timeline that you have received from Ministry of Railway in terms of these many sets will be coming in next twelve months 24 months. That will be helpful.

Rajesh Prasad: So, this particular tender was for 120 number of train sets a nd the bid price was 120 c rores per set. And these trains were also supposed to be comprehensive maintenance period. So , they were supposed to be maintained in three depots and the average cost of maintenance was 4% maintenance for 35 years and 4% per year per set . The roadmap was the submission of bank guarantee which has been done. Then execution of MCMA, that is the manufacturing cum maintenance agreement that has been done. Now the mockup is to be prepared a 3D model that how this rake will look like. T hen first prototype will be 2 years after this MCMA. Second prototype will be 24 months plus 2 months and after these

prototypes are approved 12 in first year ,18 next year and 25 each after that. And the maintenance will be done at Bijwasan , Jothpur , Bijw asan is in Delhi only Jo dhpur and Bangalore. So , some works are also required to be undertaken there. So , at this stage we can tell you that the execution of MCMA has been done , mock up is being prepared and then the prototype will be made at La tur the fac tory which we have constructed the Marathwa da Rail Coach Factory.

Pradeep Gaur: I will just add to that. Presently things are going very smoothly. We have a working group with our partner that is TMH Russia and things are moving this way. So , prototypes al though the time is 2 years but we want to compress it , so that earlier we start the production better it will be for us because that will lead to better cash flows also. So , both of us we and TMH are working very great synergy in this direction.

Vishal Pe riwal: And in terms of opportunity also.

Pradeep Gaur: So, that is a very important part and what you have asked is I'm so thankful to you for asking this. It opens up huge vista of opportunities for us because we want to have a very strong vertical for rolling stock. It can be appreciated that as of now RVNL was virtually Nil as far as rolling stock manufacturing is concerned. So , this opens up really please don't mind my going over board on it but a flood of opportunities because lot of rolling stock manufacturing is going to come because as the system expands , like Indian Railways is trying to expand other railways are trying to expand. So, that will ultimately lead to huge expansio n in the demand for manufacturing. So , like many countries are now realizing the importance of railways vis-a-vis road sector . Vietnam is trying to open , one Middle East is going to open one. And kindly appreciate some esteemed investor has asked just now before you , about the Middle east corridor. So, even that is rail based . We are very upbeat about it and I think it's the right time. It's an opportune time for us to

have got into this manufacturing. So , it is a game changer for us as far as opportunity i s concerned.

Vishal Periwal: And in terms of new tenders in Vande Bharat will this happen after the prototype is submitted or paralle lly w e see that new tenders will come to the market ?

Pradeep Gaur: The tenders will happen parallelly because we are going to have a big tender from Mumbai Metro and other even Indian railways. So , what has happened now , RVNL has got a huge visibility in this. Th

at the fact

that TMH has partnered with RVNL and RVNL being a public sector of Ministry of Railways, so it has give n a huge market presence or market visibility for RVNL . So, we have been approached now by various

companies like Siemens Alstom, like some Malaysian manufacturing. A
lot of companies have shown interest to tie up with RVNL j ust by the
fact that we were pa rtner in this Vande Bharat Express . So, this will go
parallel ly. I can share, ye sterday also we had a very detailed meeting
with Siemens on this. Of course , Siemens have their own rolling stock.
But we have told them that we have got alternatives to that. So, that we
can do even more competitive bidding in this case. Because some of one
or two companies in Malaysia , they are very cost competitive even
compared to the West European companies.
Pradeep Gaur: Thank you.
Pradeep Gaur : Thank you so much and wish you a very Happy Diwali and Dhanteras .
Moderator: Thank you.
Moderator: Thank you . As there are no further questions , we would now like to close
the call on behalf of IDBI Capital. Thank you for joining the call and
you may now disconnect your lines.

Call: Jan 2024

Regd. Office: 1st Floor, August Kranti Bhawan, Bhikaji Cama Place, R.K. Puram, New Delhi -110066
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CIN: L74999DL2003GOl118633

RVNL/SECY/STEX /2024 12.01.2024

Sub: Transcript of Investor round table talk/webinar
Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015
Dear Sir/ Madam,
This is in continuation to our letter of even no. dated 08.01.2024 regarding intimation of the Audio Recording of Conference Call with Investor on the website of the company. Transcript of the said Concall is enclosed herewith. The same is also available on website as follows:

www .rvnl.org – Investor - Board Meetings, Board Committees & General Disclosure - General Disclosures
Link:
https://rvnl.org/RVNL_cms/uploads/boardmeeting/Transcript08012024.pdf

You are requested to take the same on your records.

Thanking you,

Yours faithfully,
For Rail Vikas Nigam Limited

(Kalpana Dubey)
Company Secretary & Compliance Officer
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Call: Feb 2024

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CIN: L74999DL2003GOI118633

RVNL /SECY/ STEX /2024 13.02.2024

Sub: Transcript of Conference Call with Investors
Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015
Dear Sir /Madam,
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Page 1 of 12

"Rail Vikas Nigam Limited
Q3 FY '2 4 Results Conference Call "
February 09, 202 4

MANAGEMENT : MR. RAJESH PRASAD -- DIRECTOR OPERATIONS - RAIL VIKAS NIGAM LIMITED
MR. SANJEE B KUMAR -- DIRECTOR FINANCE AND CHIEF FINANCIAL OFFICER - RAIL VIKAS NIGAM LIMITED
MS. KALPANA DUBEY -- COMPANY SECRETARY - RAIL VIKAS NIGAM LIMITED

MODERATOR : MR. VISHAL PERIWAL -- IDBI CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to Rail Vikas Nigam L imited Q3 FY24 Earnings
Conference Call hosted by IDBI Capital. Ladies and gentlemen, kindly note the call will be for a duration of 45 minutes. As a reminder, all participant lines will be in the listen -only mode and
there wil l be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being r ecorded. I now
hand the conference over to Mr. Vishal Periwal from IDBI Capital. Thank you and over to you, sir.
Vishal Periwal: Yes, good afternoon everyone. First of all, apologies for the delay in the start of the call. So,
from the RVNL management side , today we have with us Mr. Rajesh Prasadji, who is the
Director Operations, Mr. Sanjeeb Kumarji, Director Finance and CFO and also in the team we
have Ms. Kalpana Dubey, who is Company Secretary.
So, as usual, we'll have a brief from the management and th en we'll have lines open for Q&A.
And due to time constraint with the management, so we'll have this call for 45 minutes. Yes , so
that's all. Over to you, sir.
Management: Okay, fine. Very good afternoon. So, this Rail Vikas Nigam Limited, a Navratna PSU under
Ministry of Railway was incorporated in January 2003. So, it is 21 years old and we were earlier
involved only for the creation of the railway infrastructure a nd contributed around 30% of all
kinds of railway infrastructures. Last 12 years, it has been rated excellent. The CARE rating has
been AAA ; Outlook , Stable. It is a debt -free company.
And if you see the journey of 21 years, see, I will tell a few things about this particular company, that it is a very vibrant, relatively young. We have got th e proven track record. And it is a mix
of the efficiency of the private sector and authority of the untrustworthiness of the public sector.
We have commissioned more than 16,000 route kilometers of railway infrastructures. And the
expenditure wise, it is INR 1.5 lakh crores, which we have achieved.
We were also involved in the basically project -specific special purpose vehicles in creation of
this SP Vs and we have commissioned five number of such special purpose vehicles for creation
of railway infrastructu res.
And with these SP Vs, the government of India has basically earned the traffic of INR 1,10,000
crores without a single passive investment. We have got the -- it is a very lean and keen
organization with around 1,300 persons, including the contract engineers. So if you are having
a turnover of more than INR 20,000 crores, so you can work out the kind of efficiency this
company is having, that is around INR 14 crores per employee.
Now, if you see the journey of this 21 years, so I will break it into two part s, that is 2003 to 2014.
And by that time, we had an expenditure of INR 15,600 crores. And in the next part, that is 1st
April 2014 to 2014, it is INR 1,32,000 crores. We have now crossed the INR 1,50,000 crores
mark.

Turnover in FY23- 2014 -- 2013 -14 was INR 2,492 crores a nd 2022 -23 was INR 20,300 crores.
FY23 -24, for the first time, it has crossed INR15,000 crores marks. PAT in 2013-14 was INR 157
crores. In last year FY, we achieved INR 1,268 crores. And first three quarters in FY23- 24 is
INR1,030 crores. Again, it is all-time high .
Now, if you see the commissioning part, the total railway infrastructure which was created up
to 31st March 2014 was 5,100 kilometers. And subsequently, after that, we have commissioned
11,000 kilometers of railway infrastructures. N umber of projects we had commissioned up to
2014, 40 numbers. And after 14 -- 2014, we have commissioned 100 projects and handed ov

er
railways for the operation.
So, what I wanted to project is that, here is a company which has been rated excellent for the
last 12 years by Department of Public Enterprises. We have got an order book of around
INR65,000 crores. We will reconcile after 31st March, and then the exact numbers will be
basically, we will be able to tell you.
We are involved in the complete project lifecycle that is the SLS, DPR, plans, GADs. We have
got the innovative models for execution, excellent contract management practices, and we have
got a very lean setup. We were earlier the government's biggest capex expander, and now we
are transforming from the local rail infrastructure to global all infrastructure.
And if you see the performance of this particular company, in last five years, the PAT has become 2x. Turnover in last 10 years is 10x. Turnover in last 12 years is 14x. So, you can

understan d that how this particular company has been performing. In fact, the models in last few years have changed. We have reformed, we have performed, and now we are transforming from the role of the contract manager to the contractor.
So, this is what exactly I thought I should brief in the beginning. And now, we will take up the questions and then whatever may be the questions, then accordingly we will react and try to give the answers, whether it is a Q3 number, future prospects or anything.
So, now over to you, Vishal, to please ask questions, and the time limit is 45 minutes.
Moderator: Thank you very much. We will now begin the question and answer session. Our first question is from the line of Harshit, from BMW W ealth Advisor. Please go ahead.
Harshit: Good afternoon, sir. So, I wanted to know about the current order book, and how we are looking at the future one or two years, in terms of orders that we are winning except for railways ? And an update on Vande Bharat trains as well ?
Management: Okay, so I'll start with this. Earlier I had said that we have got an approximate order book of around INR65,000 crores, which roughly constitutes 50% from the nomination, that is the typical railway projects, and 50% which we have bagged from the market. So, this is t he present model.
This is the approximate numbers. We will reconcile at the end of 31st March, and then we'll come back to you with the exact numbers of the order book. But roughly it is like this.

Now, let us first talk about the Indian segments. The segm ents we are transforming from the local rail infrastructure to global infrastructure. So, we are now concentrating in all kinds of infrastructures.
And in India, we are basically, the railway segment is our main expertise, main area, main forte and the hig h speed, then the metro segments. We are executing seven cities, the metros, various kinds of projects in seven cities. Then we have diversified into so many other fields.
For the export business, we have got focus on the neighboring countries like Bangladesh, Sri Lanka, Maldives, Mauritius, African continent, where there is an eschewed funding, like LOC, World Bank, ADB, Zika, AFDB, S olar projects, then UAE also, the Saudi Arabia. We have recently participated in a PPP model project in Botswana, where we have been shortlisted. We are opening offices in some other neighboring foreign countries. So, these are the export business. And in India, yes, railway segment is a preferred segment. Metro segment is a segment where we are very comfortable, because it is very technically challenging.
Regarding this Vande Bharat, the project is on track. We have already signed the MCMA. MCMA is the maintenance from the manufacturing. The coaches will be manufactured at Latur.
And the first step after signing of MCMA is bas ically mock -up. That is basically the assignment has been given to a vendor who are doing this mock -up part. And after the mock -up, basically the m

anufacturing of the rakes will be done. And the schedule of the manufacturing is the first prototype is requi red to be manufactured 24 months from the date of signing of the agreement.
Second prototype within 60 days of that.
And then the supply program is like this, that after that, first year, 12, second year, 18, third year, 25, fourth year, 25, fifth year, 25, sixth year, 15. So, the project is on track and we are hopeful that we will achieve and we will try to deliver the best quality product in this particular segment, which is a totally new segment for RVNL .
Harshit: Thank you for the detailed answers. Hav e a good day.
Moderator: Thank you. Our next question is from the line of Rohit Natarajan from Anti que. Please go ahead.
Rohit Natarajan: So, my question is more to do with the South African order. Like there is already a tender for Trans Kalahari $10 bill ion project as such. What exactly is this project all about? I mean, what is the status of the subsidiary that you have started? Could you please elaborate more on that?
Management: We are working on so many foreign projects and since we are a listed company, whenever there is a positive development, these are the price sensitive information. Whenever there is a positive development, we will inform to the exchange and through the website of RVNL .
Rohit Natarajan: Okay. Sir, my second question is to do with the Vande Bharat order, the contract manufacturing was supposed to be awarded from the Russian agency to your organization. What is the status of that project?
Management: See, this particular tender was for the 200 Vande Bharat train sets, out of which L1 was given.
L1 is basically RVNL and then joint stock company, Metro Wagon Mass, and then joint stock

company, LES. So, we have been given basically a contract of 120 train sets. These will be manufactured at Latur. And then there are three workshops where the maintenance facilities will

be upgraded. It has got a comprehensive maintenance component.
See, as far as the basically roadmap for these Vande Bharat train sets are concerned, the first thing was that the contract agreement was supposed to be signed . The bank guarantees, etc. was supposed to be submitted. So, accordingly, the MCMA has been signed. The mock -up is being now done. And now the schedule which I have already told that the supply of first prototype is 24 months from the appointed date.
Second is within 60 months, 60 days. And then subsequently, the program I had narrated earlier.
You wanted to know whether some vendors have been appointed or not. See, it is being done by a company, Kinet Railway Solutions, where RVNL has got a share of 2 5%. And the developments will take place only when the mock -up is ready. And once the mock -up is approved, then the real manufacturing will be done at Latur.
Incidentally, this Latur workshop was constructed by RVNL only. And in fact, for the trial purpos e, we had also manufactured one coach over there. So, that factory is in readiness. And the handing over, taking over with the railway is going on. Since it is still under the position of RVNL , it has to be first handed over to railway. And then from railw ay, it will go to the Kinet Railway Solutions, a special purpose vehicle which has been incorporated in the month of April.
We had earlier signed a shareholder agreement in that connection in the month of July 23.
Rohit Natarajan: I appreciate this point, sir. Could you please elaborate more on the current status of $4 billion Kyrgyzstan project?
Management: Yes. See, basically, we were supposed to prepare the DPR. And it has got two components. One is the finalization of the alignment, the other technical specifications. And the project report, detailed project report. So, we have, if you recall, we had earlier signed an MOU.
For four projects, we had si

gned an MOU. And we had submitted the DPR for the Bal ekechi and Kara catch line. And the total cost was around INR300 billion. And the DPRs have been submitted. The financial closure, everything is with the government. What they are doing is that they are evaluating the DPR, the financial closure, etc.
And once it is done, since we have already signed the MOU, and the projects will be transferred to us, and we have formed a company called Kyrgyzi ndustry RVNL Close Joint Stock Company.
So, we are very hopeful that very shortly... See, these railway infrastructures are complicated, number one.
And it passes through a complete project lifecycle. And the complete project lifecycle starts from the concept, then the alignment, then the DPR, then the financing. So, these steps have been already undertaken.
The financing part, the financial institutions have been contacted, which is being done by the government of Kyrgyzstan. And once they approve the DPR and the financial closure, which is

almost done, immediately the project will be transferred to us. And it will be executed on nomination basis, just like the pre vious nomination of the government of India, Ministry of Railways. And probably the management fee is slightly better than the government of India's management fee.
Rohit Natarajan: I really appreciate those comments, sir. Finally, my question is on... We have been an asset light, a debt -free company, without any major assets on the balance sheet.
But given the nature of domestic landscape has dramatically changed, I recollect last time we were talking something about road projects, where the total landsca pe is moving towards BOT toll. And even in the African project, Transcalary $10 billion project, it's a DBFOT where you have to finance the project. So, incrementally, do you see business opportunities with lot of capital deployment? Is that the strategy g oing ahead? Will the balance sheet be bloated with debt?
Management: Yes, you are 100% correct. You must have heard in the newspaper that recently we had signed an MOU with REC, Rural Electrification Corporation, where the PFC is having 52% share. The idea behind this signing of MOU was that in case of any project financing, we will be much more comfortable when we deal with a government company.
And the MOU was that in next five years, around INR 35,000 up to INR 35,000 crores of project financing can be done. And in that particular MOU, they had also agreed for infusing equity in the railway infrastructure, SPVs. See, I will cite two examples of HAM model projects, the Paradeep Masakani project, which is 100% subsidiary, and then this Chhatra Expressway, where we have got a share of around 49%.
So, we need some kind of project financing, and that is why we had signed an MOU with REC.
And in time to come, whenever we need some kind of project financing, the cost of the project financing cost basically has to be loaded on the project, and the project should be basically viable, and it should be able to service the debt during the construction and otherwise also. And accordingly, the bid should be, the pre -bid stage will have to take care of that.

So, what I w anted to convey is that once we have signed the MOU with REC, and the other financial institutions are also ready, so in time to come, we can see that depending upon the kind of projects we will go to the market, and we will take the loan and debt, and acc ordingly we will plan for execution of the projects, various kinds of projects.
Management: I'll supplement to that. While we have an arrangement for working capital enhancement, but ultimately we want to remain asset light, and so we are choosing more and more projects where the mobilization advance and such other advances and financing is done by the client in a way like we did with the sale -bid project.
Rohit Natarajan:

Got the point, sir. In terms of order inflows in the coming years, domestic as well a s international, what is that number that we are looking at? If you could really help us on some qualitative guidance to go by.

Management: What exactly we want? We want to have a top line which should remain at around INR 20,000 crores to INR22,000 crores level, but bottom line should grow, and all the time we want to have the order book of three times, three to four times of the basically turnover that is the top line. In that connection, we should maintain an order book of around INR 75,000 c rores.
The inflow and outflow will be around INR 22,000 crores, INR 20,000 crores to INR22,000 crores, because that is an optimal level, and the order book three times to four times means it is around INR75,000 crores.
Every year there should be a new inflow of INR 25,000 crores of orders. Regarding the breakup, I said the railway infrastructure is basically our forte, number one.
Metro segments is a preferred segment, and we are also diversifying in so many other segments.
Foreign projects, we are eyeing so many projects in foreign countries. I said in the beginning that which are the countries where exactly we are trying to enter into.
Two years back, we were totally depending upon the Ministry of Railways, and today we are having so many clients, and we are not only executing railway infrastructures, we are executing all kinds of infrastructures, and not limited to India, but also overseas. The first overseas project has also taken off very well. So what I want to tell you is that our main focus is that in time to come, we should have an order book of around INR 75,000 crores, and every year there has to be a new order of INR25,000 crores coming to our kitty from the domestic market or the international market.
Rohit Natarajan: Got it, sir. I appreciate all the points. All the best.
Moderator: Thank you. Our next question is from the line of Rohan, an individual investor. Please go ahead.
Rohan: Hello. Am I audible?
Management: Yes, you are very much audible.
Rohan: So with regards to the formation of JV with Jackson Green, what is your plan with solar projects?
Management : Here at JV, at the moment we are looking at a project in Uzbekistan, and another one in Saudi Arabia. And both of these will be JVs with a 49% -51% , with Jackson Green doing the 51%. And since this is a short period work, around a year or so, maybe at this stage next year we will add it to both our revenues and profits.
Rohan: Thank you. And one last question is, what is the high-speed railways market potential and how can RV NL gain advan tage from it?
Management: Basically, when you are talking about the high speed, we should also talk about the semi -high speed, we should also talk about RRTS, we should also talk about the Metro segments. So R VNL is presently executing the Metro in seven cities, out of which Kolkata Metro is on nomination basis and rest all the Metros we have faced from the market. So you have asked about the potential.

We have got a subsidiary called HSRC and we were involved in prefeasibility studies of the various high-s peed corridors connecting Delhi, Mumbai, Kolkata and Chennai. So the four sides and the two diagonals, and we had submitted the various reports, detailed report along with the financing models. So we were involved in basically planning of these corridors.
Presently, there is only one corridor which is under implementation stage, that is Ahmedabad to Mumbai, which is around 500 kilometers. And in time to come, you will find plenty of high-speed corridors. And in fact, I was going through one article that by 2047, 60% of the countries will have semi-high speed and the high-speed corridors.
So what I foresee is that by 2047, we will hav

e around 10,000 kilometers of high-speed networks.
And these are complicated and complex infrastructures. So here comes the exp ertise of R VNL,

which has a proven track record. And therefore, we see a lot of roles coming our way in implementation of the high-speed corridors, Metro segments and maybe RRTS is going to come.
Rohan: Okay. Thank you.
Moderator: Thank you. Our next quest ion is from the line of Vishal from IDBI Capital. Please go ahead.
Vishal: Yes, sir. Thanks for the opportunity. Sir, in order book, will this breakup be available in terms of sector -wise, how exactly it is segregated ; railway , power and others?
Management: Right now, I do not have, but roughly I will tell you that INR 65,000 crores, 50% of that, means around INR32,000 crores or INR 33,000 crores is on the nomination basis, typical railway projects. And now, if you really want to have the breakup, s o I can tell you that the share of the Vande Bharat is around INR 9,000 crores. And then we are executing seven number of Metro projects. So that will be around maybe of the order of INR 7,000 crores.
Chennai Metro itself is around INR 4,500 crores. Then we have got the works in the municipality. We have got the works in the electrification and transmission lines. We have got the works in the irrigation equipment. So altogether, we can -- I do not have the breakup, but yes, it can be done. And the rough break up is like this.
Vishal: Okay , sure, sir. And sir, in power sector distribution work, we have got a couple of orders. So any JV is formed and what exactly is the nature of the work, if you can just provide some color?
Management: There are various kinds of projects. Right now, I do not have the details, but just let me see. We are not involved in any JVs. We are executing ourselves based on our own credentials. And these are very important projects and unique nature of projects. We have got a different electrical -- one vertical, the electrical department who are looking after these projects. I will share afterwards regarding this.
Vishal: Sure. And sir, qualitatively, can we say that the margins in the power sector and others, it will be relatively better o r probably equal to what we have been getting in nomination or any color if you can provide?

Management: See, earlier we were getting the works on the nomination basis where the management fee was paid. Now since we are in the market, so the different proj ects will have different kinds of margins. And sometimes the margins will be better, sometimes the margin will be less. But I will cite examples of the first projects which we took from the bidding and the first international project which we took through the bidding. So first domestic project was Indore Metro because
we cite examples because that is the oldest. We are very, very new and raw in this. So we got around two years and few months back and the project is nearing completion.
And in fact, four months back, there was a trial for the metro over a length of 6.6 kilometer and it became the fastest metro construction. Now the margin part, if you want to see that the margin in Indore Metro is slightly better than the margins which we used to get through the nomination
basis. Similarly, the first overseas project for the development of basically harbor and the port, it is a very highly strategic project. But I can tell you that in last four, five months, we had done a reclamation of 22 hectares of land. And you can understand the kind of progress which we have made, number one.
Number two, margins in that particular project is also very good and it is slightly more than the margin which we used to get on the nomination basis. So the initial projects, whe ther in India or overseas, they are giving good results. See, these projects basically are challenging. And since we are fetching through the ma

rket, the challenges gets multiplied. And we'll have to work --
see, we are a professional company and we want t hat everyone who is working with the company should actively involve in resolving the technical issues technically.
We should do a lot of value engineering, which we are doing it, at the stage of pre -bidding, at the stage of execution. So let us see, but we are confident that in time to come. And the market has also been appreciating the approach and attitude of the company. And for a government company, it is not that easy that just you change your model that from the role of the contract manager, you become the contractor.
But we have done it, we have sown it and we have bagged orders. We have implemented also some of the projects after taking through the bid. So altogether, I can tell you that the company has got a bright future. We need to work basicall y in such a manner that the projects are implemented on time with proper quality, following the highest safety standards.
Vishal: Right, sir. And then one last question from my side. I think you did mention we are targeting a INR22,000-odd crores kind of r evenue. In the last one , two quarter s, we are seeing probably like flattish sort of number on a Y -on-Y basis. Can you provide some color like -- in terms of range, will it be more towards the 20,000 or 22,000 for a full year basis for FY '24? That is my las t question.
Management: Okay . So let me -- in the beginning, I explained that last financial year, we had a turnover of

INR20,300 crores. This year, FY '23-'24, first three quarters, it is more than INR 15,000 crores, all-time high. The PAT, the bottom line, was INR 1,030 crores, more than INR 1,000 crores in first three quarters. So what I wanted to tell you -- convey to all the investors that we want to have basically top line because that is the optimal level, almost optimal level. But we want to increase the bottom line.

And the bottom line can be increased by doing a lot of value engineering. The scope of creation of infrastructure in the country or overseas are plenty. And that is why we need to basic ally find out the projects which are of the interest of RVNL. I have already told about the preferred segments and how we are going to execute that. We have also explained some of the models I have explained, the examples I have cited.

So what I wanted to tell is that the INR 21,000 crores -INR 22,000 crores is a kind of an optimal level. The bottom line, yes, it should grow. And now we have got plenty of segments. So accordingly, some of the projects may have lesser profit. But some of the projects can give very big margins also. So it is a mixed kind of thing. And the order book, I said that we will try to maintain 3x to 4x of the turnover every year.

Vishal: Yes, that's all from my side. And I think, yes, just to congratulate, I think order win has been pretty consistent with us. So congratulations on that.

Management: Thank you, sir.

Moderator: Thank you. Our next question is from the line of Dr . Manjoorahmed , an individual investor. Please go ahead.

Manjoorahmed: Good afternoon, sir.

Management: Good afternoon.

Manjoorahmed: Sir, my question is, as you have mentioned that the top line will remain flat for the upcoming years, up to the five years. So what is your plan to increase the bottom line? Actually, in this quarter also, the bott om line has been 5 %. And the profit after tax has been decreased by 6 %. So can you throw some light on this?

Management: See, we have got the different models for the margins and earnings. We have got the model of the government -nominated projects. We have got the model of getting the dividends from the SPVs. And now we will have the earnings from the projects which we have taken through the bidding.

See, these projects basically are the areas where we can r

eally do a lot of value engineering at the stage of pre -bid, at the stage of execution. They are slightly complicated and complex. And here comes the expertise. With the experience, with the kind of proven track record, I can tell you that we can do a lot of value engineering. We can reduce the cost.

We can execute on a faster track basis, faster manner. And if you execute the project in a faster manner, and if you really apply your value engineering and technology, then you will have certainly, you are going to have better margins in the project impleme ntation. This is what we have shown in Indore Metro.

This is what we have shown in Maldives projects. The first Indian projects which we got through the bidding. The first overseas project which we got through the bidding.

Management: Thank you, sir. Sir, one more question. Just now we have formed a joint venture with Jakson Green. So, what is the future plan regarding this? And how it will reflect in terms of revenue and operating profit margin?

Management: Joint venture with?

Management: Jakson Green.

Management: The joint venture with Jakson Green. Could you repeat your question?

Management: Sir, what is the future plan with Jackson Green? And how will it reflect on revenue as well as in terms of operating profit margin?

Management: Yes, those at the m oment, we have a 49 %-51% JV, company JV that we have formed in India. RVNL Jakson Green. And the work that we will get, we will do it accordingly.

And as of now, we can only say that because it's a work that Jakson Green has the capability and we have the efficiency and interactions abroad. In the UAE, we have been active looking at the markets in Central Asia and UAE and Western Asia. So, we should be able to manage a profit which will be commensurate with our performances in other fields.

And Jakson Gre en is also, I mean, they have professionals who have been dealing with this, may not be with this company, but they have been. So, this JV has a synergy and we will be able to

do well.
Management: That's all from my side. Thank you, sir.
Moderator: Thank y ou. Due to time constraint, we will take last question from Smita from Kredent Info Edge . Please go ahead.
Smita: Yes. So, I wanted to ask one question, sir. The bidding order that you are executing or you are bidding for, out of that, what percentage woul d you say that you are able to get it in bidding out of the total order that you are bidding for?
Management: Okay. So, the first project which we got through the bidding in the year ' 21 in the month of October. So, it is around two years and four months.
So, it is altogether a new field, but over a period of two years and few months, we have bagged around INR33,000 crores , INR34,000 crores of order book. What we perceive is that in time to come, we are going to have more and more orders through the bidding, and this nomination project will get diminished over a period of next three years, next three to four years. So, your question again, could you repeat the question? What exactly was your question?
Smita: Yes, my question was, sir, that out of the total bidding that you make in a year, what is the percentage of bid order that you receive on your bidding?
Management: Success rate is around 24%.

Smita: 24%?
Management: 24%, 25%.
Smita: Okay. And sir, because of this, is the, was the revenue of this quarter and profitability of this quarter down or is it something other than that?
Management: See, these are the basically margins of the projects which we had got on the nomination basis and their margin vary from 5.5% to 6%. So, this quarter also, it was around 5.6%. So, the basically, there is a very small dip and, but if you see the cumulative figure in terms o f the PAT or in terms o

f the PBT , it is all time high.
Management: The dip is also lower because, a lit tle bit, because as you, as Director (Operations) has mentioned so far, Indore and other, and the two older works have almost the same level of margin as the railway nominated works. And in other works which we have got gradually, most of it we are in the commencement phase and early stages. So, maybe, and so in the next quarter and next half year, these three quarters we will bounce back.
Smita: Which means? See, 24, a lot better than this quarter and then in last year ?
Management: Yes, the margin in this quarter will be better than the current quarter and maybe even better than the last one.
Smita: Yes, but what about the revenue, sir? You said that you would be maintaining the revenue target, the top line that is.
Management: Yes, we will be maintaining both the revenue target and the margin. Margin will try to be little up and turnover also may go higher. Then, last year, 20,281 is also likely to be exceeded.
Smita: So, sir, what kind of growth can we expect in the top line as well as the order book in next two to three years?
Management: I said in t he beginning that we want to maintain the order book which is around three to four times of the turnover. And the turnover, the optimal level is INR 20,000 crores to INR22,000 crores. But the bottom line, we would like to grow.
Presently, it is around, las t year it was INR 1,267 crores. First nine months, it is more than INR1000 crores. This year, we would like to have around INR 1,300 plus crores. And maybe next year, we would like to grow in the same fashion which we have been growing in the last two to thr ee years.
Smita: Okay, sir. Thank you.
Moderator: Thank you. That was the last question for the day. I now conclude the call on behalf of Rail Vikas Nigam Limited and conclude this conference. Thank you for joining us and you may now disconnect your lines.
Management: Thank you.

Call: May 2024

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RVNL
/SECY/STEX /2024 22.05.2024
Sub: Transcript of Conference Call with Investors
Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015
Dear Sir /Madam,
Th
is is in continuation to our letter of even no . dated 17.05.2024 regarding
intimation of the Audio Recording of Conference Call with Investor on the
website of the company. Transcript of the said Concall is enclosed herewith.
T
he same is also available on website as follows:
www .rvnl.org – Investor - Board Meetings, Board Committees & General
Disclosure – General Disclosures
Link:
https://rvnl.org/RVNL_cms/uploads/boardmeeting/Transcript17052024.pdf
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For Rail Vikas Nigam Limited
(Kalp
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Company Secretary & Compliance Officer National Stock Exchange of India Ltd .
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Bandra (E), Mumbai – 400 051
Scrip : RVNL BSE L td.
Department of Corporate Service,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai- 400 001 Scrip: 542649
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“Rail Vikas Nigam Limited
Post Results Earnings Conference Call ”
May 17 , 202 4

MANAGEMENT : MR. RAJESH PRASAD - DIRECTOR OF OPERATIONS -
RAIL VIKAS NIGAM LIMITED
MR. SANJEE B KUMAR - DIRECTOR OF FINANCE AND
CHIEF FINANCIAL OFFICER - RAIL VIKAS NIGAM
LIMITED

MODERATOR : MR. VISHAL PERIWAL - IDBI CAPITAL

Rail Vikas Nigam Limited
May 17, 202 4

Moderator: Ladies and gentlemen, good day and welcome to the Rail Vikas Nigam Limited Post Results Earnings Conference Call. Kindly note that the conference call is for 45 minutes. As a reminder, all participants' lines will be in listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

Should you ne ed assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vishal Periwal from IDBI Capital. Thank you a nd over to you, sir.

Vishal Periwal: Yes, thanks, Sejal. Good afternoon, everyone. And I mean, extreme apology for the delay in the call. There were certain technical issues, so we're just trying to sort it out. And so, without wasting much of time, from the RVNL Management side, we have with us Mr. Rajesh Prasadji, who is the Director of Operations, and Mr. Sanjee b Kumarji, Director of Fina nce and CFO. We'll have a brief on the gone -by results, and then we'll open the line for Q&A. Yes, thank you and over to you, sir.

Management: Yes, so as you all know that this particular company is not very old. It is a 21-year -old company, and we have be en given the status of Navratna. And I would like to highlight a few things for the year 2023-2024, before we go to the numbers.

So, if you see in FY23-24, this was the all-time high top line, all-time high bottom line. Top line has grown by 7.15%, bottom line has grown by 17.94%. The first project in India, which we secured through bidding, was the Indore Metro project. And the first overseas project, the Maldives, which we had taken through the bidding process.

These two projects have given an earning o f, the Maldives project was 11%, Indore project was 10.66% margin. And the turnover from these two projects were 986 crores, which is approximately 45% of the 2,255 crores of turnover in the bidding projects. So there is a quantum jump in the turnover of t he bidding projects.

We started only two years back, and the earnings from these two projects were more than 10%. Which was more than the earnings and the margins, which we used to get from the nomination basis. During this financial year, we had commissi oned the rail over rail bridge at Indore Yard, the first of its kind metro station at Majerhat .

And in FY23-24, we have completed 12 number of projects and the cumulative projects now, which we have completed is 152 numbers as on 31-03 -2024. Then the comm issioning part, the number of railway projects are getting reduced. But in one month, in the month of March 2024, we could commission 243 kilometers, which is again a record.

And on a single day in the month of March, we could commission 100 kilometers. T hat is again a big achievement for RVNL. In Rishikesh-Karnaprayag project, along with the Bhanupalli - Bilaspur Beri project, these are the national projects being implemented by RVNL.

And in Rishikesh -Karnaprayag Prayag project, we had executed 60 kilomet ers of tunneling in one year. In the metro section in Kolkata, we have got commissioned three more sections inaugurated by the Honorable Prime Minister. And I have got few statistics.

If you permit me, then I can tell you that in last 10 years, the turnov er in FY2013- 14 was INR2492 crores. And this year it is INR 21,732 crores. So you can calculate how many times it has gone up. The bottom line in the 2013- 14 was 157 crores. This year it was 1463 crores. The project expenditure on March 31st, 2014 is 15,600 crores.

And up to 2024 March, it is 1,55,000 crores. The 10 key projects, which is basically meant for the manufacture, maintenance of all kinds of rolling stocks, we had done two numbers. Now up to March 2024, it i

s 19 numbers.

And total railway infrastructure developed as on 31st March 2014 was 5,100. Now it is 16,300. And so there is a quantum jump and the performance during the financial year has been extraordinary. And the Bohe workshop, which we have completed and commissioned during this fin ancial year, again, is a basically state of art kind of factory and has been appreciated by all. So RV NL has been moving forward. And I will say a few things about the business development.

Give me a second. Yes. So in the FY23- 24, we have participated in 142 number of bids. And total bids cumulative up to March, we have submitted 286. So you can see that in last, we started the bidding in the second part of FY21-22. And in last two years and only a few months, we have participated in 286 bids, costing b more than 1,50,000 crores.

And we have backed so many projects. The success rate is more than 20%. We have also submitted bids in the international market, Bangladesh, Maldives, Sri Lanka, UAE, Oman, and

Rwanda, Uzbekistan, Saudi Arabia, Nepal. So we are tr ying to increase our footprints. We have also submitted the expression of interest in Botswana Railways, then Namibia Trans Kalhari project team. So what I want to tell you is that we are trying to increase our footprints.
We have already opened internati onal offices in South Africa, Oman, UAE, Maldives. So what I wanted to just tell you is that in time to come, we want to increase our footprint. And we really are very keen to increase the order book. Presently, the order book is around 85,000 crores. And earlier during the investors meet, I had said that in FY23 -24, we are trying to get 21,000 crores plus the top line. And the bottom line, I had said 1,400 crores plus.
Both of the things have happened. And I had also said that we are focusing more on the bottom line. And that is why the growth rate of the bottom line is 15%. How much? Bottom line, it has increased by 15.38%. Regarding the SPVs, there has been a turnaround in Krishna Patnam Rail Company Limited. The traffic in terms of the loading million tons and the rakes have increased by 25% with respect to the previous financial year. And previous to previous financial year, it is more than 100%. So what I wanted to tell you is that Krishnapatnam and the debt of the Krishnapatnam has also gone down to 6 63, which has been taken from the financial institutions.

The trade receivable is also improving. We are awaiting for the arbitration award. And everything is online. And we have got the efficiency of the private sector and the authority and the trustworthiness of government sector. With this motive, we have been working.
And now I have given enough feelers for the questions.
Moderator: The first question is from the line of Ranodeep from MAS Capital .
Ranodeep: Sir, I wanted to check any update on the Kyrgyzstan deal of INR 18,000 crores.
Management: We had earlier signed an M OU. Then what has happened is that we were given the assignment of preparation of the DPR, then tying up with the financial institutions. So we have prepared the DPR, the tying up , etcetera, has been done. And now the government of Kyrgyzstan is working on this. And see, the project life cycle has got different stages.
So in that particular project, nothing was available. So the initial stage that the concept, the alignment, the DPR, etcetera, have been done. The discussions have also been made with the financial institutions for the financing part. The project is very much viable. And we had signed MoU for four projects. And we are very keenly waiting for the approval of the DPR and also the approval for the project implementation.
Ranodeep: Sure. Noted, sir. Thank you. Sir, a question on the overall macro, sir. Like if I see, like 2019 our sales used to be around INR 10,000 crores and five year s down the line, w

e are talking about INR21,000 crores. Similarly, I think in terms of profits also, 2019 our profits used to be around INR680 crores , INR700 crores. And now we are at around almost touching INR 1,500 crores. So both the sales and profit has been doubling over a scale of five years. Now in the backdrop of we having an order book of almost INR 85,000 crores, do you foresee the same trend continue in the next five years to come?
Management: Okay. So let us -- you have asked about the numbers. So the PAT has increased, it is 2.4 x in last six years. This year it is INR 1,463 crores and six years back it was only INR 600 crores. In terms of the top line, if you see, previous year it was 20,281. So there is an increase of 7%. But previous to previous y ear, it was 19,381. So that increase was roughly 5%. But previous to previous year, that was in the year 2021, it was 15,710. So we are coming on the track.
There is an increase in basically top line by around 7%. The bottom line is increasing by 17.94%. We have all the time saying that -- we have been saying that we are more focused towards the bottom line. We want to get the better margins. And we want to grow with this tradition that the top line may increase by 5%. The bottom line growth, which is roug hly 15% , should continue over the next five years.
Ranodeep: Very heartening to know that, sir. Thank you for that. So my last question, when it comes to the margins for our nominated railway projects, if I am not wrong, we work at an 8.5% model. Now, if I combine this with the project that you are bagging from the market, what is our aspiration in the coming years in terms of margins, what kind of numbers are we looking there?

Management: See, earlier we were executing the projects on the nomination basis where the margins were fixed as per the revenue stream fixed by the Ministry of Railways. Now we are in the market, so

there would be some projects where the margin will be less. There will be some projects where the margins will be very good. So I will cite first project which we took through the bidding in Indore Metro . In the FY '23-'24, it has given the margin of 10.66%. And the first overseas project of Maldives , it has resulted into a margin of 11%.
And the total turnover in these two projects is roug hly INR1,000 crores with a margin of 10% plus. So what I want to tell you is that it depends upon your ability to execute the projects, what kind of value engineering you want to take, and what kind of basically planning, etc etera, the procurement and then timely delivery , everything is basically required to be considered. And then we have proved that yes, from the market also we can earn. And these two first projects in India, first project in overseas have resulted into a margin of more than 10%.
Ranodeep: Appreciate all your responses, sir. Thank you and all the best.
Management: Thank you.
Moderator: Thank you. The next question is from the line of Shreyans Mehta from Equirus Securities . Please go ahead.
Shreyans Mehta: Yes, thanks for the oppor tunity. So my first question is pertaining to the Vande Bharat trainset, you know, the order which we had won. So I just wanted to understand in terms of capex in case if we have to invest anything. And secondly, do we get any mobilization advances, you know, to start this project?
Management: You please again repeat the question because your voice was not at all clear.
Shreyans Mehta: Sure. So my question is pertaining to the Vande Bharat trainset order, which we had won last year.
Management: Can you spea k slowly?
Shreyans Mehta: Sure. So my first question is pertaining to the Vande Bharat trainset order, which we had won under the GV. So in that, do we need to invest in terms of capex, if at all, number one? Number two, do we get any advances before we start work? And third,

just related to it, will we stop here or keep on building under the GV for this project?
Management: I could not follow the question?
Shreyans Mehta: I guess I'll join back in the queue.
Management: Periwal ji, can you repeat the ques tion because the audio is not clear from his side?
Vishal Periwal: Sure. So, sir, my first question is towards Vande Bharat. Do we need to incur any capex for starting this project? Number one. Number two, will we get any advances from the, you know,

the p arty who has awarded this project? And so this too, you know, would be the first question, I guess.
Management: Okay, so let me answer a few things. Let me give you some background about the status of the project. As you know that we have been awarded a co ntract for manufacture of 120 trainsets. This will be manufactured at Latur. So as per the contract, we have got a shareholding in the SPV, where RVNL is having a share of 25%. The agreement was signed in the month of September 2023.
Equity injection till date by RVNL is INR 151.7 crores. See, the layout and the colour scheme of the trainsets is under approval with the ministry. And we have provided the different options. Then the mock -up, for the purpose of mock -up, we have already awarded a border contract to a company called M /s. Kineco , a Goa-based company. And we have submitted the colour scheme. Mock -up is under, in advance phase of product basically completion.
And the schedule of manufacturing is that we have to start from the November, December 24. And the first prototype supply is likely to be completed by September 25. And then in first year, 12 numbers, second year, 18 numbers, third year onwards, 25 numbers. So, and along with this manufacturing, we are supposed to maintain. So, there are three maintenance depots. One is near Jodhpur, one is in Delhi, and the third one is near Bangalore.
So, the layout, etc etera, has been approved in Bangalore. So, it is under finalization. And then these three maintenance depots are required to be upgraded. So, th e present status is that Latur workshop is fully ready. Mock -up is likely to be completed and concluded. The proposed colour scheme and the options which we have submitted to the Ministry of Railways is likely to be approved very shortly. And regarding your infusion about the equity, we have already injected around INR151.7 crores for this particular project.
Shreyans Mehta: Sure. And how much will we be investing more or this is the max we have to invest?
Management: As the project keeps on moving forward, we may have to infuse more.
Shreyans Mehta: Got it. So, just extending the question. So, now, you know, once we deliver, once we, you know, we approve the design and stuff, and once we, you know, deliver the first set of trains, suppose that can we bid on ourselves or, you know, we will be dependent till the time we deliver the

entire project to the railways?
Management: Then again, your voice is not very clear. So, Mr. Periwal, you please again tell.
Vishal Periwal: Sir, actually, the question was that, y ou know, once we have delivered this project, and so can we bid on our own going ahead for Vande Bharat opportunity or the tie -up that is there with the Russian…
Management: It depends upon the client. The client's requirement of eligibility criteria varie s from one client to other clients. RVNL is a big company. It is a Navratna company. We have got all kinds of

exposure and experience. So, depending upon the client's eligibility criteria, if it will fit, then we will go alone.
See, we have made a policy e ven for the different kinds of infrastructure projects that if we are having the credentials, we are going alone. We are not tying up with anybody. And here is also the case that if some client wishes that

the eligibility criteria, we will be able to satis fy, then we will go alone. There is no point to go with anybody else.
Shreyans Mehta: Got it. And, sir, one last question. How much have you invested in, you know, different J Vs till date and how much we do need to invest?
Management: In this Vande Bharat project?
Shreyans Mehta: No, no. In the roads and, you know, the other SPVs which we have.
Management: So, what exactly you want to know?
Shreyans Mehta: The investment. How much have we invested?
Management: How much we have invested in the various SPVs? Right.
Management: Around 1,600 crores.
Management: INR1,600 plus crores we have invested in the various SPVs, which includes the five number of special purpose vehicles of the basically typical railway infrastructures. Then we have got the MMLPs, the multi-model logistics, which are coming up at Chennai, Bangalore, Indore and Pune.
Then we have got some companies like this Chatra Expressway Limited, where we have got a share of around 50% . Then we have got, there is a Chandikhole -Paradip , whe re we have got the 100% , that is 100 % subsidiary. So, altogether you can say that around INR 1,600 crores plus we have invested in the various SPVs and J Vs and then other companies.
Shreyans Mehta: And in next one, two years, how much do we need to invest, if any incremental investment?
Management: See, we are, we have got a turnover of around INR 21,000 crores, order book of INR 85,000 crores. We want to grow the top line at a rate of around 5 % to 7%. And in order to grow like this, all the time we want to ma intain an order book of around INR 75,000 crores to INR 1 lakh crores. INR1 lakh crore is an aspirational target. And whatever opportunities come, we will try to infuse the equity. But we are also guided by the Ministry of Railways, Government of India, wher e there is a restriction that beyond certain limits, you will have to go to the Ministry for the approval.
So, what I understand is around 30% of the net worth we can infuse, which is around, in this time net worth is 7,000 today? Net worth is around 7,000. So, 30 % of the net worth we can infuse. And beyond that, if you want to invest, then you will have to go to the Ministry of Railways and Ministry of Finance. So, what I am saying is that, with our objective, whatever

opportunities come, either we will be able to approve it ourselves. The net worth is around INR7,867 crores. So, roughly INR 8,000 crores.
Management: Up to INR2,200 crores.
Management: So, up to INR2,200 crores, we can infuse the equity.
Shreyans Mehta: So, sir, I'll put the question in a different way. This 1,600, is the 100% what we have to invest? Or is there any incremental investment in this SPVs which we need to do over the next one or two years? Only from this project?
Management: The biggest problem today is that the voice is gettin g cut. I do not know what is the problem. So, somebody can speak slowly and then I'll be able to listen. Mr. Periwal, you please tell what exactly is the question. You repeat the question, please.
Shreyans Mehta: Sir, my question is…
Management: Don't spea k near to the mic, just keep slightly away and then speak slowly.

Shreyans Mehta: Okay, sure, sir. So, my question is, we have invested INR 1,600 crores in this SPVs, be it MMLPs and other stuff. Now, do we need to invest anything additional beyond this in these projects only?
Management: Yes, depending upon the requirement, we may have to invest.
Shreyans Mehta: So, I want that amount over the next year ?
Management: The amount is again, it depends upon the situation and the conditions. And we cannot foresee at this very moment. What I can tell you is that if it is beneficial, everything has got the financial assessment. And if it is in the interest of the project, if it is in the interest of R VNL,

certainly we will invest. There is absolutely no doubt about it. But if our investment is going to give some negative results running into the losses, then why to invest? So, we will work out if it is financially viable, good for the health of the company, we will definitely invest even in the existing companies.
Shreyans Mehta: Got it, sir. That's it from my side. Thank you and all the best.
Management: Thank you.
Moderator: Thank you. The next question is from the line of Tushar Raghatate from Kamayakya Wealth Management Private Limited. Please go ahead.
Tushar Raghatate: Good afternoon, sir. And thank you for the opportunity. Sir, I just wanted to know…
Moderator: Sorry to interrupt you, sir. May I request you to use your handset, please?
Tushar Raghatate: Sir, I just wanted to know like what percentage of our order book is high-speed railway traveling?

Management: See, high -speed, we have got nil work order, order book. And we have got basically metros, railway projects, metro segment is a preferred segment. We are executing metros in seven cities. And high-speed, your question is, what is the percentage in the high -speed? Presently, it is zero, but we are very keen. And if you go through the draft vision, which is for the Vi ksit Bharat 2047, a huge plan is there for infrastructure building in the high-speed corr idors. And RVNL is technically very competent and having proven track records. We would like to have good order for the high-speed network as well.
Tushar Raghatate: Can you just give me the range of the margin profile in that order?
Management: Margin in what projects?
Tushar Raghatate: Like any high -speed track lane in order.
Management: We do not have any order for the high-speed. And the margin for the nomination projects is fixed. It is 8.5%. And for the projects which we are taking -- the margins will vary from the project to project, because every project's nature is different. No two projects are identical, number one. Number two, all are having different kinds of financial risks. We are doing some value additions.
We are allocating risk. But at the same time, we are also eyeing for the margins. So I have cited two examples of the Indore metro and the Maldives project, which are our first project in India and first project overseas, which we have secured through the bidding. They are the margins which have come for the year ' 23, '24 is more than 10%.
Tushar Raghatate: Very nice, sir. That was helpful. Thank you.
Moderator: Thank you. The next question is from the line of Vishal Periwal from IDBI Capital. Please go ahead.
Vishal Periwa l: Yes, sir. Thanks for the opportunity. Sir, you did mention that the current order book is INR85,000 odd crores. Can you give a break up in this nomination and bidding? What is the amount?
Management: See, around 36,000 exactly exact numbers I may not be having, but you can say 40, 45 kind of break up.
Vishal Periwal: Okay, so 40 is now, I mean, we are moving to bidded now.
Management: Remaining bidding, bidding, bidding.
Vishal Periwal: Okay, okay. And in this, will you? I mean, can you any any color on major orders that we have or if it is handy, I mean, readily available with you?
Management: What order you want to know?
Vishal Periwal: Major, maybe key orders that we are executing and the size of it.

Management: Okay, so let me, I had already spoken th at in ' 23, '24, we have participated 142 bids, total 286 bids, and the success rate is more than 23%. International market, I have already cited some of

the tenders, EOI submission that I have said, the offices which we are opening that I have said.
And then we have got, just hold on. So, you want to know some projects where, new projects you want to know?
Vishal Periwal: So, bas

ically the INR 85,000 odd crores order that is there, maybe like key 4 -5 orders and the size of it, if it is available ?
Management: Let me, let me talk about the signaling system. So, this is a new vertical. So, we have got order worth more than INR 700 crores. In that particular INR 700 crores, in Southern Railway, we have ABS, provision of ABS in Jolarpatti Road Junction of Salem Divi sion, that particular project is costing more than INR 239 crores, roughly INR 250 crores. So, this is a big project. And we have got plenty of scope for the S&T works.
Then, if you want to know the electrical works, we are executing all kinds of works, whi ch includes the electrical system, metro system. So, we have got the different verticals, we have started executing the metro segments, like we are executing depot, we are executing track work, we are executing electrical and S&T system, we are executing civil engineering works, station works, underground metro packages. So, we have got the complete segments.
In the electrical portion, we have got plenty of projects, even in the state government projects and metros and the railways, 2 into 25 KVA. So, we have got large number of projects. It is very difficult to tell the details about a project, but I can tell you that the company has been growing.
Two years back, we had zero project through the bidding and on all of a sudden, you have got these huge number s.
Vishal Periwal: Sure, sir. Sure. And then, in the 20% success rate in orders that you mentioned, what is the order inflow in FY '24 in rupees, crores or anything that you can share, quantum?
Management: Please tell me again.
Vishal Periwal: Sorry, sir. Sir, I was saying, our success rate is roughly 20%.
Management: More than 20%, y es.
Vishal Periwal: So, in order inflow in rupees crores , can you mention what is our inflow in FY '24?
Management: Inflow in FY '24, okay. So, '23-'24, we had participated 142 bids costing around INR 65,000 crores. Out of that, 76 were civil eng ineering, 36 were electrical, S& T was 29. And the success rate in the civil engineering was 23.24, 21.91%. Electrical, the success rate was much more. It was 35 .78%. And S& T was 14.27%.
Vishal Periwal: So, order inflow in FY '24 will be like 65,000, can we do like 20% of that? So, that is the inflow?

Management: Exact number I do not have. But yes, you can imagine that whatever bids we are submitting and roughly the success rate is around 20% plus. So, you can calculate that how much is the orders which we have bagged from the market.
Vishal Periwal: Sure. I will come back in the queue, sir.
Moderator: Thank you. The next question is from the line of Ranodeep from MAS Capital. Please go ahead.
Ranodeep: Thank you for the opportunity. Sir , I wanted to understand have quantified the opportunity that we have for the IMEE EC the corridor that the Government of India has planned?
Management: Tell me again, which corridor?
Ranodeep: India Middle East.
Management: So, yes, this was announced in G20 a nd see it has got big opportunities for R VNL. It has got the basically railway segment. It has got the marine segment. We were working in the marine work for the Maldive s project. Earlier, we had executed bridges in the backwater. So, we have got the exposure of executing the marine works. We have got plenty of exposure of Indian railway track works.
We have commissioned more than 16,000 kilometers of railway infrastructure. So, as far as the capabilities is concerned we are fully capable. We have got the proven track record. In last 13 years, we have been rated excellent by the Department of Public Enterprises. See, this particular project it is still under the concept it says a lot of things are happening.
And the moment the DPR etc prepare d, the contracts, the tenders are called, we would b e ver

y
keen to enter into this a nd it is our strong forte and we are 100% confident that if we get the opportunity we will be able t o deliver the project with the best quality possible following the highest safety standards. And it is going to be a very big opportunity for all kinds of infrastructure companies and RV NL is certainly going to get the benefit out of this.
Ranodeep: Thank you, sir. My last question, in terms of railway electrification, which used to be a major component of our order book and I believe if I am not wrong I think more than 90% of our country is already railway electrified. Are we still looking at this opportun ity in the years to come?

Management: See, this railway electrification in terms of the quantum, the kilometer wise it looks big, but in terms of the value it used to be very less. I can cite the example that for a doubling or the third line project, suppo se it is around INR 15 to INR 20 crores per kilometer the railway electrification cost around INR 1 crores per kilometer.
So, the railway electrification in terms of the money was not very high. Whatever assignment was given to R VNL more than 99% has been done. We are not looking for that particular opportunity in India because more than 95%, 98% electrification has already been done and the scope is not available.

So, if you see the aim of the government of India, what were the aims? The number one was that the green transportation system which includes the railway electrification then conne cting the unconnected area which is good for the economic and social growth of the country. So, we are again looking for that.
Then the, basically, capacity augmentation project, there are some routes which are highly congested. Presently, the traffic loading is around 1,500 million tons. They are planning 2,000 by 2030, 3,000 million tons. For that, the capacity augmentation projects, there are a large number of projects which will come up.
We are keen for that. Then the turnkey projects, then in the manufacturing process, safety, quality, safety, S&T work, signall ing and telecommunication work. So, we are very key station development work. But we are basically interested more and more interest in capacity augmentation projects because that is the kind of projects which we have handled in the past.
We have got the expertise in execution of this typical railway infrastructure project.
Ranodeep: So, my last question, sir, if I'm not wrong, we did a JV with a South African company Jackson Green which was in the solar sphere. So, I wanted to understand what is our aspirations of getting into solar?
Management: We are looking for the opportunities, all kinds of opportunities. We have got a very beautiful tagline from local rail infra to global all infra. So, earlier we were executing we used to have only one client, that is the Ministry of Railways and we are executing all the railway infrastructure.
Now, we have entered into the international market and it is not limited to the railway infrastructure. So, we are very keen for these kinds of projects where the plenty of scope is available worldwide. So, in that initiative, we have entered into that and we are 100% confident and sure that we will be able to deliver those projects with very good margin in time to come.
Ranodeep: I appreciate the response, sir. Thank you and all the best. Thank you.
Moderator: Thank you. T he next question is fr om the line of Ketan Jain from A vendus Spark. Please go ahead.
Ketan Jain: Sorry if my question is repeated. My question was on order inflow guidance for FY25. What is the order inflow guidance for FY25 and revenue guidance for FY25?
Management: See, I had given you the number that in FY23-24 we have participated in 142 number of bids costing around INR 65,000 crores. For FY24 -25 we will definitely be participating in

more than
150 bids costing more than INR 75,000crore s. Success rate is INR 20,000 crores. So, you can calculate the kind of inflow which we are expecting. All the time, we want to have the order book to be three, four times.
If our turnover this year was INR 21,700 and next year we plan for INR23,000 crores, So the order book all the time should be available INR92,000 to INR 1,00,000 crores. So, the basic

parameter which we want to monitor is that we should hav e the order book all the time three to four times and roughly INR 1,00,000 crores. And accordingly whatever we are participating in the market nomination has been totally stopped. So, whatever order book inflow will be there, it will be through the bidding only. So, we would like to have the inflow of approximately INR20,000, INR 25,000 crores in a year.
Moderator: Thank you. Ladies and gentlemen, due to time constraint, we will tak e that as the last question. We would conclude the conference now. On behalf of Rail Vi kas Nigam Limited, thank you for joining us and you may now disconnect your line.

Call: Aug 2024

Regd. Office: 1st Floor, August Kranti Bhawan, Bhikaji Cama Place, R.K. Puram, New Delhi -110066
Tel: +91- 11-26738299, Fax: +91- 11-26182957, Email: Info@rvnl.org, Web: www.rvnl.org
CIN: L74999DL2003GOI118633

RVNL/SECY/STEX /2024 19.08.2024

Sub: Transcript of Conference Call with Investors
Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015

Dear Sir /Madam,

This is in continuation to our letter of even no . dated 12.08 .2024 regarding intimation of the Audio Recording of Conference Call with Investor on the website of the Company. Transcript of the said Concall is enclosed herewith.

The same is also available on website as follows:

www .rvnl.org – Investor - Board Meetings, Board Committees & General Disclosure – General Disclosures
Link:
https://rvnl.org/RVNL_cms/uploads/boardmeeting/Finaltranscript12082024.pdf

You are requested to take the same on your records.

Thanking you,

Yours faithfully,
For Rail Vikas Nigam Limited

(Kalpana Dubey)
Company Secretary & Compliance Officer
National Stock Exchange of India Ltd .
Exchange Plaza,
Plot no. C -1, G Block,
Bandra-Kurla Complex,
Bandra (E), Mumbai – 400 051
Scrip : RVNL BSE L td.
Department of Corporate Service,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400 001
Scrip: 542649

Call: Feb 2025

(no extractable text — likely a scanned image PDF)

Call: May 2025

(no extractable text — likely a scanned image PDF)

Call: Aug 2025

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CIN: L74999DL2003GOI118633
RVNL
/SECY/STEX /2025 14.0 8.2025
Sub: Transcript of Conference Call with Investors
Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015
Dear Sir /Madam,
T
his is in continuation to our letter dated 12.08.2025 regarding intimation of the
Audio Recording of Conference Call with Investor s /Analysts/Institutions on
the website of the C ompany. Transcript of the said Concall is attached herewith.
T
ranscript of the audio call is available on the website at the below link:
https://rvnl.org/RVNL_cms/uploads/boardmeeting/Transcript12082025.pdf
You are requested to take the same on your records.
Thanking y
ou,
Yours f
aithfully,
For Rail Vikas Nigam Limited
(Kalp
ana Dubey)
Company Secretary & Compliance Officer National Stock Exchange of India Ltd .
Exchange Plaza,
Plot no. C -1, G Block,
Bandra-Kurla Complex,
Bandra (E), Mumbai – 400 051
Scrip : RVNL BSE L td.
Department of Corporate Service,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai- 400 001 Scrip: 542649

"Rail Vikas Nigam Limited Q1 FY '26 Earnings
Conference Call"

August 12, 2025

MANAGEMENT : MR. PRADEEP GAUR – CHAIRMAN AND MANAGING
DIRECTOR, RAIL VIKAS NIGAM LIMITED
MRS. ANUPAM BAN – DIRECTOR PERSONNEL, RAIL
VIKAS NIGAM LIMITED
MR. M. P. SINGH – DIRECTOR OPERATIONS , RAIL
VIKAS NIGAM LIMITED
MR. CHANDAN KUMAR VERMA – CHIEF FINANCIAL
OFFICER, RAIL VIKAS NIGAM LIMITED
MODERATOR : MR. VISHAL PERIWAL – ANTIQUE STOCK BROKING

Rail Vikas Nigam Limited
August 12, 2025

Moderator: Ladies and gentlemen, good day and welcome to Rail Vikas Nigam Limited Q1 FY '26 Earnings Call hosted by Antique Stock Broking. Please note that this call will end at 3.40 pm in the Indian Standard Time.
As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vishal Periwal from Antique Stock Broking. Thank you and over to you, sir.
Vishal Periwal: Yes, thanks and good afternoon, everyone and apologies for the slight delay in the start of the call. I welcome you all for the Quarter 1 FY '26 Post-Result Earnings Call of Rail Vikas Nigam Limited.
The dais for this call is led by the management team of RVNL, starting with Mr. Pradeep Gaur Ji, who is the Chairman and Managing Director; Mrs. Anupam Ban Ji, who is the Director Personnel; Mr. M. P. Singh Ji, Director Operations and accompanied by Mr. Chandan Kumar Verma Ji, who is the Chief Financial Officer.
So, as usual, we will have a brief from the management and then we will have lines open for Q&A. Thank you and over to you, sir.
Pradeep Gaur: Thank you so much and it is a pleasure to interact with investors. So, I think without much wasting of time, we will take your call because time is limited. So, we are ready to answer all the queries from the investors. Hello, Mr. Vishal.
Moderator: Hello. Yes, sir. Should we go ahead with the questions?
Pradeep Gaur: Please go ahead because we are constrained for time today. So, we can go ahead.
Moderator: All right. We will now begin the question-and-answer session. The first question is from the line of Mr. Vishal from Antique Stock Broking. Please go ahead, sir.
Vishal Periwal: Yes, sir. I think the result got posted some time back. So, I think maybe that is the reason people are just absorbing the result. So, if I can ask a few questions, can you share a couple of updates in terms of like, what has been the order inflow last quarter, how we have closed the order book, anything that can be provided?
M. P. Singh: Good afternoon. In this particular quarter, there has been some order inflows from civil engineering and electrical engineering. The total orders won in this quarter is roughly of value of Rs. 1,000 crores and total contracts which are now organized, one stands at around 96 contracts. The residual value of the contracts which we have won through open bidding is around

Rs. 60,500 crores and coupled with our orders, which are our legacy railway projects, that is around Rs. 41,000 crores. So, roughly, the order book of RVNL is Rs. 1,01,000 crores, which is unlimited.
Vishal Periwal: Right, sir. And in terms of also that usually we do provide the split of this order book, anything on sector wise, how this is panning out, anything that you can provide?
M. P. Singh: Our order book is spread out on various sectors. The orders which we are having from the civil engineering contracts, which is from the railways, highways, metros, the orders are around Rs. 26,000 crores. Orders which are from the electrical is around Rs. 10,900 crores and orders from signalling and telecom is of value total is around Rs. 14,700 crores. In civil engineering part, our orders are in metro sector of roughly around Rs. 10,000 crores. The highway sector is around Rs. 9,000 crores and the civil engineering sector, which includes traditional railways, irrigation etc., is around Rs. 7,000 crores. And electrical is spread over the overhead electrification that is 2 x 25 conversion in railways. Then RDSS that is a distribution system of the state transport

s is
a major component and the transmission line also comprises of a major segment. And other than that, in the signaling sector, we have got some of the railway contracts for automatic signalling or through modernization form of coverage system and a major contract of BharatNet, in which the capital cost is around Rs. 6,800 and considering the complete O&M cost is spread over a 10-year period, it will be around Rs. 13,000 crores. And we have got a significant order of Vande Bharat manufacturing also, of which the capital cost is Rs. 8,640 crores. That is RVNL's share in the JV. That is the roughly breakup of the different sectoral orders along with the railways, RVNL.
Vishal Periwal: Got it, sir. And in terms of our revenue profile earlier, at the end of Financial Year '25, we were hinting that we can clock a revenue growth of in the range of 10% odd. So, given, I think what I have seen that the 1st quarter has been a bit of muted for us and also for the industry. So, how do you see this growth number panning out for us for the full year?
Pradeep Gaur: Actually, let me say it. I think the situation is very much in control because of course, as

expected, the proportion of turnover from railways is coming down. It is in the range of almost 25% down. But kindly appreciate that turnover from bidding has increased by 3 times. So, now, this sort of balancing will happen because the turnover from railways will continuously slide. But it will be compensated by increase in the turnover from bidding project. So, I am sure that because overall, now it is minus 3.42% as of 1st quarter. But now, I can share it that we have gone beyond, gone more than last year as we stand today. So, things will change and things will rise again. This turnover will be not only able to match last year, it will increase it also.

Vishal Periwal: That is heartening to hear that, sir. And even, particularly on the margin front, I think we are noticing there has been a bit of pressure on the margins for this quarter. So, is it fair to say it is primarily a couple of line items, like other expenses they have increased and even, like, the other line item particularly increased, which you are seeing. So, that is more to do with like, the

competitive bid projects, they are entering into revenue recognition. So, their margins are a bit lower or anything that can be provided to explain the margin dip, sir?

M. P. Singh: Actually, when you see the gross margin, there is a slight dip in the gross margin by roughly 13.57%. It is due to mainly the income from MoR has decreased, but the income from projects from bidding has increased by, say, 67%. And net margin decreased, there is a reason for that because some of the onerous contracts where some loss has been recognized, they have been accounted for. And in BharatNet project, there were some pre-bid expenses, they were also accounted for roughly value of Rs. 20 crores and Rs. 40 crores due to the onerous cost. So, this Rs. 60 crores has gone into, which has decreased our PBT, and which ultimately resulted in decrease in PAT.

Vishal Periwal: Sorry, sir, I just missed on that. So, Rs. 60 crores, what was the nature of that? Sorry, I missed.

Chandan Kumar Verma: Yes, basically, there is a one-time expenditure in a BharatNet project in which we have done one consultancy work, pre-bid consultancy work for the bidding survey and bidding all that thing. This is a one-time expenditure which has been booked in expenditure, indirect expenditure. Further, a few commercial decisions, maybe it is too early because in most of the bidding projects we have taken on a spread basis, expenditure just started booking in these projects. That is why there may be.

M. P. Singh: It will not be a final picture.

Chandan Kumar Verma: We anticipate that there may be some losses at the end of the project, but in due course, we are doing

the value addition. We have some change of scope, which we have to get sanctioned from the plan. After that, the picture will improve. But right now, yes, we have recognized the three new projects which are onerous contracts in this quarter.

Vishal Periwal: Sure, sir, I have a few more questions. I will come back in the queue, sir.

Moderator: Thank you. The next question is from the line of Mr. Rajesh Agarwal from MoneyOre. Please go ahead, sir.

Rajesh Agarwal: Hello. Sir, on account of Bharat Sanchar order, how much losses extra you have booked?

Chandan Kumar Verma: Pardon? Please repeat your question.

Rajesh Agarwal: On account of BharatNet order, how much extra expenses you have booked without commensurating revenue?

Chandan Kumar Verma: Rs. 20 crores, approx. Rs. 20 crores.

Rajesh Agarwal: Approx Rs. 20 crores. And any other one-off is there?

Pradeep Gaur: Kindly repeat.

Rajesh Agarwal: Any other one-off expenses are there?

M. P. Singh: No other one-off expenses. No such other expenses.

Rajesh Agarwal: And you feel from 2nd quarter, the revenue mix will start improving?

M. P. Singh: Yes, we are quite hopeful, second quarter. It is already the reshoots are visible and in this quarter, we expect to cover the substantial ground and we hope that our revenue will match last year's revenue to the 2nd quarter cumulatively.

Pradeep Gaur: No. We are already ahead now. As of today, we are already ahead in revenue compared to the last year. So, definitely we are making it up by projects taken on bidding. So, revenue-wise, absolutely no issue. We will be exceeding the last year's revenue.

Rajesh Agarwal: And margins, sir?

Pradeep Gaur: Margins, there is a slight dip in the margins. That is based on, I will request Mr. Chandan Verma to stay on this.

Chandan Kumar Verma: Actually, in bidding projects, booking has just started. Most of the projects, we have just started executing the work. So, no doubt, it is very early to say that, but margins will improve once the

work will start in full swing and change of scope, there are too many claims are there to be sanctioned from the plan. Once these claims will be settled, the margins will improve.
Rajesh Agarwal: Understood. Thank you, sir. And sir, for JV, when the profitability from the JVs will come? Other railway JVs? Kutch railway and all?
Chandan Kumar Verma: Yes, Kutch railway. Basically, Krishnapatnam, this year they have their own profit for the first time. And in other JVs also, the traffic has improved. So, we are hopeful that this year will get dividends. SPRCL has already given a dividend. Even two SPVs have given a dividend this year.
So, we are hopeful that with the improvement in traffic, more dividends will come to--
M. P. Singh: Traffic will increase and their liabilities will also go down the cost of the capital which they have taken a loan for
Rajesh Agarwal: And sir, Vande project is in schedule now?
Pradeep Gaur: Which project?
Rajesh Agarwal: Vande Bharat.

M. P. Singh: Yes, all the roadblocks have been cleared and now it is in advance designing stage and production has started in Latur factory. And we hope to see the first prototype in June 26. And after that, the regular production will start.
Pradeep Gaur: Actually, background, you must be aware of it because the configuration and all that, which has led to 10 months delay. And railways have increased the time also by 10 months.
Rajesh Agarwal: Understood, sir. Thank you.
Moderator: Thank you. The next question is from the line of Mr. Vishal from Antique Stock Broking. Please go ahead, sir.
Vishal Periwal: Yes, sir. Thanks for the opportunity again. Sir, on Vande Bharat, I think you did mention June 26 is first prototype. So, how exactly things work after that? When we start recognizing revenue, how much time it takes from a

prototype to actually commercially rolling out? So, can you give some background of this?
M. P. Singh: Yes, first, as we expect the first prototype to roll out by next June, so revenue will also start flowing out. As per the contract condition, 90% of the cost of the train set will be given on production of prototype and after its successful trial balance, 10% will also be released as revenue. And once the trials are successful and proving trials are held and the prototype is cleared for regular production, the regular production will start. So, in the next financial year, that is Financial Year ‘26-27, along with the prototype, we expect to see the regular production of the train sets also.
Pradeep Gaur: I will just add to what Mr. M. P. Singh has mentioned that this trial normally takes 60 days. And the positive part is we are following only ICF design, because this is basically the design whatever already trains are running, except difference is the existing trains are chair cars and this will be sleeper coaches. So, there is a slight change in configuration, but by and large, the same ICF design is being followed. So, we expect this trial should not take much issues because it is again ICF design. And as soon as these trials are over, I must give comfort that we have already ordered for spare components and all for 10 sets immediately. So, immediately, the production will start, and I am quite sure in Financial Year ‘26-27, we can expect revenue of at least 6-8 Vande Bharat trains.
M. P. Singh: Two prototypes and just regular production trains.
Pradeep Gaur: And even these two prototypes will become part of that 120 train sets what we are going to deliver.
Vishal Periwal: Got it, sir. And then this 120 train sets, this order will get conclude by when, like 27 is maybe 6-8 train sets?
Pradeep Gaur: 2032, 5 years total. There is a break up of year wide.

Vishal Periwal: Right, sir.
Pradeep Gaur: So, we are geared up for that. So, once it is just, our original target for September 25 to roll out the first prototype. But unfortunately, these 10 months got us this one and delayed the whole thing. So, that is why it is now June 26 and definitely in the Financial Year ‘26-27 itself, things will start in right turn.
Vishal Periwal: Got it, sir. And I think earlier we used to hear that, like, this 120 train sets and plus couple of peers also got 80-odd train sets, these 200 train sets, this pie is almost like 500-1000 odd train sets. So, anything that are more orders are coming or anything that can be shared as of now for Vande Bharat?
Pradeep Gaur: I do not think any tenders are now, as of now, in the pipeline. It is because there were some

tenders about aluminum purchases and all that, but that could not be finalized. So, I think presently these 200 train sets is what it is in the pipeline.

M. P. Singh: 200 train sets by contract and ICF and RCF will be producing their railway production unit. They will be continuing to produce the train sets.

Vishal Periwal: And then, so we have this ICF, we are mapped to ICF. So, for the 80 train set, the peers are mapped to other coach factories?

M. P. Singh: No, 80 train set is awarded to the other bidder, consortium that is BHEL and Titagarh Wagons. So, they will be in contract matching to our basically train set rates. So, they will be producing 80 train sets in their manufacturing facility.

Vishal Periwal: And both the things will go parallelly, like prototype, when we are doing, they are also doing prototype, they are entering into commercial, we are also?

M. P. Singh: Yes, because they will be doing their own engineering and other things, but both of them will be on basically ICF platform only.

Vishal Periwal: ICF, got it, sir.

Pradeep Gaur: But they will be manufacturing their train sets in ICF only. Like, we are going to do it in Latur, they will manufacture it

in ICF.

Vishal Periwal: Got it. And then, sir, any developments that is happening for a couple of JVs that we have formed, any business traction that are we seeing anything, or as of now, they are still at MoU stage and more like a prelim discussion that usually happens before any business pickups. So, it is at that stage only, is that fair to say, or any updates that can be provided?

M. P. Singh: You are talking about the MoUs, which RVNL has entered?

Vishal Periwal: Yes, sir.

M. P. Singh: So, we have entered into couple of MoUs and we are seeing good potential coming from it, like in maintenance of the rolling stock and engines. Indian Railways has come up with some of the bids also for maintenance of the electrical engines at two workshops. So, we have already formed MoU with the two companies and we hope to compete in those projects. Simultaneously, in the nuclear sector also with the Rosatom, we are entering into MoU and we have given a proposal to the Ministry of Railways also. That is an upcoming sector and with the Government of India's focus on nuclear power in a big way, we hope to gain certain business from that sector also. And in the solar sector also, with our success in JV in Uzbekistan and Saudi Arabia, we hope to continue with the momentum in the solar projects also. And in Armenia, we are bidding on solar. With the Jackson, with whom we had a project completed in Uzbekistan and an ongoing project in Saudi Arabia. In Romania, we are going for some solar projects.

Pradeep Gaur: That will be almost 800 megawatts. So, this MoU and JV partnership, we are expanding it further to go to Europe now.

Vishal Periwal: Maybe one last question from my side, sir. As of now, what is the international order book pie in our 1 lakh crores order book?

M. P. Singh: Which part? Around Rs. 4,000 crores.

Pradeep Gaur: Let me add, we have already bid in the present year itself around Rs. 10,000 crores, we have bid. And another Rs. 6,000 crores is in pipeline. We are expecting to bid almost Rs. 30,000-Rs. 35,000 crores of projects this year only overseas. So, even if the strike rate is around 15%-20%, we hope that this order book will increase now. Because this is one of the main areas of focus, which we are really going all out to get some good orders abroad.

Vishal Periwal: Got it. And like a couple of procurements and everything that has been done for Vande Bharat, it is still some time to actually physically or commercially roll out. So, as of now, what sort of margin that you are seeing that one can make in Vande Bharat? Maybe single-digit, high single-digit, low double-digit or anything?

Pradeep Gaur: The cost has been bid based on working the cost. And what I will add that most of the supply chain is established supply chain, which we are already supplying to ICF. So, mostly, we have gone by the same order. So, I think there is nothing extraordinary happening as of now. So, I think it is going in the direction at which we had planned. Because in this, it is ICF design, we are ordering to the same supply chain, except for one or two things where it is abroad, one or two issues were there about sanctions, etc., but those have also been overcome.

Vishal Periwal: Sure, sir, I think I have taken a good.

Pradeep Gaur: Nothing extraordinary, neither on positive side nor on negative side.

Vishal Periwal: Sure, sir. And thank you, sir. I will come back in the queue.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, that was the last question. On behalf of Rail Vikas Nigam Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you so much.

Call: Nov 2025

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CIN: L74999DL2003GOI118633
RVNL
/SECY/STEX /2025 17.11.2025
Sub: Transcript of Conference Call with Investors
R
ef: Regulation 30 of the SEBI (LODR) Regulations, 2015
Dear Sir /Madam,
This is in continuation to our letter dated 07.11.2025 regarding intimation of the
Audio Recording of Conference Call with Investors/Analysts/Institutions on the
website of the Company. Transcript of the said Concall is attached herewith.
Transcript of the audio call is available on the website at the below link:
https://rvnl.org/RVNL_cms/uploads/boardmeeting/TranscriptQ2FY25-26.pdf
You are requested to take the same on your records.
Thanking you,
Yours f
aithfully,
For Rail Vikas Nigam Limited
(Kalp
ana Dubey)
Company Secretary & Compliance Officer National Stock Exchange of India Ltd .
Exchange Plaza,
Plot no. C -1, G Block,
Bandra-Kurla Complex,
Bandra (E), Mumbai – 400051
Scrip : RVNL BSE L td.
Department of Corporate Service,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai- 400001 Scrip: 542649

"Rail Vikas Nigam Limited
Q2 FY'26 Earnings Conference Call"
November 12, 2025

MANAGEMENT : MR. S.C. JAIN – CHAIRMAN AND MANAGING
DIRECTOR – RAIL VIKAS NIGAM LIMITED
MRS. ANUPAM BAN – DIRECTOR PERSONNEL – RAIL
VIKAS NIGAM LIMITED
MR. M. P. SINGH – DIRECTOR OPERATIONS – RAIL
VIKAS NIGAM LIMITED
MR. ABHISHEK KUMAR – DIRECTOR FINANCE – RAIL
VIKAS NIGAM LIMITED
MR. CHANDAN KUMAR VERMA – CHIEF FINANCIAL
OFFICER – RAIL VIKAS NIGAM LIMITED

MODERATOR : MR. VISHAL PERIWAL – ANTIQUE STOCK BROKING
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Rail Vikas Nigam Limited Q2 FY26 Earnings Conference Call. Please note this call is for 40 minutes. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I will now hand over the call for the introduction of the RVNL management.

Vishal Periwal: Yes. Good afternoon, everyone. So RVNL management team is led by Mr. S.C. Jain, who is the Chairman and Managing Director; Mrs. Anupam Ban, who is Director Personnel; Mr. M. P. Singh, who is Director Operations; Mr. Abhishek Kumar, Director Finance and accompanied with him is Mr. Chandan Kumar Verma, who is Chief Financial Officer at RVNL. So I'll hand over the call to management for the opening remarks, and then we'll have lines for Q&A. Thank you, and over to you, sir.

Management: Good afternoon, everybody. I welcome all the investors on behalf of RVNL management. And RVNL in the quarter 2 has done its improvement as compared to the previous quarters. And as compared to the last year, also the same quarter, RVNL has done -- has shown better results. And as far as RVNL's business plan is concerned, RVNL is strictly progressing in its charted path.

The progress of the projects on our traditional legacy railway projects, some of the flagship projects of Rishikesh-Karnaprayag, Bhanupali-Bilaspur, metro projects in Calcutta is going on very well. Simultaneously, we are focusing on our projects, which we have won through bidding in various sectors. And the progress is very good on the projects. And simultaneously, the new business is also being acquired in various sectors.

And we are also exploring business opportunities in some of the sunrise sectors like solar with battery storage systems, operation and maintenance of the rolling stock, where a lot of opportunities coming not only from Indian Railways, but also from various metro systems in the country.

We are also exploring business opportunities abroad and our -- some of the projects, flagship projects like Harbor projects in Maldives is also progressing very well. And we are quite hopeful that we'll be able to maintain our stream in the balance period of this financial year. And also the order book, which is with us provides us a revenue guidance -- a stable revenue guidance for the next 2 to 3 years and the current pace of business acquisition.

We are very sure to maintain a steady business in the coming financial years, and we hope to sustain the revenue guidance what we have projected during the start of the financial year. As far as total orders are concerned with RVNL, the legacy orders which are from the Indian Railways are to the extent of INR43,000 crores and the balance orders which we have won through bidding is of order of INR46,000 crores.

So total order book is in excess of around INR90,000 crores at present with RVNL. And along with this, we are also exploring some of the steady revenue streams, which will provide us

revenue in the long-term basis also like we have entered into multimodal logistics park sectors in collaboration with National Highway Logistics Management Limited and the 4 multimodal logistics parks already in the process of operationalization.

We are also bidding through some of the HAM projects where the revenues is steady for the next 20 to 25 years of the concession period. So we are quite hopeful that RVNL is on its path of progress. And we assure on behalf of RVNL management to the investor that RVNL will keep its hand steady and will progress on its path. Thank you.

Moderato

r: Thank you. We will now begin the question and answer session. The first question is from the line of Rajagopal an Individual Investor. Please go ahead.

Rajagopal: Hello Sir, you mentioned -- you said that the total order book is INR90,000 crores, which comprises legacy orders of INR43,000 crores and balance INR46,000 crores. Is that correct, the current order book?

Management: Yes, Current order book -- you heard rightly, the order book from our legacy railway projects is of order of around INR43,000 crores and the projects, which we have won through bidding in various sectors is around INR46,000 crores. So around it INR89,000 crores something, roughly INR90,000 crores because some of the projects RVNL is in process of regularly acquiring orders. Recently also, we acquired 2 orders. So this is a dynamic figure, but roughly it is in this order only.

Rajagopal: This is as of September 30 or as of today?

Management: It is on September -- as on September 30.

Rajagopal: Thank you!

Moderator: The next question is from the line of Shubham Shelar from Antique Stock Broking Limited.

Shubham Shelar: Sir, so my question is regarding the order book. So sir, can you provide sector-wise order book breakup for your different segments?

Management: Yes. You are concerned about the orders, which are from the legacy railway projects or orders which are from?
Shubham Shelar: From different segments, railway...
Management: Yes. So as far as our orders, which we have won through the market bidding, our -- roughly 33% contribution is still from the railway projects. They are maybe in the civil engineering sector, electrical or signalling. They are in various parts of the country. Then the second largest component is from the metro sector.
Metro sector comprises of around our 22% order books and road sector order book is around 10%. Our 12% order book is from basically BharatNet project, which is one of our largest and flagship projects. And around 10% order is from our share in the Vande Bharat manufacturing. This is largely bifurcation of our orders, which are currently with us.

Shubham Shelar: Okay, sir. And sir, what was the order inflow in this quarter? Order inflow...
Management: Order inflows? The total orders in the last quarter, we have received the order of INR852 crores in the last quarter. And in the last 6 months, we have got the order of INR2,000 crores.
Shubham Shelar: Okay, sir. And sir, regarding Vande Bharat project, the execution has started?
Management: The Vande Bharat project, the prototype -- the scheme of things is like that. The designs, etc., is in various stages of approval, and we have started the mock up and the first prototype scheme is that first two prototypes will be produced. They will be tested and then the regular production will start.
And the first prototype as per the scheme is -- will be coming in June '26. And the second prototype will be coming in August '26. And when these prototypes are tested and certified for further production in the balance period of 26-27, 12 regular rates will be produced, followed by 25 rates every year in the next 5 years. So the total production cycle is of 6 years.
Shubham Shelar: Okay, sir. And sir, O&M part is also included in, sir?
Management: O&M part is for the next 35 years. O&M part, we'll start basically simultaneously because when we produce the first 2 prototypes and 12 rates in financial year 26-27, simultaneously their O&M will also start. For that Vande Bharat maintenance sets are part of this scheme. They are also being upgraded to receive these Vande Bharat train sets for maintenance.
Shubham Shelar: Okay, sir. And sir, one last question regarding EBITDA margins. So last year, we were making around 4% to 5% margin. But this year, first half, the margins are actually impacted a little bit. So what is the rea

son for that?
Management: Basically, in this year's turnover, there is almost 30% turnover has come from the bidding projects. Yes. In legacy projects, we have very good margins. But in projects we have owned through competitive bidding, the margins are slightly lower, which we are trying to improve in next quarter. We are basically working on the designs. We are working on the standardization processes, different type of processes. So in future, they are going to give good results. But yes, the margins are lower because of the bidding projects...
Shubham Shelar: Yes. And sir, one last question regarding what would be the guidance of revenue for this year?
Management: Yes. The revenue guidance, which was given in the start of the year, we still maintain that guidance. And the quarter 2 results are quite encouraging as far as the turnover is concerned. And roughly, we are in the same range as the last year H1. And this is the main working season now the next 4-5 months, they will be giving of some revenue, which will be accelerated at much faster pace. And so we maintain the revenue guidance of around INR21,000 crores to INR22,000 crores for this financial year.
Shubham Shelar: Thank you sir for answering all my questions.
Management: Thank you.

Moderator: The next question is from the line of Abhishek Kumar Leekha from Neste Wealth LLP.
Abhishek Leekha: Just want to understand how can we have more value-added revenue line, which can have higher EBITDA lines in future because the current EBITDA line is just not very adequate?
Management: Yes. The present revenue line and growth of the company is aligned to the larger ecosystem of infrastructure projects, wherein in line with government policy, wherein direct combination work for infrastructure has been prohibited from indirectly in order to PSU. So we are aligning our business strategies and developing our product profile in a manner that it goes beyond railway projects and broadly, it is aligned to that.

So if you see the numbers, it is reflecting that trend, even if the revenue from operations remain the same, the mix has changed and it is aligned to the industry standards in general. So going forward, we are confident of maintaining the EBITDA line for the best of the industry standards as well as it will be as per our guidance measures.
Moderator: The next question is from the line of Bharani V. from Avendus Spark.
Bharani V: Sir, I just missed this number. What was our order inflow for the first half of this year?
Management: First half? The order inflow for this financial year in the H1 is around INR2,000 crores. And it is having a mix of every sector, be it electrical, railways, metro or in the signalling also, we have won contracts basically from the railway sector for upgradation of signalling systems.
Bharani V.: Okay. And what will be our expectation for order inflow for the full year in FY '26?
Management: '26, okay? Actually, the order inflow is very much dependent on the competition in the market, but we are quite hopeful. We hope to bid for around -- in the current financial year, our bidding will be in the range of around INR75,000 crores to INR80,000 crores. And considering our success rate of 10% to 12%, we hope that the order inflow for this year is likely to touch around INR8,000 crores to INR10,000 crores.
Bharani V.: Okay. And what was this full year order inflow in FY '25?
Management: '24-'25, you are talking about? Yes. The last year was because we had some big order wins in the last financial year, the net order flow for the last year was around INR18,000 crores.
Bharani V.: Okay. And what would be our EBITDA margins in full year and for also FY '27?
Management: Please, can you repeat the question?
Bharani V.: What would be your EBITDA margin expectation for this FY '26 full year and also for FY '27?

Management: '27, okay! Right now, we cannot predict exactly, but we hope to maintain the momentum and our EBITDA margin will be in the range of whatever the industry standard for the infrastructure industry, that is roughly in the range of 4% to 5%.

Bharani V.: Okay. And if I see our cash flow generation for the first half, I see operating cash flow has turned negative for the first half. There is a large negative cash outflow in the line item called other financial assets. What is the nature of this cash outflow?
Management: Unbilled revenues. See, basically, this is on account of reduction in unbilled revenue.
Bharani V.: Okay. So this is -- sorry, I didn't hear you properly.
Management: Yes. At each reporting date, we calculate the contracts for which the project has been made, but the invoice has not been raised to client. So that varies from quarter-to-quarter. So this current asset difference is only mainly on account of that only.
Bharani V.: Okay. So what would be the net working capital days at the end of September like core net working, which is receivable days plus inventory days, less payable days?
Management: Basically, payments are linked to milestones and on completion of each milestone there will be the payment. So now the working season has started. Actually, the rainy season was a lead period for construction business. And now the construction has started in full swing, and we are hopeful that the revenue -- this cash flow will improve from 15th of December.
Bharani V.: So with a large order book of around INR90,000 crores, what is the average execution period for this INR90,000 crores? Can we expect this to be executed over the next 3 years or 2 years? How is it?
Management: Yes, I'll tell you, these projects are of varied nature. Some of the projects, they will be continuing for the next 3 to 4 years. Some of the projects are shorter gestation period projects. They will be completing in next 1 year or next 2 years' time also. So average, you can consider this order book considering our growth trajectory is adequate for the next 4 years' time.
Bharani V.: Okay. So then the growth expected in execution in FY '27 will also be, say, around 10%?
Management: Yes. We hope to maintain this in the coming financial years. And obviously, if company has to grow, this growth trajectory has to be maintained. If we -- in this financial year, we will be closing our revenue of around INR22,000 crores to INR20,000 crores. So certainly, we will make an effort to increase it by at least 10% in the financial year 26-27. In addition to that, we are getting a new project also. And some of the projects has a lesser gestation period. So getting the new order and executing them in a shorter period will also give me the momentum and better turnover of the company. So getting the -- completing the INR90,000 crores order book, getting in new orders and getting them completed in a faster way is also the motto of the company. So this order book and it will keep on changing. We will keep on performing and giving the engineering value to our projects, monitoring and getting the better -- much better output and outlook to the company. This is our aim for the future.
Moderator: The next question is from the line of Vishal Periwal from Antique Stock Broking Limited.
Vishal Periwal: Yes, sorry, sir. So I was saying, sir, in terms of our -- previously, the historical tax rate has been in the range of 25-odd percent. This time, we are seeing a line item of deferred tax also. So how

do you see and what is the reason of this deferred tax? Will this be a continuous phenomena and anything that you can provide?
Management: Yes. It's a very pertinent question. First thing first, no, it's not a continuous phenomena. We don't expect any further increase in the deferred tax. On each q

uarter end, this is basically a timing difference thing, a timing difference between the income tax and what has been done in the company. So there was issue realize that this period is -- it coincides with our tax audit. Soduring the tax audit, we realized that one of our assumptions needs to be updated, and that has been done.
And moreover, if you see deferred tax more of zero effect on the company because it gets liquidated in the future period. But to your question very specific, no, we don't see any outstanding debt. This is the maximum that we expect, as of now, whatever the visibility is there for us.
Vishal Periwal: Okay. Sure, sir. And I think though you did clarify on the margin front. I think you did allude that the mix of the order book is changing toward competitive bidding and that is the reason like margins are lower. So is that fair to understand the earlier margins of 5.5%-6% EBITDA margin that we are making, probably the trajectory will be in the range of -- now will be in the range of 4% to 5%. So will that be a fair understanding to have as directionally?
Management: Yes. As per the order mix, the legacy projects, which were on a fixed composite management fee model, there, it was -- the margins can be predictable. But in case of the projects, which we have won through bidding, market bidding, the margins varies across the sector. Some of the sectors having a better margins and the larger projects, they are on somewhat not so good margins.
But now we are changing our strategy also. We are focusing on projects where the margins are better, and we are focusing towards the projects which are on HAM model or other things where the competition is not so high. And simultaneously, we'll be focusing on projects abroad also where the margins are certainly better as compared to the domestic projects.
In line with the industry standards, the established infrastructure giants, they derive at least 50% of their revenue from the global operations. So we hope to substantially improve on our global operations in the coming financial year so that our revenues margins we maintained at the range of the 5% to 6% in future.
Vishal Periwal: Okay, sir. Okay. And in this INR90,000 crores order book, as of now, is there any international piece in this, sir?
Management: Yes. International order book is a total of order of around INR3,200 crores total, out of which some of projects are under execution. And we are also in process of bidding or already bided for many projects in Central Asia, Middle East or East Asia, even East Europe. So certainly, in coming financial year or in this half of the -- second half of this financial year, we hope to gain substantial traction from the international projects also.

Vishal Periwal: Okay. Okay, sir. And then I think you did clarify on a couple of numbers in terms of inflow. Yes, I think last year was pretty good in terms of inflow. This year, I mean, inflows are a little bit on the lower side, order inflow. So if one has to understand the reasoning for the same, is it the competition is high and then the winning trajectory is commensurate to that is lower or I mean, even the opportunity itself is lower. So how do you, I mean, see things in the market?
Management: No. There was -- certainly difference is there have come to last year. Last year, we won a very large project in -- that was a BharatNet project and some of the larger projects were also won in the last year. So that order flow was order -- of order of around INR18,000 crores last year. This year, other than the competition in the market, what happens, some of the projects, high-value projects, especially in the road sector.
They were -- the tendering was repeatedly deferred due to various reasons, be it availability of land or other statutory clearances. So now in coming days, a number of high-value projects are now coming

. So our focus is basically on getting the high-value projects where the -- it is a niche sector and the competition is also not that high. A large number of projects are coming in the tunnelling sector where RVNL maintains a leadership position in tunnelling sector. So in coming days, we certainly hope to improve our winning streak in the projects.
Vishal Periwal: Okay. And then sir, in this road sector as such, we have seen, I mean, like lack of orders in

general, I mean, like we are not seeing major orders that are getting awarded. So I mean, it's not like this quarter phenomena from last 1.5 years. And so anything particularly that is the reason that you can share probably like guide us how things are in the road?

Management: No, we cannot comment on the internal dynamics of the road sector, how the different organizations in the road sector, be it NHAI or state PWDs or other developmental agencies have their own issues because it involves many clearances and many other things. So that may be the issue and they have changed their strategy also. It was earlier only the EPC, then they've changed over to the HAM and then they are coming up with a mix of HAM and BOT projects. So it is an evolving strategy, and then we hope that it will get stabilized.

Vishal Periwal: Got it, sir. Maybe one last thing from me. I think you did mention like we'll do almost like INR21,000 crores to INR22,000-odd crores kind of execution revenue this year. So this actually implies more like a kind of 10% sort of revenue growth. First half has been quite flattish for us, which means like in second half, the number has to be like high double digit. So are you seeing like almost like 1.5 months has passed for quarter 3? So has the pickup seen by us? Or you think probably it will be more like a quarter 4 phenomena for us?

Management: No, it is certainly this quarter, the ongoing quarter, Q3, the results -- the execution pace has improved substantially, although the monsoon was extended this year in various parts of the country. And as you know, the civil engineering projects, they are dependent on the monsoon phenomena and there were some disturbances due to the election, also the labor movement gets hampered.

But the pace has increased. And as has been the experience in the previous financial year also, Q3 and Q4, there are substantial improve as compared to Q1 and Q2. So we hope that our

revenue guidance will be -- is sustainable for this financial year. And we certainly hope to not only complete this revenue guidance, but we hope to exceed it also.

Vishal Periwal: Sure, sir. I think that’s pretty helpful and thank you to RVNL management for answering all the question detailed. Thank you very much, sir.

Moderator: Thank you. The next question is from the line of Rajagopal an Individual Investor. Please go ahead. Raja you line is unmated. Please go ahead.

Rajagopal: Sir, you gave some figures on order inflow. So can you please repeat those numbers? Was the order inflow in Q2 INR852 crores. Is that correct? INR852 crores?

Management: Yes. The order inflow in the current financial year in Q2 is of order of INR852 crores.

Rajagopal: And in H1? Total in H1 from April to September?

Management: INR2,000 crores.

Rajagopal: INR2,000 crores. And sir, one final thing. You mentioned that you gave some total order inflow projection for FY '26. What was that number, the order inflow for FY '26, total what you anticipate?

Management: It is of order of around INR8,000 crores to INR10,000 crores.

Rajagopal: INR8,000 crores to INR10,000 crores. Okay. All right. Thank you very much. Thank you.

Moderator: Thank you. The next question is from the line of Ashit Kothi an Individual Investor. Please go ahead. Ashit your line is unmated. Please proceed with the question. We have lost the line for Ashit. As there are no questions, we would conclude the call now. On

behalf of Rail Vikas Nigam Limited, we thank you for joining the call and you may now disconnect your lines.

Management: Thank you very much.

Call: Feb 2026

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RVNL/SECY/STEX/2025-26 09.02.2026
Sub: Transcript of Conference Call with Investors
Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015
Dear Sir/Madam,
This is in continuation to our letter dated 06.02.2026 regarding intimation of the Audio Recording of Conference Call with Investors/Analysts/Institutions on the website of the Company. Transcript of the said Concall is attached herewith.
Transcript of the audio call is available on the website at the below link:
https://rvnl.org/RVNL_cms/uploads/boardmeeting/Transcript06022026.pdf
You are requested to take the same on your records.
Thanking you,
Yours faithfully,
For Rail Vikas Nigam Limited
(Kalpana Dubey)
Company Secretary & Compliance Officer National Stock Exchange of India Ltd.
Exchange Plaza,
Plot no. C-1, G Block,
Bandra-Kurla Complex,
Bandra (E), Mumbai – 400051
Scrip: RVNL BSE Ltd.
Department of Corporate Service,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400001
Scrip: 542649

"Rail Vikas Nigam Limited
Q3 FY '26 Earnings Conference Call"
February 06, 2026

MANAGEMENT : MR. SALEEM AHMAD – CHAIRMAN AND MANAGING DIRECTOR – RAIL VIKAS NIGAM LIMITED
MR. CHANDAN VERMA – CHIEF FINANCIAL OFFICER – RAIL VIKAS NIGAM LIMITED
MRS. ANUPAM BAN – DIRECTOR PERSONNEL – RAIL VIKAS NIGAM LIMITED
MR. M.P. SINGH – DIRECTOR OPERATIONS – RAIL VIKAS NIGAM LIMITED
MR. AMIT TANDON – DIRECTOR PROJECTS – RAIL VIKAS NIGAM LIMITED

MODERATOR : MR. VISHAL PERIWAL – PL CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '26 Post Results Conference Call hosted by Rail Vikas Nigam Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note, this call is of 40 minutes.
I now hand the conference over to Mr. Vishal Periwal from PL Capital. Thank you, and over to you, sir.
Vishal Periwal: Yes. Thank you, everyone, and a warm welcome for the earnings call of Rail Vikas Nigam Limited. From the management team of RVNL is led by new CMD, Mr. Saleem Ahmad, represented by another team members which are as follows: Mrs. Anupam Ban, Director (Personnel); Mr. M. P. Singh, who is Director (Operations); Mr. Amit Tandon, Director

(Projects); and with him is Chief Financial Officer, Mr. Chandan Kumar Verma. So we'll have a brief from the management on the company and then we'll have lines open for Q&A. Yes. Over to you, CMD, sir.

Saleem Ahmad: Namaskar. Good afternoon, all of you. A very warm welcome to all of you in today's investor call for third quarter of Rail Vikas Nigam Limited. My name is Saleem Ahmad. I'm Chairman and Managing Director of your company. I have recently joined your company almost a month back. I have experience of working with Delhi Metro Rail Corporation. And lastly, I was working as Director of Projects with NBCC India Limited.

So I want to assure all the stakeholders that my focus area will be that all the works which are ongoing should be completed on time, and I will focus on the faster execution of our order book. And I will be focusing on achieving the sustainable and good growth for both top line and bottom line.

Our results for quarter 3 have been declared. In quarter 3, we have achieved top line of INR4,936 crores and our profit before tax is INR359 crores. If we see the 9 months performance, our consolidated top line is INR14,406 crores and our profit before tax is INR841 crores. If you see our order book, your company order book is very strong. We have almost INR87,000 crores of order, which includes railway nomination works of INR40,000 crores, and we have secured INR47,000 crores of work on bidding.

Recently also, we have secured works of INR1,528 crores of new works in last 9 months and have emerged as the lowest bidder for the project value INR3,667 crores. We have also signed an MOU with Visakha Port Authorities for development of various infrastructure projects in that port. And we are also in discussion with various states and public sector bodies to explore the business opportunities in that area.

I also want to brief all of you about the progress of the important works which we are carrying out. First important project which your company is doing is Vande Bharat project, where 120 train sets are being manufactured along with our Russian counterpart. And I want to brief all of you that work is progressing very well in that sector. First prototype which is required as per the

key dates will be met and will be ready with the first prototype in June or July of this year. So that will be a major achievement of the major project.

Another important project which is going on is BharatNet project. So progress in that project is also progressing satisfactorily, and we are hopeful to generate good income out of that project in this year. Another important project is Rishikesh-Karnaprayag, where work is going on full swing, and our target which is to achieve the completion of the project in December 2028. And we are progressing very well in that project also.

So, dear shareholders, I want to assure you on behalf of Rail Vikas Nigam Limi

ted, your company, that our management, with me as Chairman and our Directors, will make all efforts to ensure sustainable good growth in future and ensure good profit in future. Thank you very much. And now the forum is open for question and answers. Thank you.

Moderator: The first question is from the line of Vishal from PL Capital. Please go ahead.

Vishal: Before the others can join for the call, maybe I'll ask a few questions. So one is in terms of how exactly are we seeing the full year for us in terms of the growth rate? And second, on the margins front, how we expected this trajectory is going to be in financial year '26?

Saleem Ahmad: Vishal, our growth in top line is quite challenging right now because, as you know, from earlier, we were getting railway works and now we are diversifying into bidding works also. But we are hopeful that this year, our growth will be sustained like will be good. We are expecting a growth of 1% or 2% than the previous year.

But profit, we are not expecting such good profit this year because a major part of our revenue -- of our income will be from the bidding works, where the margins are less. So definitely, there will be some hit in our bottom line. But I want to assure all of you that in future, in the next financial year, we'll be doing much better and we'll have a better growth next year. But this year, it will be stagnant growth in top line and maybe we might get a dip in our bottom line. Thank you.

Vishal: Yes. Sure, sir. This is helpful. And second, sir, in terms of orders, can you give some color, I mean, like how has been the order inflow for us in the last 1, 2 quarters? And any new opportunity that you are seeing that is emerging that could boost our order book in times to come?

Saleem Ahmad: Yes. I just brief you. In the last quarters, we have emerged as lowest in works amounting to INR3,500 crores, and already works up to INR1,500 crores have been awarded to us. So future is good. We are in talks with many public sector units to get works on MOU basis. We are bidding for highway works, for railway works.

And there's a lot of opportunity for us in future because recently in budget, a lot of capital expenditure has been announced for railway works. So we are hopeful that we will get a good chunk out of that budget. So our future looks very good, yes.

Vishal: Yes. So, I think you briefly touched upon the budget. Can you give some perspective? Because this time, we have seen a decent jump in the lease asset line item of the budget. And I mean, do we get to participate in that particular capex of Ministry of Railways?
And another question related to that, like high-speed rails, they have been announced. But given your experience, sir, how much time it takes when, I mean, the orders can come to the market and we can bid for those projects?
Saleem Ahmad: As you see the budget, there is a huge opportunity for us. Railway is continuously spending money on the infrastructure improvement, whether it's doubling of the line or the new lines. So we are hopeful to get good works from these infrastructure works taken by railways.
And about the new corridors, which have been recently announced for the high-speed train network, so we are not sure whether we can be part of that work because that work is entrusted to another organization. But definitely, we will try to take some work from the bidding point of view.
We'll bid for those projects in future, but its timeline will be, I think, slightly 2 or 3 years. In this year, we are not expecting any work from that sector. But already, railway infrastructure, a lot of works are in pipeline or in tendering stage. So we are hopeful to get good amount of orders from that.
Vishal: Right, sir. Right. And in terms of, sir, pipeline of railway orders. Though we have seen a good 10%, 11% sort of capex increase, in terms of order inflow also

, I know maybe it's a little early,
but any pipeline that you see for yourself and how this opportunity can be in terms of number? Anything that can be provided, sir?
Saleem Ahmad: If you see the next 3 years, we already have almost INR40,000 crores of railway works. So our first focus is to complete those works within next 3 years. So that will bring us the income of almost INR10,000 crores to INR11,000 crores per annum. And parallelly, we will be focusing on getting new works on bidding.
Our target is to get at least income of INR10,000 crores to INR12,000 crores from those works also. And in addition, other infrastructure works are also coming, whether by PSUs, by state governments and other sector also. So we are trying in all the sectors that we should get good works. And we are hopeful that in near future, in next 3 years, we'll get good orders.
Moderator: The next question is from the line of Shubham from Antique Stockbroking. Please go ahead.
Shubham: Sir, I have only one question regarding the Vande Bharat order. So what is the current status on the Vande Bharat order?
Saleem Ahmad: Thank you, Subham. Vande Bharat is a very prestigious project for us also and railways. So we are manufacturing 120 train sets. And right now, our work is going on as per the planned progress. Our first milestone will be to give the prototype to the railways. And we are hopeful to achieve this milestone within this year as per the program of the railway, which is, I think, June 2026.

Shubham: And sir, this will be basically the sleeper Vande Bharat or the normal one?
Saleem Ahmad: Vande Bharat sleeper train with 16 coaches.
Saleem Ahmad: 16 coaches planned, configuration.
Moderator: The next question is from the line of Ashish Shah from HDFC Mutual Fund. Please go ahead.
Ashish Shah: Sir, you know, I just had a question on the order book that we have. So you said that out of 87,000, 40,000 is nomination-based and 47,000 are the new bidding-based orders. So for each of the bucket, if you can first highlight how much of, let's say, this INR40,000 crores nomination, what portion of this order book is currently under execution and what is maybe awaiting some approvals or go ahead from the railways?
Saleem Ahmad: No. This work is in progress. It is already awarded to us. Work is going on full swing. As I just briefed you, out of this 40,000 order book, we have to complete this order book in the next 3 years. So accordingly, works are going on.
Ashish Shah: Okay. And how about the other order book of bidding-based, INR47,000 crores?
Saleem Ahmad: Yes. Even that work is going on.
Ashish Shah: So it's entirely under execution?

Saleem Ahmad: Yes. Under progress, yes, which includes Vande Bharat, BharatNet and other bidding projects of railways.
Management: Railways, roadways, etcetera.
Ashish Shah: Right. And what's the kind of execution that one can hope from this order book? Because it's a complex set of mix, where Vande Bharat would be having a longer execution cycle and the others could be shorter.
So let's say, if you say that in nomination 40,000, you have roughly 3 years to deliver. So let's say, give or take, INR11,000 crores, INR12,000 crores, if I'm doing a simple arithmetic, could be from this particular set of 40,000. And out of this INR47,000 crores, what could be our revenue execution cycle like?
Saleem Ahmad: The cycle for this is quite long, for Vande Bharat and BharatNet. But parallelly, we are undertaking many other works like highways, port sector also, work is in progress. So we are hoping for the next 3 years, our 50% of revenue will be from the railway works, which is 40,000; and 50% of our revenue will be from our bidding works, whether from Vande Bharat or from BharatNet, from highways and other railway sector. So we are hoping that 50%-50% revenue will be from each sector.
Ashish Shah: Okay. So what's the tota

l revenue guidance that you may give for, let's say, this year? This year, you said it will be flat. But how does '27 look like, FY '27?

Saleem Ahmad: No, there will be definitely sustainable growth. We are targeting growth of between about 10% per financial year. And we will achieve it because our order book is very strong and the industry is also showing signs of a lot of infrastructure works coming up. And we are talking to many states, public sectors to take up work on MOU basis. So we are very hopeful that we will achieve 10% growth in our top line and bottom line, too.
Ashish Shah: And how would you guide on the margins? You did say that because of the bidding-based orders, there would be some amount of pressure on the margins. So where would we end up on the EBITDA margin this financial year '26? And based on the mix that you're projecting, 50%-50%, next year, what could be the margin that one can expect?
Saleem Ahmad: Margins, as you know, there are two revenue streams we have: one is railway, which have a very good profit stream; and biddings, we definitely are getting also on competition basis. So sometimes the margins are less and high. But on an average, we will definitely get an EBITDA margin of 7%.
Ashish Shah: Okay. So let's say around 7% margin somewhere in next financial year. And on a turnover, let's say, maybe this year, you ended close to INR20,000 crores. And 10% over that is what you're guiding for next year?
Saleem Ahmad: Yes.
Ashish Shah: All right, sir. Also maybe one just last thing on the railway projects. So are you seeing sort of any pickup in the railway EPC projects? The budget did talk about some new dedicated freight corridor related works and certain other city connectivity, high-speed rail projects as well, some 6 or 7 cities. So any perspective that you can share on how the railway projects seem to be shaping up over the next 12 months or so?
Saleem Ahmad: The Railway Ministry is spending huge money on the infrastructure. And in addition to that, a lot of other works are also coming up, which your company bids for, like metros, highways. So future is good for next 2 to 3 years. And as I just said, that we are hoping to increase our revenue by 10%.
Even the profit margins will be slightly better because as I earlier told you it was a transition phase for us, for your company from like nomination basis to bidding. So I think things are improving. And we'll be getting better margins in our bidding projects also. So accordingly, we are bidding so that we get good margins.
Moderator: The next follow-up question is from the line of Vishal from PL Capital. Please go ahead.
Vishal: Sir, on the previous participant, Ashish, when he asked on the margin. So just a clarification. 7% EBITDA margin, this includes other income? Or how do you see that number, sir?
Management: Good afternoon. Basically, sir talked about gross margin. If you see in this quarter, though our turnover has decreased compared to quarter 2, but we have improved the gross margin in last quarter. Almost by 50, 60 basis points we have improved in gross margin. So with cost cutting,

better improvement in our execution, quality, we are going to achieve the 7% gross margin next

year.
Vishal: Okay, okay. Sure, sir. Sure. And maybe, I mean, clienteles, can you provide the order book breakup that you mentioned? Say, central state, private, how this number can be for us, sir?
Management: Good afternoon, Vishal. our orders are from various diverse sectors. Railway is still our core. Railway orders comprises of around 45% of our total orders. Then road sector, we have got around 10% of our total orders. Electrical sector, where we have got a diverse mix of orders from basically RDSS, which are basically revamped distribution support system in 4 states and transmission l

ine and railway electrification works, they comprise of around 15%.
And signalling and telecom work, which includes railway telecom works, signalling works as well as the BharatNet projects, they comprise of around 15% of our order book. And around 7% order book is from our mechanical sector, which includes our share in Vande Bharat and some of the workshop projects. And besides that, we have got an order book of around INR3,500 crores from international projects.
Vishal: Okay, okay. So is it fair to say, barring electrical, most of the projects, they are from the central government side? Is that fair to say?
Management: Yes. Most of our projects, barring electrical distribution support systems, they are from the basically central government.
Saleem Ahmad: We are working for national highways and railways, major...
Management: And metros. Metro is also an important segment.
Moderator: Thank you. As there are no further questions from the participants, we will conclude the call. On behalf of PL Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.
Saleem Ahmad: Thank you.

Call: Jun 2026

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RVNL/SECY/STEX/2026 02.06.2026
National Stock Exchange of India Ltd.
Exchange Plaza,
Plot no. C/1, G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai - 400051
Scrip: RVNL

[redacted],
[redacted]. [redacted]/1, [redacted],
[redacted],
[redacted] ([redacted]), [redacted] - 400051
[redacted]: RVNL BSE Ltd.
Department of Corporate Service,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400001
Scrip: 542649

[redacted],
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[redacted],
[redacted]- 400001
[redacted]: 542649

Sub: Transcript of Conference Call with Investors
[redacted]: [redacted]

Ref: Regulation 30 of the SEBI (LODR) Regulations, 2015
[redacted]: [redacted] ([redacted]) [redacted] , 2015 [redacted] 30

Dear Sir /Madam,
[redacted]/[redacted] ,

This is in continuation to our letter dated 26.05.2026 regarding uploading of the Audio Recording of Conference Call with Investors/Analysts/Institutions on the website of the Company. Transcript of the said Concall is attached herewith.

Transcript of the audio call is available on the website at the below link:
https://rvnl.org/RVNL_cms/uploads/ScheduleOfAnalystsResult/transcript.pdf

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Rail Vikas Nigam Limited
Q4 FY26 Earnings Conference Call

Event Date/Time : 26/05/2026, 14:30 hrs
Event Duration : 30 mins 08 secs

CORPORATE PARTICIPANTS:

Shri. Saleem Ahmad
Chairman & Managing Director

Smt. Anupam Ban
Director (Personnel)

Shri. Mritunjay Pratap Singh
Director (Operations)

Shri. Abhishek Kumar
Director (Finance)

Shri. Amit Tandon
Director (Projects)

Shri. Chandan Kumar Verma
Chief Financial Officer

Q&A PARTICIPANTS:

1. Vishal Periwal : RK Family Office
2. Abhishek K Leekha : Nestle Wealth LLP

 Moderator

Good afternoon, ladies and gentlemen. I'm Karthikeyan, moderator for the conference call. I would like to welcome you all to the earnings conference call of Rail Vikas Nigam Limited for Q4FY26. We have with us today the management team of RVNL. Shri Saleem Ahmad, Chairman and Managing Director; Smt. Anupam Ban, Director (Personnel); Shri Mritunjay Pratap Singh, Director (Operations); Shri Abhishek Kumar, Director (Finance); Shri Amit Tandon, Director (Projects); and Shri Chandan Kumar Verma, Chief Financial Officer.

As a reminder, all participants will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touch tone telephone. Please note that this conference is being recorded.

We will start with a brief opening remark from CMD sir, which will be followed by a question-and-answer session. Thank you, and over to you, sir.

Saleem Ahmad

Good afternoon, everyone. Thank you for joining us today for earnings call of RVNL for this quarter and year ended 31st March, 2026. As all of you know, RVNL's portfolio comprises primarily of infrastructure focused businesses, which stands across rail infrastructure, metros, roads and highways, transmission and port harbors.

Although this year has been challenging for the company, RVNL has remained focused on sustaining its operational performance and ensuring timely execution of key projects. Despite market and sectoral headwinds, we continue to maintain a strong order book, and are actively working towards improving efficiency and expanding business opportunities.

With continued government emphasis on relevant perceptual development, we remain confident about the long-term growth prospects of the company. As a result of which, the company has achieved an MoU rating of very good for the year 2024-25 from Department of Public Enterprises.

I'm pleased to share that our order book continues to remain strong and diversified, providing healthy multiyear execution visibility for the company. During the quarter ended January to March 2026, the stand-alone order inflow stood at INR 4,644 crores, while for the full financial year 2025-26, standalone order inflows were INR 5,875 crores.

Q4 FY26 Earnings Conference Call 26.05.2026 With joint ventures, we have also secured works amounting to INR 1,201 crores. So as on March 31, 2026,
the company's total order book stood at an impressive INR 99,262 crore. The order book is primarily driven by railways with INR 57,000 crores followed by signaling at INR 14,900 crores; port, roads, highways at INR 10,400 crores; and metros at INR 9,900 crores, and we have works of power and transmission of about INR 4,000 crores and hydro and irrigation project at INR 2,000 crores.

Growth and movement in the order book was supported by new railway and multi sector infrastructure works awarded to RVNL. Stunning execution leading to revenue recognition and our disciplined margin focused selective bidding strategy. This strong and well-balanced order book positions the company competently for sustained growth in the coming years.

The company reported a strong growth in revenue during Q4 financial year 2025-26 with the stand-alone turnover increasing by 47.6% QoQ, if I compare it to quarter three financial year ’26 to quarter four of financial year ‘26. We have a growth of 4.78% when compared to quarter four of ‘25 to quarter four of ’26, and 0.72% YoY growth, reflecting healthy execution momentum and improved project activity during the quarter.

On a consolidated basis as well, turnover grew by 42.94% quarter three to quarter four, 4.8% quarter four ’25, ‘26 and 2.45% year-over-year, demonstrating sustained business expansion

and strong order
execution capabilities. However, despite the robust increase in revenue, profitability remained under pressure during the quarter.

Standalone EBITDA declined by 16.88% if I compare quarter three to quarter four; 33.55% quarter four to quarter four ’25 to ’26; and 26.74% YoY, while EBITDA margin reduced from 10.36% in quarter three to 5.83% in quarter four FY26. Similarly, PAT declined by 19.66% QoQ and 43.14% quarter four to quarter four compared to FY25-26, and 32% YoY, indicating margin pressure and increased cost burden during execution.

On a consolidated basis, the EBITDA impact witnessed declines despite higher turnover. The decline in the above parameter is mainly driven by a few onerous contracts and reconciliation adjustment relating to joint ventures. Overall, the results indicate strong revenue visibility and execution growth for the company. However, pressure on margins and profitability remains a key area of concern, which may require close monitoring in the coming quarters.

I want to brief that building works of this RVNL and the company have contributed 31.40% to the total revenue from operation, so showing an increase of 129.50% from the previous year. I want to inform that the company has paid an interim dividend of INR 208 crores, and board has also extended a final dividend of INR 148.03 crores, subject to approval of shareholders.

Q4 FY26 Earnings Conference Call 26.05.2026 I want to highlight the progress of the major projects undertaken by Rail Vikas Nigam Limited. One is
BharatNet project, which has been awarded by Bharat Sanchar Nigam Limited, is a INR 13,236 crore initiative to provide high speed broadband connectivity in rural and remote areas through 8,206 kilometers of OFC infrastructure. Till date, RVNL has achieved 15.01 physical progress. Project execution momentum has improved significantly, and work is now progressing at a good pace across project locations, and we are expecting good revenue and profit margin in this year.

Another important project is Rishikesh Karnaprayag Rail project, which is of a national importance in Uttarakhand. Being developed at a cost of INR 37,000 crore, the 125-kilometer project has achieved 74% overall progress, with around 96% tunnel excavation complete. Target for completion by December 2029, the project will improve access to the Himalayan region.

Another important project is Vande Bharat sleeper train set, a INR 14,400 crore project with 35 years maintenance arrangement being executed by our SPV Kinet Railway Solutions. We are hopeful that first prototype training set is targeted for launch in December 2026. SPV has also received the Bronze Air Design Award 2026 in Italy for excellence in mobility and transportation design.

Performance of our JVs and subsidiaries remained encouraging, contributing INR 399.86 crore to consolidated revenue and INR 64.23 crore to PAT. Additional dividend income received from JVs and subsidiaries stood at INR 43.45 crore during Q4 and INR 47.88 crore for the full year, which contributed positively to the company's consolidated profitability. I also brief that the employee productivity showed improvement, which has increased from INR 21.23 crore to INR 22.46 crore. This growth reflects enhanced operational efficiency and better utilization of human resources.

RVNL continues to demonstrate disciplined execution and stable operational performance, supported by a strong and diversified order book. We remain focused on efficient project delivery, margin discipline, and conversion of healthy L1 and LOA in pipeline. We are also actively encouraging opportunities in diversified infrastructure and emerging business areas. With sustained progress in key national infrastructure projects, the company is well positioned for long term sustainable growth and value creation.

Thank you for your continued trust and support. So, we are o

pen for the question and answer.
Thank you.

Moderator

Thank you very much, sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. In the

interest of time and fairness to all participants, participants are requested to restrict yourself to one
question in the initial round, and join back the queue for more questions. Wait for a moment as the question queue assembles.

The first question comes from the line of Vishal Periwal from PL Capital. Please go ahead.

Vishal Periwal

Yes sir, thanks for the opportunity. Sir, on the margins, though you did clarify it is coming from one of the JV work that we are doing. So, is it fair to say, is the work has concluded and probably we'll have a better margins from quarter one of FY27, or do you think probably the base of 4%, 4.5% EBITDA margin is a new base for us?

Saleem Ahmad

PAT looks lower in this quarter, but if we adjust for the onerous contract of INR 54 crores, and we have paid municipal taxes on new building, and we have readjusted after reconciliation of our SPV amounting to INR 35 crores. So, you will see that the PAT is slightly better than the last year than the last quarter. So definitely, now the adjustment for the onerous contract has been done, and we are hopeful that we will definitely improve our margins in the first quarter of ’27 year. Thank you.

Vishal Periwal

Okay. Yes, thanks for the clarification. Maybe one last question from me is, I think we have seen an increase in the receivables in financial year ‘26 numbers, and that has led to lower cash and lower other income. So, is it coming from a big segment or probably anything, any color that can be provided?

Saleem Ahmad

Cash flow is a challenge, because we are working for Ministry of Railways, and we have to get money from Ministry of Railways. If you see that our INR 3,400 crores were recoverable from MoR, which we could not get within this year, but we have received now in April. So that was the reason for cash flow negative share.

Vishal Periwal

Sure, sir. I think this is helpful. I'll come back in the queue. Thank you, sir.

Moderator

Thank you. Ladies and gentlemen, if you have a question, please press *and 1 on your telephone keypad. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad.

You have the next question from the line of Abhishek K Leekha from Nestle Wealth LLP. Please go ahead.

Abhishek K Leekha

Yeah, thank you for the opportunity. My question is on the receivable parts on the Krishnapatnam Railway Company, which is standing at INR 1,116 crores, including INR 890 crores of interest. What is the timeline for resolution and how much we can realistically recover on that?

Mritunjay Pratap Singh

Good afternoon. The total receivable, which is due from the Krishnapatnam stands at INR 1,116 crore, which comprises of two components, basically the principal and the interest component. And during the last year gone by, Krishnapatnam has given a -- has a healthy return of around INR 290 core which was due from them. And with the continued good performance of Krishnapatnam Rail Company, we hope that in the coming two years time, mostly their receivables will be wiped out, and the steel will also turn profitable, and due to their good performance they have given a total dividend of INR 50 crore this year, out of which RVNL received its share of INR 25 crore.

Abhishek K Leekha

Okay, thank you. And what kind of top line growth that can be expected in 2026-27, and how should we take the margin outlook from current? Because

what I understand from last con call was you mentioned
that 2026-27 as far as execution would be better off and also margins would be comparatively on the brighter side.

Saleem Ahmad

Yes. We are definitely expecting a good rise in our revenue, which will be around, say, 15-20%. And even the margins will definitely increase. That I want to assure you. And it will be much better than this year.

Abhishek K Leekha

Should we expect it, like from the current quarter itself, June quarter onwards? Like the top line growth and followed by the margin growth to be start seeing?

 Saleem Ahmad

Yeah, definitely, QoQ, year wise, definitely there will be improvement. But you know the quarter -- the first quarter will be slightly challenging for us, but we are hopeful to achieve the targets and have a good revenue and good profit, good margins.

Abhishek K Leekha

Okay. Thank you so much. That's it from my side.

Moderator

Thank you. Next, we have a follow-up question from Vishal Periwal from PL Capital. Please go ahead.

Vishal Periwal

Yes, sir. Thanks for the follow-up. Sir, in terms of our order book of INR 99,000 crores odd, what is the breakout in nomination and competitive bidding now?

Saleem Ahmad

If you see our breakup for nomination and bidding is almost 50%, 50-50 each. Presently, 45,000 works of bidding and INR 45 crores are on nomination basis. So now our business strategy is that we should focus on railway works which we already have in pipeline, which is almost 30,000 works are going on. In addition, we are talking to other PSUs and government for management works on PMC basis. We have got works from NMDC, the Visakhapatnam Port Trust, and other, and we are focusing that we should get more works on PMC.

And third line will be -- vertical will be from the bidding works. But this time we are not bidding very aggressively for the bidding works. We have kind of positioned ourselves like that, that we should get at least 5-10% profit from each works of bidding. So that is our target and our strategy.

Vishal Periwal

Sure, sir. And in terms of our order inflow, though you did clarify stand alone and, this is FY26 and quarter four. For the JVs can you also share what is the inflows in quarter four and FY26?

Saleem Ahmad

 JV, we have got one work in recently from railways, which is a bidding work of INR 400 crores right now.
And we are expecting that we should get more work in future, definitely.

Vishal Periwal

Okay. So sir, I think if I look at our order inflow, including JVs, everything, is it to the tune of maybe like INR 7,000 odd crore for this year? And we have done execution of INR 20,000 odd crore in terms of revenue. And our order book has seen increase. So is there a large part of this change is coming from the scope change or any anything that you can share on this?

Saleem Ahmad

Actually, if you see the order book, which we have reviewed it during the last financial year was around INR 6,000 crore, and the execution from the bidding works also stand around INR 6,300 crore. So, the order book inflow and the execution matches, but in the coming years, the execution from the bidding works will increase tremendously because as you've seen in the last year, as compared to financial year ’24, ‘25. In financial year ’25, ‘26, it has increased by almost 129%, which was INR 2,737 crore in the financial year ’24, ’25, which has increased to INR 6,283 crores in the financial year ’25, ‘26. So, our order book is healthy, and we hope that with increased execution also, the order book will be able to give us a good handsome revenue.

Vishal Periwal

Maybe one last question.

Saleem Ahmad

And the change of [indiscernible 00:22:23] -- many projects is there, especially in macro projects and other

projects, which we are excluding. Even gold projects, we got change of scope as per the requirement of the site and clients decor.

Vishal Periwal

In terms of -- I think a lot of cost inflation that we are seeing in terms of the commodity prices and other things. I understand nomination order, which is almost INR 45,000 odd crores, the things are passed through. But in competitive bidding, is it a fixed price contract or there are escalations? Can you share anything on that – this one?

Saleem Ahmad

 There are different types of contracts. Some are fixed contracts, some are

dynamic also, but in most of
the contracts we get the price variation, which controls the fluctuation of the market. But definitely, challenges will be there, yeah.

Vishal Periwal

Okay, sir. And then in terms of Vande Bharat order, though you mentioned prototype is December 26 that we plan to supply, and the total order that is there of 126, by when this will get concluded? How are the delivery schedules after prototype is submitted?

Mritunjay Pratap Singh

Our prototype will be completed by this year only. So, we'll bring two prototypes. And after that in next -

Mritunjay Pratap Singh

The total order, Vande Bharat order book is to be completed in five years time and with a greater increase every year. The first year after prototype, we have to supply, because after supplying the prototype, it takes around three to four months time for the various trials and other work variances by the street. Thereafter, in the first year, five sets will be supplied. Thereafter, it will be increased, and the total 120 sets will be supplied in five years time.

Vishal Periwal

Okay. Sure, sir. I think this is helpful. I'll come back in the queue, sir. Thank you.

Moderator

Thank you. Next, we have a follow-up question from Abhishek K Leekha from Nestle Wealth LLP. Please go ahead.

Abhishek K Leekha

Yes, sir. Thank you for the follow-up question. I just want to have the understanding on what steps the company is taking, so that fast track execution can be cleared on priority, in terms of like automation or steps that that are being taken, which helps the company to enhance the execution capability.

Saleem Ahmad

 You know, the main challenge that we have seen for us is faster execution. Then only we can have good
revenue and good margins. So, our whole team is focusing on it. We are using latest technologies. We are using a pay model, which give us the 5G functions, which gives the progress, financial progress, and planned progress versus the actual progress.

We are using drones for the site in inspection, and we are using many kind of softwares with pure dashboards and give us the performance on -- all on our dashboard. So many things are being done at every level, from the supervisory to the top management, and our focus is for the faster execution of the work and timely execution of the work.

Abhishek K Leekha

Can we have a presentation, kind of wherein will you give the points or the areas which the company is doing a lot of exciting work and good work. So that we also understand what exactly the company is doing in terms of execution readiness and how well that can be put in use or has been -- or you might be using it, so that it gets communicated well amongst the stakeholders.

Saleem Ahmad

Thank you. This is a very good solution, and we will definitely implement it and put it on our website, so that every stakeholder can go through it. And if they have some suggestion, we will be happy to incorporate those.
Abhishek K Leekha

Thank you for that. And if that can be in a presentation, in a quarterly or a yearly kind of a thing, that would be great also, because a lot of questions can be put to on basis of that.

And one more thing,

has RVNL been approved together or upgrade corridors specifically for the defense logistics? Because in this war scenario, railways can be -- also be used as a defense logistics. So, anything specifically that can be done by RVNL in that line?

Saleem Ahmad

Yeah, definitely, we are doing, but we will not be able to explain here. There will be many strategic projects in pipeline.

Abhishek K Leekha

Okay. Fine. Thank you so much.

 Moderator

Thank you. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. Wait for a moment while the question queue assembles.

Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad.

Saleem Ahmad

We can close it.

Moderator

We don't have any further questions, sir.

Saleem Ahmad

Okay. Can you close now? We can close the call now?

Moderator

Okay, sir. I will conclude the call, sir.

Saleem Ahmad

Thank you very much.

Moderator

Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you, and have a pleasant day!

Note: 1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible words.